

What's News

Business & Finance

- ◆ **Market choppiness** and artificial intelligence safety fears are spooking investors and throwing into disarray what was expected to be a string of blockbuster IPOs this fall. **A1**
- ◆ **The punishing selloff** in Treasuries continued, and major U.S. stock indexes fell, with the S&P 500, Dow and Nasdaq shedding 0.2%, 0.3% and 0.1%, respectively. **B13**
- ◆ **Investment bank** Piper Sandler has been in talks to combine with advisory firm Perella Weinberg, discussing a pact that would join two firms known for their dealmaking. **B13**
- ◆ **AT&T signed** a \$3 billion deal with Corning, which will supply the mobile carrier with the fiber and cable needed to expand its network. **B4**
- ◆ **The Treasury** will automatically enroll tens of millions of children in the government's new Trump Accounts. **A2**
- ◆ **New York Fed President** John Williams suggested that policymakers could wait until December before raising interest rates again. **A2**
- ◆ **U.S. home-price growth** ticked up again in July, though trends differed across regions while inflation cooled. **A2**
- ◆ **Cruise line Carnival** reported higher profit and revenue for the third quarter as demand held up even as oil prices remain elevated. **B2**
- ◆ **Alaska Air** is installing a new premium economy section on some planes and is enhancing its international business-class amenities. **B3**
- ◆ **Paramount picked** HBO's content chief to oversee streaming operations once the Warner merger is final. **B4**

Worldwide

- ◆ **Americans in both** parties back government-imposed price caps and other market interventions to make life more affordable, suggesting new support for populist ideas once associated with the margins. **A1**
- ◆ **The Trump administration** used federal funds from the Department of Homeland Security to finance a set of controversial pro-Trump advertisements that recently began airing on television. **A6**
- ◆ **Defense Secretary** Pete Hegseth plans to announce plans to cut by 20% the number of positions reserved for generals and admirals. **A3**
- ◆ **The Trump administration** built an AI-powered tool that the developers say will act as a "concierge" to federal government information and services. **A3**
- ◆ **The Navy chose** Boeing to build its next-generation fighter, the latest contract win for the company. **A6**
- ◆ **Mayor Zohran Mamdani**, whose anti-Israel rhetoric has been a polarizing force in Jewish communities, presented a plan for combating a rise in antisemitism in New York City. **A3**
- ◆ **Mamdani must redo** the rollout of his new pied-à-terre tax, a state judge ruled, dealing a major blow to one of the mayor's signature policies. **A3**
- ◆ **Over 100 settlers** overwhelmed Israeli security forces who were trying to escort a Palestinian family back to their home in the West Bank. **A7**
- ◆ **Explosives** that injured three South Korean troops last week in the DMZ were likely North Korean land mines, Seoul officials said. **A8**

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Trump Tells AI Leaders Regulation Isn't on Menu



NO WORRIES: President Trump hosted tech chiefs—including Mark Zuckerberg, Jensen Huang, Elon Musk, Sundar Pichai, Dario Amodei and Jeff Bezos—Tuesday at a White House lunch and said AI shouldn't be stifled by regulation, despite industry fears. **A4**

Americans Warm to Populism As Life Gets More Expensive

People in both parties want government action to cut prices, WSJ survey shows

By Aaron Zitner

U.S. voters in both parties back government-imposed price caps and other market interventions to make life more affordable, suggesting new support for populist ideas that were once largely outside the political mainstream.

That is the takeaway of a new Wall Street Journal survey that asked respondents what they want from their elected officials and the political system. Voters of all partisan stripes strongly support capping the cost of prescription drugs, child care and credit card interest rates. The survey suggests that a coalition reaching beyond the nation's familiar party labels exists for a range of policies at a time when voters view Republicans and Democrats negatively. Large majorities, for

example, support both strong border security and a pathway to citizenship for many people in the country illegally, the poll finds. A near-majority of Democrats agrees with Republicans and independent voters that people should show a photo ID when balloting to ensure that only citizens vote. The survey tested more than 30 policy ideas that are part of the midterm campaign discussion or congressional debate, many of them focused on the cost of living. Nearly three-quarters of voters sup-

port a cap on child-care costs for working families, an idea backed by liberal Democrats, such as Sen. Elizabeth Warren of Massachusetts. Nearly three-quarters support the idea of a government website to guide consumers to discounted drugs, which President Trump put into practice with his "Trump Rx" site. And nearly four in five voters support capping credit card interest rates at 10%. That has drawn bipartisan support in Congress, with pro-

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Gap Between Rich and Super Rich Widens

The ultrawealthy aren't just pulling away from average Americans. Buoyed by a stock-market boom that has added trillions of dollars to their net worth, now the extremely rich are even pulling away from other rich Americans.

By Rachel Louise Ensign, Justin Lahart and Peter Santilli

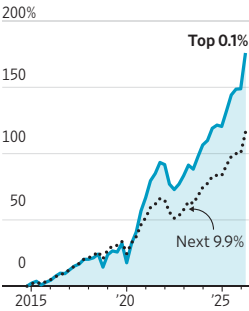
The top 0.1% wealthiest Americans have seen their total wealth more than double since the end of 2019, according to new data from the Federal Reserve.

The year the pandemic started was when the ultrawealthy began to pull away from other rich groups, according to a Wall Street Journal analysis of Fed data. In dollar terms, the very richest Americans have gained a total \$14.5 trillion in wealth over that period, with most of that—about \$10 trillion—coming from gains in stocks and mutual funds, according to the Fed data, which run through the end of June. The 0.1% now control about \$28 trillion, or about 15% of the nation's total wealth, which amounts to nearly \$186

trillion. The average wealth for a household in this group is over \$200 million. As of 2022 you had to have at least \$45.8 million to be in the top 0.1%, according to the most detailed data available from the Fed. With wealth among the group up by about 50% since then, that threshold is much higher now. The people who fall into this group aren't usually traditional salaried workers. Rather, they are much more likely to be the owner of a bunch of car dealerships or an heir living off invest-

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Cumulative change in net worth since the end of 2014



Source: Federal Reserve

Investor Jitters Throw IPOs Into Disarray

Ring maker Oura postpones listing as timing shifts for Anthropic, others

By Corrie Driebusch

Market choppiness and artificial-intelligence safety fears are spooking investors and throwing into disarray what was expected to be a string of blockbuster initial public offerings this fall. Smart-ring maker Oura was the latest company to postpone its initial public offering, when it said on Tuesday that it was delaying it due to "uncertainty in the IPO market." The company, which was aiming to raise up to \$2.2 billion in a listing that valued it at around \$15.6 billion, changed its plans after potential investors made clear they saw the valuation as too high, people familiar with the matter said. Investors questioned whether its revenue growth would take a hit as consumers feel the pinch of higher prices and interest rates. Investors had been lining up for a parade of IPOs this fall that was expected to be headlined by a gigantic and record-setting offering from Anthropic. But volatility in oil prices and spiking bond yields, as well as an intensifying debate around AI safety, dented investor enthusiasm and prompted many of the companies to revisit listing plans. SoftBank-backed data center company SB Energy delayed its IPO date after getting pushback on its potential valuation, according to people close to the deal. Many on Wall Street expected Nvidia-backed cloud startup NScale to launch its roadshow pitch to investors as early as next week, but some now anticipate the timing could change, other people familiar with the matter said. Nuclear-reactor company Holtec withdrew its IPO filing earlier this month, citing unfavorable market conditions. Dunkin' owner Inspire Brands originally eyed a late 2026 or early 2027 IPO, other people familiar with the matter said. But it is now unlikely to go public this year unless shares in publicly traded restaurant rivals begin to trade

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Car Market Pinched by 'Total Stall' In Making New Models

By Sharon Terlep

Something is missing from the nation's auto showrooms: new car models. "It's real bad," said Michael DiFeo, a New Jersey Cadillac dealer. "I literally have people saying, 'I am not leasing this car again. It's the same car and the price keeps going up.'" Fresh models attract car buyers to showrooms and command higher prices. Without them, dealers are left pushing aging designs while automakers race to churn out new models—meanwhile using throwbacks, special editions and six-figure status symbols to keep buyers coming. Fewer new models are hitting the market than at any time in recent history. Automakers are expected to redesign 9% of their lineup on average across the 2026 through 2028 model years—well below the 20-year average of 14%,

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INSIDE



PERSONAL JOURNAL The 20-something employees who want feedback to be gentle. **A10**



BUSINESS & FINANCE He was rejected by Goldman out of college. Now John Waldron is set to run the bank. **B1**

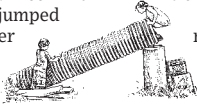
If I'm Such a Helicopter Parent, Why's My Kid Playing in Trash?

Families flex their free-range bona fides by letting their children loose in a junkyard

By Rachel Louise Ensign

GOVERNORS ISLAND, N.Y.—When Amy Potter was growing up, she roamed free in rural Australia and jumped off a shed onto her trampoline until it had a hole in it. To give her 8-year-old daughter

Sigrid a similar experience, she pays for her to visit a junkyard playground on this former Coast Guard installation in New York City. At The Yard, elementary school children play with hammers, saws and knives. They climb



Hazard play

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Quest to Make Monopoly in U.S. Struggled to Pass Go

Game company ran into high costs, cracked trays and a dice dilemma

By Ruth Simon

Jonathan Silva and his team at WS Game Company set a challenge for themselves last year: Produce a bespoke Monopoly game that was 100% made in America. The company set out to produce its first U.S.-made game after President Trump imposed high tariffs on Chinese imports. The goal was to have it ready in February, ahead of the 250th anniversary of the Declaration of Independence. "It was a colossal headache. I hope I don't have to go through it again," said Silva, who at one point considered canceling the whole project. "It was not profitable for our company in any shape or form." What Silva and his team discovered was that options for manufacturing a game in the U.S. are extremely limited

and costs can be prohibitively high. A like-for-like game made in China would have been better quality, cost less and come to market faster. Still, the company persevered—although it ended up just shy of 100% American-made. Silva's company produces high-end versions of classic games, from Chess & Checkers to The Game of Life. For 25 years, all of the games had been made in China. His father, the company's co-founder, would spend weeks at a time in Asia. The company has developed deep relationships with the company's Chinese factories and produced games for the likes of Restoration Hardware and Pottery Barn, as well as mass-market retailers. Silva, co-owner and chief executive of the family-run company, landed on the idea

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U.S. NEWS

Trump Accounts to Auto-Enroll Children

By RICHARD RUBIN
AND ASHLEA EBELING

The Treasury Department will automatically enroll tens of millions of children in the government's new Trump Accounts as soon as this week, replacing the previous structure that required parents or guardians to sign up, the agency said in rules published Tuesday.

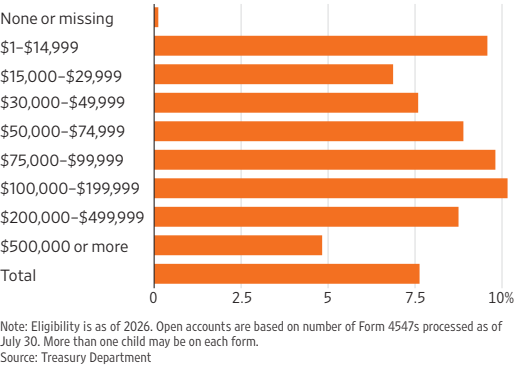
The shift to automatic enrollment will ensure much broader access to the child investment accounts, creating them for more than 60 million additional children under age 18, according to the Treasury Department. The shift to auto enrollment means that big contributions from wealthy donors to the program—like the \$6.25 billion pledge from Michael Dell—would reach more households.

“Stakeholders have expressed that eligible donors prefer that their contributions reach all children, not just children whose parents have the awareness to opt in,” the rules say.

The administration rolled out Trump Accounts with fanfare in early July, pushing them as a way for children to save and invest well before they could typically qualify for some other tax-advantaged accounts.

As of the end of July, the

Trump Account forms processed, as a share of all eligible children, by adjusted gross income



Treasury Department had processed 5.6 million forms to open the accounts. Treasury Secretary Scott Bessent has said seven million children are signed up. Some 73 million children are eligible for the program.

The accounts come with a government contribution of \$1,000 for children born from 2025 through 2028. But auto-enrollment won't automatically trigger that contribution. Under last year's tax law, which created Trump Accounts, taxpayers must specifically elect to get that \$1,000, and Tuesday's rules don't change that.

Switching to auto-enrollment will let assets in those accounts start growing without

families needing to do anything, said Jin Huang, a professor of social policy at Washington University in St. Louis. “This is the most important design change since the law passed,” he said. “This is huge.”

Still, parents and guardians must take further steps to claim those automatically created accounts to take full advantage of them. Claiming the accounts would also allow them to make their own contributions and accept employer contributions.

The accounts are being managed through **Robinhood** and **Bank of New York Mellon**. There is a dedicated phone app and website for the accounts. Tuesday's rules don't provide

full details for how parents and guardians can claim accounts for children who are being auto-enrolled.

Administration officials had previously contended that the law didn't allow the government to create accounts for people who hadn't enrolled.

They wrote in Tuesday's rules that they “found a path to overcome those constraints.” They will use a master group trust that can handle transactions without obtaining specific information about individuals that investment managers wouldn't be legally able to receive. That also will enable the government to add about two million additional newborns a year without parents signing up.

The government also created a framework for private donors to put appreciated stock directly into Trump Accounts. That move could spur more donations from wealthy Americans but also introduces the child accounts to the risk of holding individual securities.

Although the law requires Trump Accounts to be invested only in diversified, low-cost indexes, the Treasury Department said direct donations of stock don't violate that prohibition. The agency's reasoning is that the donations are merely being received by the Trump Accounts, not purchased with Trump Accounts funds.

“It undermines the entire purpose of the regulated index fund requirement, which is stability,” said Nina Olson, the former national taxpayer advocate who is now executive director of the Center for Taxpayer Rights. “Let's say someone donates a bunch of tech stocks and then we have another dot-com meltdown so that you end up with worthless stocks. How does that help the child?”

Those stocks must be held for five years before being sold, according to the regulations.

Allowing those stock donations will give wealthy donors with appreciated securities a way to contribute them to Trump Accounts while avoiding capital-gains taxes on the shares. They can donate stock to a charity, which can then donate the stock to Trump Accounts. The donor avoids capital-gains taxes, gets an income-tax deduction and pushes assets out of taxable estates.

In the rules, the Treasury Department said there are several donors who are ready to make contributions of stock on the scale of Dell's but who wouldn't donate cash. The benefits from those additional donations will outweigh the additional risk from more concentrated portfolios, the government concluded.

Consumer Confidence Hit By Higher Costs

Consumer confidence fell sharply in September as higher energy prices and inflation worries soured households' moods, a monthly survey from the Conference Board said.

The research group said its consumer confidence index fell by 6.7 points to 81.9 in September from 88.6 in August. September's reading was the lowest since 2014.

Consumers' assessment of current business and labor-market conditions retreated by 7.9 points to 109.3. Meanwhile, the expectations index, based on short-term outlook for income, business, and labor market conditions fell by 5.9 points to 63.6.

The Conference Board said perceptions of employment conditions also softened, with the labor market differential—the share of consumers saying jobs are “plentiful” minus the share saying jobs are “hard to get”—retreating by 2.5 percentage points to 1.7%.

—Jessica Coacci

Home-Price Index Ticked Up In July

U.S. home price growth ticked up again in July, though trends differed across regions while inflation cooled.

The S&P Case-Shiller National Home Price Index, which measures home prices across the country, rose 1.9% in the 12 months through July, compared with a 1.6% increase in June.

For the 14th consecutive month, U.S. home values fell in real terms, as July's 3.4% inflation ran roughly one and a half percentage points above the 1.9% home price gain, the survey said.

For the fifth month in a row, Chicago reported the highest annual gain among the 20 cities, with a 6.9% increase in July. New York and Cleveland followed with annual increases of 5.8% and 4.2%, respectively. Seattle posted the largest annual decline, falling 1.6%.

—Dean Seal

Job Openings Slipped Last Month

U.S. job openings were marginally lower in August while hiring ticked up and layoffs ticked down, according to a report from the Labor Department's monthly job openings and labor turnover survey.

Available positions slid to 7.1 million in August from 7.3 million in July. Meanwhile, the hiring rate ticked up to 3.3% in August from 3.2%, with about 5.2 million Americans landing new jobs last month.

The number and rate of layoffs and discharges were little changed at 1.6 million and 1%. The quit rate, or workers leaving their jobs voluntarily, was static at 3.1 million and 1.9% over the month, the report said.

—Dean Seal

Fed's Williams Hints Next Rate Hike Can Wait

By MATT GROSSMAN
AND NICK TIMIRAOIS

A top Federal Reserve official suggested Tuesday that the central bank could wait until December before raising interest rates again, pushing back against market bets on a follow-up increase next month.

The remarks from New York Fed President John Williams carry particular weight because as vice chair of the Fed's rate-setting committee, he has typically sought to reflect the views of the committee's center of gravity rather than stake out his own position.

Inflation remains too high, and another rate increase “late this year” might be appropriate, Williams said. But for now, the Fed can likely take time to review additional data before tightening policy further, he

said. “With the policy action we took at our September meeting, there is no need for urgency,” Williams said in a speech in Buffalo, N.Y.

Polymakers' forecasts of at least one further rate increase this year, and a more hawkish tone from Fed Chairman Kevin Warsh, had left many traders betting after this month's meeting that a second increase would follow next month. On Tuesday afternoon, odds the Fed would raise rates on Oct. 28 fell to near 50% after sitting around 70% before Williams spoke, according to CME Group.

Williams' relatively precise signals were notable because Warsh has renounced the kind of verbal cues his predecessors used to shape investors' expectations ahead of policy meetings. That approach carries a risk: If markets come to expect

a move officials aren't prepared to make, the Fed must choose between surprising investors and following through on an increase it might think isn't necessary.

Williams' comments Tuesday could help the central bank avoid that bind.

Long-term interest rates have steadily marched to new 19-year highs in recent weeks, which could further restrain borrowing and spending if the moves hold. The yield on the benchmark 10-year Treasury note rose to 5.25% on Tuesday, up from 5% when the Fed raised rates on Sept. 16.

The Fed's preferred inflation metric, which hit 3.7% in its

most recent reading for July, has been drifting well above the central bank's 2% target for more than five years. Williams argued, however, that some underlying inflation pressures are easing on their own.

Housing prices, a major spending category for consumers, have decelerated, he noted, and though the labor market remains solid, wage increases don't seem to be pushing up consumer prices.

Political sensitivities could give Fed officials another reason to hold off. Raising rates six days before the midterm elections might be awkward for a central bank that doesn't

see particular urgency to move interest rates sharply higher.

Other Fed officials who, like Williams, typically vote with the Fed's policy consensus, have signaled in recent days that they think rates should rise further, without laying out a particular timeline.

In a speech Tuesday, Fed governor Michael Barr said “further policy adjustments are likely to be needed to ensure inflation comes down to target in a timely fashion,” but didn't specify his view of the urgency of a further rate increase. Governor Lisa Cook outlined a similar perspective in a speech Monday.

By the time they meet in October, Fed officials will have one more month of labor-market data in hand—the September jobs report, due Friday—and a September inflation update coming in two weeks.

His remarks could reset expectations for the October meeting.

U.S. WATCH

TEXAS Man ICE Shot Faces Assault Charges

Federal prosecutors in Texas on Tuesday announced assault charges against a Venezuelan delivery driver who was shot in the back by immigration-enforcement agents on Sept. 20.

A federal complaint alleges Wilber Rafael Garces-Perez, 28, tried to escape Immigration and Customs Enforcement, who pulled him over after a judge issued a final removal order, according to U.S. Attorney Justin R. Simmons for the Western District of Texas.

The complaint accuses him of sideswiping an officer with his driver's side car mirror and later attempting to strike an officer with his car.

Garces-Perez was an asylum seeker and had a valid work permit, according to immigration lawyer Kate Lincoln-Goldfinch. She said a judge issued a deportation order after Garces-Perez missed an immigration court hearing.

—Associated Press

SUPREME COURT U.S. Can Deport To Third Countries

The Supreme Court on Tuesday let the Trump administration continue swiftly deporting people to countries other than their own for now, while the justices consider whether the policy is legal.

The apparent 6-3 order temporarily lifts lower court requirements for migrants to get a chance to object before being sent to countries to which they have no ties.

The Supreme Court will hear arguments in December.

—Associated Press

Super Rich Widen Their Gap

Continued from Page One

ment income.

The ultrawealthy's recent gains from the stock market dwarf the total wealth of the bottom 50% of all Americans, which is about \$4 trillion. That bottom group has actually seen their wealth rise more than any other group on a percentage basis because of a combination of rising home values and pandemic-era government relief that swelled bank accounts and helped pay down debt.

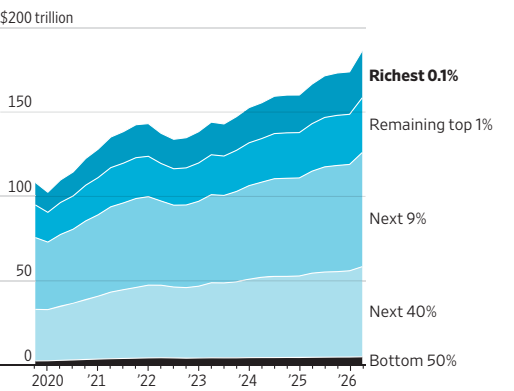
Nevertheless, the bottom half's share of total wealth, at an average of about \$63,000 a household, comes to just 2.3% of the nation's total wealth. The average household in the top 0.1% holds over 3,000 times as much wealth as a bottom-half household does.

In the top 0.1%, 37% earn most of their income from businesses, and 26% derive it from capital gains, according to an analysis of Fed data from economics professors Owen Zidar and Eric Zwick for their recent book “The Everywhere Millionaire.” Only 10% derived most of their income from wages and salaries.

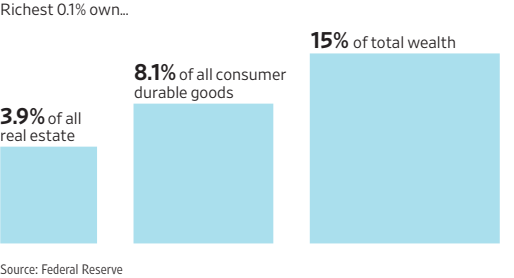
The biggest factor in this phenomenon is that wealthy people simply own a lot of stocks. In the year ending June 30, when the S&P 500 gained 21%, the top 0.1% got nearly \$4 trillion of new wealth from the market.

The roughly 137,000 households who make up the nation's top 0.1% had already gotten richer compared with everyone else in recent de-

Household wealth, by wealth percentile



Holdings of the richest 0.1% as a share of all U.S. households



CADES because of higher incomes and lower tax rates. Now the stock-market boom, driven by strong corporate earnings and highflying tech stocks, is powering their wealth even further.

By comparison, the rest of the top 10% of richest Americans gained \$38.2 trillion in wealth over the same period, but it was split among nearly 100 times as many households.

Many others have been locked out of prosperity, and entrenched inflation is pressuring even those with six-figure salaries.

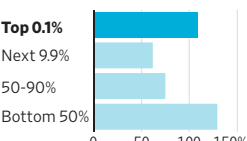
Growing wealth at the very top has become a political flashpoint, helping fuel the

rise of Democratic socialist politicians such as New York City Mayor Zohran Mamdani.

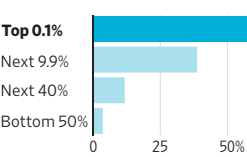
Wealth is measured as a household's assets, like stocks and home equity, minus their liabilities like mortgages and credit-card debt.

“The stock market's ripping, and so if you're in the stock market more it has been really great,” Zwick said.

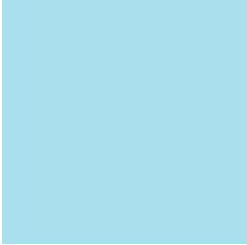
Change in total wealth by group since the end of 2019



Corporate equities and mutual funds as a share of total assets



25% of all stocks & mutual funds



CORRECTIONS & AMPLIFICATIONS

Mesabi Metallics will transport iron ore by railroad from Minnesota to its proposed steel mill in Iowa. In some editions Tuesday, a U.S. News article about the steel project incorrectly said the ore would travel on the Mis-

issippi River.

In some editions Saturday, Friday's page A2 was incorrectly published in place of Saturday's page A2. The intended page is available at [WSJ.com/Corrections](https://www.wsj.com/Corrections).

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-762-5450.

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U.S. NEWS

Hegseth to Announce 20% Cut to Senior Officer Ranks

Defense chief will unveil plan in speech to handpicked group of servicemembers

By LARA SELIGMAN

Defense Secretary Pete Hegseth will announce plans to cut by 20% the number of positions reserved for generals and admirals during a speech to servicemembers on Wednesday, according to Pentagon officials. The cuts will double the 10% reduction to the top positions that the Pentagon chief ordered last year, the officials said. The armed services have been directed to complete the reductions by Jan. 1, 2027, the officials said. Fox News earlier reported the plans.

Hegseth is expected to lay out his priorities for the Pentagon in the coming year during an address at Marine Corps Base Quantico, Va., Wednesday.

He directed the original cuts to top brass in May 2025, instructing Pentagon leadership to cut the total number of four-star active-duty generals and admirals by at least 20%, in addition to reducing the overall number of admirals and generals with a one-star rank or above by 10%.

Hegseth has long said the military's senior ranks are too large. In a May 2025 memo, he framed the cuts as overdue streamlining, calling for "removing redundant force structure."

"This is not a slash and burn exercise," he said in a video posted on X. "More generals and admirals does not lead to more success."

As of Sept. 30, 2023, there were 809 active-duty generals



Defense Secretary Pete Hegseth has long said the military's senior ranks are too large.

and admirals, 48 fewer than the maximum of 857, according to the Congressional Research Service.

Hegseth, meanwhile, ordered another major change to the defense establishment on Tuesday when he directed the military-service academies to stop appointing civilian academics to tenured positions. Hegseth wrote in a memo that the practice has "allowed civilian academic norms to dilute our focus on lethality."

Critics said Hegseth's move appeared intended to curb academic independence and would diminish the quality of education at the service academies, which include the U.S. Military Academy at West Point, the U.S. Naval Academy and the Air Force Academy.

"This certainly undermines

both recruiting and retention of talented teachers, and by design curbs critical thinking by the faculty and ultimately tomorrow's leaders," said Frank Hoffman, a retired Marine lieutenant colonel who holds a Ph.D. from King's College in London.

Hegseth's speech comes a year after he summoned the nation's leading military officers to gather in Quantico. During that address, he said he wanted to see "no more beards" or "fat generals." President Trump also spoke at the event.

This time, the audience will include lower-ranking officers and enlisted servicemembers who have been handpicked by their commanders, The Wall Street Journal reported. The Pentagon asked commanders to nominate troops to attend the address who meet waist-to-

height requirements and exhibit "impeccable" grooming standards.

The servicemembers chosen to attend the speech, who also were selected based on "demonstrated leadership quality and professional character," will get a Pentagon tour and the opportunity to work out with the defense secretary, according to emails viewed by the Journal.

Since becoming Pentagon chief last year, Hegseth has given priority to physical and grooming standards among the ranks, which he said is critical to the military's ability to effectively fight wars. Some critics have criticized his focus as too narrow, at the expense of modernization and warned against using troops to advance the administration's political agenda.

U.S. Unveils Services Portal Powered by AI

By PHILIP WEGMANN

WASHINGTON—The Trump administration has built a tool powered by artificial intelligence that its developers promise will serve as a "conciierge" to the federal government, as it attempts to modernize the relationship between citizens and the state. It will be housed at a website called America.gov, setting up a test for the Trump administration's digital ambitions.

"Instead of forcing citizens to search through the endless maze of tens of thousands of terrible government websites," President Trump said at a Tuesday event launching the website, "you'll now have one front door for every single question."

Joe Gebbia, co-founder of Airbnb and head of the White House's National Design Studio, said the online portal will function as a new digital front door to the federal government. He said the technology—in time—will serve as the final destination for all federal constituent services.

Renew a passport or start Medicare enrollment. Reserve a federal campsite or check on the status of federal student loans. Eventually, all of those tasks, and more, Gebbia said, can be started and completed, on America.gov.

The goal is to provide a single, streamlined platform, Gebbia said during a preview of the America.gov launch for The Wall Street Journal, rather than leaving individual citizens to navigate myriad agency websites on their own. He said the technology will link and make all federal information immediately searchable online. "You search," he said of the kinds of tasks that eventually can be started and finished at

America.gov, "and you never go back into the maze."

Though an ambitious idea, it isn't a new one. Beginning with the Clinton administration in the early days of the internet, each administration has tried to create a one-stop-shop portal to the federal government. But the digital footprint expanded instead. The Obama administration estimated in 2011 there were more than 24,000 government domains.

"It's the first idea that everybody has," said Mikey Dickerson, a former Google engineer who helped reset HealthCare.gov after its disastrous rollout. The first administrator of the United States Digital Service, he recalled conversations with then-President Barack Obama about why the federal index of websites was so confusing, fragmented and voluminous.

But creating a single platform that does more than simply index links to government websites becomes nearly impossible, Dickerson said, because of the numerous federal agencies and the distinct definition of basic criteria they employ. The Internal Revenue Service and the Agriculture Department, for instance, he said, treat income differently in their application of the tax code and administration of food stamps. To create a truly one-stop shop for the federal government, he said, would require lawmakers to write new legislation, not just computer code.

America.gov will be powered by two AI agents—Grok and Gemini—that will allow users to issue tasks and ask questions in plain language. Every government website will immediately be made searchable, developers said, while full integration of certain government services is expected to begin in a matter of months.

NYC Must Redo Pied-à-Terre Tax Rollout, Judge Says

By REBECCA PICCIOTTO AND JAMES FANELLI

New York City Mayor Mamdani must redo the rollout of his new pied-à-terre tax, a state judge ruled Tuesday, dealing a major blow to one of the mayor's signature policies.

Justice Wayne Ozzi, of Staten Island, sided with plaintiffs who said the rollout of the surcharge unlawfully put the burden on homeowners to prove their residency status, when city officials should have verified that information themselves.

He didn't strike down the tax itself, and the city is expected to appeal his decision.

"No crime is involved here, but homeowners are being substantially harmed and penalized needlessly by [the city's] method of implementing the tax law," Ozzi wrote in his 22-page decision.

Separately, a lawsuit from two prominent businessmen challenges the constitutionality of New York City's pied-à-terre tax, in what they say is the first suit to allege that the tax is illegal.

Former Commerce Secretary Wilbur Ross and casino mogul Steve Wynn filed their complaint in state court Monday, alleging that New York state lawmakers violated state and federal constitutions.

A mayoral spokesman said the city planned to appeal the ruling—a move that would temporarily block the judge's decision from taking effect. "Our administration is fighting every day to deliver for working New Yorkers," the spokesman said. "The ultra-wealthy are fighting in court to avoid paying their fair share."

The pied-à-terre tax applies to homes worth \$5 million or more and that don't serve as the owner's primary residence. The city's Department of Finance is in charge of determining who is subject to it using information such as tax returns and property value assessments.

Opponents of the tax rollout

said the city shirked its responsibility to evaluate the status of each homeowner and didn't use tax data that would have shown that thousands of people weren't eligible. As a result, they said, New Yorkers had to jump through administrative hoops and give the city their private financial information. Ozzi's ruling blocks the city from taking any further action on the notices that have already been sent to about 17,000 New Yorkers, and forces the administration to take down the tax roll of about 900,000 properties that it published online as part of the rollout.

However, the judge said the

city may publish a more limited list online that actually reflects who will be subject to the surcharge.

Ozzi ordered city officials to take a more targeted approach, using the latest tax records and other available information to determine whether a property is a second home. The city must explain in the new notices it sends out how it reached its conclusion.

The lawsuit from Ross and Wynn goes a step further. They are challenging the constitutional basis of the tax to block the tax as a whole, not just delay the rollout. On Tuesday, another group of New York City homeowners filed a complaint

that alleges the tax is unconstitutional.

Ross and Wynn allege that the levy intentionally discriminates against nonresidents of New York City who "by definition, cannot vote against lawmakers imposing that new tax."

Nonresidents like themselves, they argue, already pay property taxes and shouldn't shoulder additional taxes to fund city resources, such as public schools and transit, because they inherently use less of those services than full-time New Yorkers.

New York Gov. Hochul says the state is prepared to defend it in court.

Mamdani Has Plan to Combat Antisemitism

By JAMES FANELLI

Mayor Zohran Mamdani on Tuesday announced a new strategy for combating a rise in antisemitism in New York City, designating \$7.4 million toward education campaigns, the advancement of Jewish cultural institutions and security upgrades at synagogues.

The Democratic socialist mayor, whose anti-Israel rhetoric has been a polarizing force in Jewish communities, described the plan as the first-ever municipal strategy in the country to fight antisemitism. "Jewish New Yorkers have helped build this city, shaped its culture and strengthened our communities for generations, and they deserve to be safe, celebrated and protected by a city government that stands with them," Mamdani said.

Some Jewish leaders gave mixed reviews to the strategy and the mayor, who has been a strident critic of Israel's war in Gaza. They welcomed the additional security and education funding, but said the strategy glaringly omits the role that anti-Israel hostility plays in fueling anti-Jewish hostility.

"It is the central driver of antisemitism in the West," said Rabbi Ammiel Hirsch, the president of the New York Board of Rabbis, calling a city report outlining the strategy a wasted opportunity. "The idea that you could write a 30-page



New York City Mayor Zohran Mamdani

report and not mention that is preposterous."

Several progressive Jewish leaders praised the strategy as a step in the right direction.

"At a moment of real and rising antisemitism, extremism and violence across the ideological spectrum, our communities deserve a whole-of-government response," said Amy Spitalnick, chief executive of the Jewish Council for Public Affairs. "This strategy marks an important step toward that goal—rooted in the recognition that Jewish safety and inclusive, pluralistic democracy must go hand-in-hand."

The new strategy, led by the mayor's Office to Combat Antisemitism, was born out of conversations with Jewish New Yorkers across the political spectrum, city officials said. Phylisa Wisdom, the executive

director of the office, said in February that she planned to unveil a comprehensive strategy around the time of the Jewish high holidays.

The report on the strategy said federal and city data show a notable increase in anti-Jewish crimes since the Oct. 7, 2023, attacks in Israel. From Jan. 1 through August, New York City recorded 229 anti-Jewish hate crimes, an 8% increase from the same period in 2025, according to the New York Police Department. Anti-Jewish hate crimes accounted for more than half of all confirmed hate crimes, despite Jewish New Yorkers making up only 10% of the city's population, the NYPD said.

As part of the initiative, the city will highlight the contributions of Jewish New Yorkers on digital public kiosks and pro-

vide millions of dollars to complete a Holocaust memorial in Queens and a Jewish center in Brooklyn. The city will also provide \$1 million to help smaller religious institutions improve security by installing locks, shatterproof glass and metal-detector wands.

Mamdani has emphasized he is a mayor for all New Yorkers, including Jewish residents, but some of his actions have been viewed as alienating. In a break from previous mayors, Mamdani chose not to attend the city's Israel Day Parade in May, citing his support for Palestinians. And as recently as last week, Mamdani called for the arrest of Israeli Prime Minister Benjamin Netanyahu during his visit to the United Nations on an International Criminal Court warrant for alleged war crimes.

Some Jewish leaders say the mayor's rhetoric has made members of their community feel less safe. They have also accused him of unnecessarily wading into international politics when his focus should be on the city.

New York state Assemblyman Sam Berger, a Democrat and Orthodox Jew who helped raise funds for the Holocaust memorial in Queens, called the new strategy underwhelming, saying many parts echoed strategies formulated under Mamdani's predecessor, Eric Adams. "I don't know why it took nine months to roll this out," Berger said.

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U.S. NEWS



Tech leaders who attended a lunch with President Trump on Tuesday included, from left, Palantir Technologies CEO Alex Karp, Anthropic CEO Dario Amodei and Google CEO Sundar Pichai.

Trump Defends Light-Touch AI Strategy

President affirms his strong preference for self-regulation amid calls for guardrails

By AMRITH RAMKUMAR

WASHINGTON—President Trump promised not to hamper the artificial-intelligence industry with regulations, doubling down Tuesday on his light-touch approach despite growing calls from Silicon Valley and the public for new guardrails. “I will never stifle the growth of technology that will be bigger than the industrial revolution,” he said at an event to unveil a new America.gov website built with AI to make it easier for citizens to access federal government services. The Justice Department, Federal Bureau of Investigation and existing authorities are sufficient to hold accountable bad actors using AI for nefarious purposes, he said. Following a lunch in the White House’s East Room with roughly two dozen CEOs and industry leaders, Trump reiterated the message, adding that “self-regulation is very important” while flanked by Nvidia Chief Executive Jensen Huang

and SpaceX CEO Elon Musk. Trump and House Speaker Mike Johnson (R., La.), who attended the lunch, said the CEOs had signed a statement pledging to keep AI technology safe. The document includes voluntary principles such as internal controls to monitor model development, external model reviews and notifications to the board of directors about those safety efforts. Trump called it a “constitution” that he thinks is “morally binding.” The White House’s pro-growth approach is at risk of being outpaced by advancing threats posed by the latest models and growing concerns from American voters roughly a month out from the midterm elections. About 10 days after Trump said he would appoint an AI “czar” and create a new unit of the government called the AI Force, few details about who would fill the new roles and what they would do have been released. Trump administration officials have said discord among industry leaders has made it difficult to build consensus, while executives have pointed the finger back at policymakers in the White House and Congress who disagree. Trump said he has someone

who is extraordinary chosen for the czar role and that more details would be released soon. The lunch followed Trump’s first face-to-face meeting Sunday with Anthropic CEO Dario Amodei, a critic of the president’s preference for minimal regulation. Amodei attended the Tuesday lunch after meeting with Senate Majority Leader John Thune (R., S.D.) at the Capitol on Monday. Thune and Sen. Amy Klobuchar (D., Minn.) are working to advance a bill aiming to prevent catastrophic harms from AI. “We can win safely if we do this right, if we work with the president and everyone here, we can win safely,” Amodei said Tuesday. Trump praised Amodei as “great,” Google CEO Sundar Pichai as “a monster” and Huang of Nvidia as “a handsome guy.” Meta Platforms CEO Mark Zuckerberg said the goal is to give consumers confidence that AI tools will work as intended. Trump and his allies have sided with Silicon Valley lead-

ers including Huang who say excessive government involvement would set the U.S. back in its race against China. At a summit last week, both countries agreed to share information about AI incidents that would pose national-security implications, without providing specifics. Such a light-touch approach is appropriate because the private sector should lead efforts to make the technology safe, some executives argue. Nvidia on Monday launched a software platform to help developers test and deploy AI agents that can act on their own and keep them in a secure environment. The move comes after a drumbeat of news about models hacking companies and government websites. While many lawmakers and much of the public don’t trust the industry to self-regulate, Trump’s approach has dimmed hopes for the first federal regulations on AI models being signed into law. “The main obstacle is Presi-

dent Trump being cartoonishly hostile to basic precautions,” said John-Clark Levin, chief research officer at research and development company Kurzweil Technologies, who advocates for strong federal rules governing the use of AI. The White House didn’t respond to Levin’s remark. The White House currently has companies submit AI models for voluntary pre-release testing by government security and AI experts. Opponents say the voluntary nature of it and opaque process make it less effective. The lack of clarity about the U.S.-China AI threat-sharing arrangement has frustrated some observers. Beijing and Washington confirmed that they will set up bilateral communication channels for AI issues, but didn’t provide any details. The U.S. and China “will need to move much faster if they want to deal with the risks,” said Scott Singer, a fellow at the Carnegie Endowment for International Peace think tank who studies the AI race. Trump signed an executive order late Tuesday renaming “artificial intelligence” as “superintelligence” to make it sound less scary. He said tech companies would do more to

ensure communities hosting data centers that power AI models benefit from the facilities. Superintelligence is already used as a term referring to AI systems that can outperform the most gifted humans in a range of tasks. The new America.gov website was spearheaded by U.S. Chief Design Officer Joe Gebbia, an Airbnb co-founder. Trump poked fun at the idea that the site could be his most significant accomplishment as president. “If this is the biggest thing I’ve ever done, I’ve done a s—y job,” he said, adding that it is still “damn good.” Gebbia is among the candidates to be AI czar, people familiar with the matter said. Other possible candidates include Emil Michael, undersecretary of defense for research and engineering; Scott Kuper, director of the Office of Personnel Management; Taylor Budowich, a former White House deputy chief of staff; and recently departed Senior White House AI adviser Sriram Krishnan, the people said. Trump told reporters Tuesday Director of National Intelligence Jay Clayton would be a good candidate. Trump has ruled out Treasury Secretary Scott Bessent for the czar role.

Much of the public doesn't trust the industry to regulate itself.

Treasury Department Moves to Curb Tax-Avoiding Investment Strategies

By RICHARD RUBIN AND MIRIAM GOTTFRIED

The Treasury Department issued its first formal warning shot against some increasingly popular tax-reducing investment strategies, cautioning against “potentially abusive” moves designed to minimize tax bills. The government moved on Monday to limit one strategy involving exchange-traded funds and flagged several others as questionable. The actions followed officials’ comments this year expressing concern about the proliferation of tax-motivated investing techniques. “These transactions are not the result of conventional, long-established tax planning that is consistent with the intent of Congress,” officials wrote in the notice posted on Monday. Strategies aimed at reducing capital-gains taxes, such as a form of tax-loss harvesting that involves leverage, have become particularly popular as stocks have soared over the past few years. Investors seek ways to defer taxable

gains or trigger losses that can be used to offset gains. The government took particular aim at maneuvers known as “351 conversion transactions,” for the tax-code section they aim to employ. In those moves, taxpayers with appreciated gains engage in a series of transactions with newly launched exchange-traded funds that are designed to diversify their holdings without generating capital-gains taxes. Since ETFs began doing 351 exchanges in 2021, more than 100 funds have launched this way, raising a combined \$20 billion or more, said Brent Sullivan, an independent tax analyst who blogs at TaxAlphaInsider.com and 351.tax. Some of those moves would now be considered taxable events under the guidance posted on Monday. “Our message on these conversions is clear: they don’t work under existing law,” Treasury Secretary Scott Bessent said on social media. The government highlighted other tax strategies without is-

suing new rules. Instead, it is seeking public comment and saying it might impose future regulations designed to halt abusive transactions. These include a variation of 351 conversions involving partnerships and certain ETF transactions using so-called box spreads that generate deductible losses. The government also highlighted ETF timing maneuvers around corporate dividend-issuance dates that are designed to avoid recognizing dividend income. The government also flagged several strategies involving swaps and foreign-currency gains. Mike Kaercher, deputy director of the New York University Tax Law Center, called the Treasury’s move a welcome first step in shutting down strategies that overstep the bounds of the law. “When lawmakers fail to close known holes in the tax system such as ETFs,” he said, “those holes will attract and spur ever more aggressive tax avoidance and noncompliance.”

Hopes for Hot IPO Season Fade

Continued from Page One better, they said. Artificial-intelligence giant Anthropic is eyeing November for a potential listing after originally considering one earlier in the fall, The Wall Street Journal has reported. Anthropic’s timing shifted as a debate over AI’s safety and the potential for agents going rogue gripped the world. Its rival OpenAI, which filed for an IPO within days of Anthropic this spring, has pushed its own IPO off until at least next year, suggesting it wants to hold off until more safety-related work can be done in the industry. Advisers have said Anthropic could have a fundraising advan-

tage if it beats OpenAI to the public markets and that OpenAI’s altered timeline likely removed some urgency from Anthropic’s IPO plans. OpenAI is now talking to investors about raising more money privately. The string of delayed offerings illustrates how quickly investors’ enthusiasm for shares of risky new companies can cool. Investors were clamoring for newly issued shares when SpaceX raised \$86 billion in its seemingly goldilocks debut in June—and getting rewarded for it until recently. At the end of June, shares in U.S. companies that had gone public this year were up 24% on average from their IPO prices, according to Dealogic. That premium by new issues has since evaporated; as of

Tuesday morning, shares in U.S. companies that went public so far this year are up less than 1% on average from their IPO prices. Fund managers said they are less eager to take risky bets as geopolitical events roil markets. Others said they are getting choosier when it comes to IPOs, with some reserving capital for Anthropic stock. The IPO market is notoriously finicky and could yet bounce back this year if investor sentiment or market conditions improve. IPO volume surged in 2021 before going into a several-year freeze that began to thaw in 2025. If Anthropic proceeds with its offering this year, U.S. IPOs would likely break 2021’s annual record for money raised by new issues.

24% Rise in shares of U.S. firms that went public this year at the end of June

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U.S. NEWS

Homeland Security Funds Used for Pro-Trump TV Ads

WASHINGTON—The Trump administration used federal funds from the Department of Homeland Security to finance a set of controversial pro-Trump advertisements that recently began airing on television, people familiar with the matter said.

By Tarini Parti, Marianne LeVine and Michelle Hackman

The taxpayer money used to fund the ads that started airing last week came from U.S. Customs and Border Protection, an arm of DHS, the people said.

President Trump personally pushed for the ads and has been involved in their creation, a person familiar with the matter said.

The Trump ads have drawn

public scrutiny in recent days because they include the unusual disclaimer “paid for by the U.S. government.” Critics say the ads may violate laws including the Hatch Act, which prohibits executive-branch employees from using their jobs to promote political causes.

The White House has referred to the ads as public-service announcements.

“These public-service announcements are about reminding Americans to love their country and understand what makes it worth defending, at home, at our borders, and abroad,” the White House said.

DHS declined to comment, referring to the White House’s statement.

One of the ads, a version of which was posted on the White House YouTube channel, featured dozens of images

of the president at White House events. The president declares, “America will never be a communist country,” as a choir sings the song “Love Me” in the background.

By Sunday evening, the ads had aired nearly 90 times across national television networks, including Fox, Newsmax, MS Now and CBS, at an estimated cost of \$337,000, according to ad-tracking firm iSpot.TV. The commercials have also run extensively on local television stations, with 2,311 airings, according to AdImpact, a firm that tracks political ads. An estimated \$1.4 million is behind the local ads, according to a modeled estimate from AdImpact.

Fox Corp. and The Wall Street Journal parent News Corp share common ownership. The ads have drawn criti-

cism from Democrats and some Republicans, who have objected to the use of taxpayer dollars to pay for them. In a letter sent on Tuesday to Homeland Security Secretary Markwayne Mullin, top Democratic appropriators Sens. Patty Murray (D., Wash.) and Chris Murphy (D., Conn.) wrote that “using government funding to create or air political ads like the ones that have been running over the last few days is illegal and a shockingly corrupt misuse of taxpayer dollars.”

Murray and Murphy wrote that it appeared DHS had dedicated \$20 million to the ads, using funds provided to CBP from Republicans’ tax and spending legislation last year, that were intended “for commemorative events relating to border security.”

Boeing Lands Navy Jet-Fighter Contract

By Marcus Weisgerber and Drew FitzGerald

The Navy chose **Boeing** to build its next-generation jet fighter, the latest in a run of contract wins at the aerospace giant’s military unit.

The deal, valued at more than \$20 billion, tasks Boeing with building the next-generation jets that will eventually replace the carrier-launched F/A-18 Super Hornet in the 2030s, the Navy said. Boeing beat **Northrop Grumman**, its only rival in the competition after **Lockheed Martin** dropped out of the running last year.

The jet, which the Navy calls F/A-XX will “deliver a decisive combat advantage for the warfighter,” Michael P. Duffey, undersecretary of defense for acquisition and sustainment, said in a statement.

The deal makes Boeing the sole provider of sixth-generation tactical fighters for both

the Navy and Air Force. Sixth-generation aircraft will likely include more advanced stealth features than their fifth-generation predecessors, sensors that use artificial intelligence and be armed with lasers or hypersonic weapons, according to the Congressional Research Service. They will also likely operate alongside drones.

Lockheed Martin, which makes the F-35 stealth fighter, which is flown by the Air Force, Navy and Marine Corps, is the only maker of fifth-generation jet fighters for the U.S. military.

Boeing last year won a major award to build the next fleet of Air Force jet fighters, dubbed the F-47.

Boeing booked more than \$5 billion of losses on its biggest defense contracts in 2024 and posted an additional \$800 million loss in 2025. The losses include more than \$2.7 billion in charges for its KC-46, a refueling tanker for the Air Force.

Americans Warm to Populism

Continued from Page One
gressive Sen. Bernie Sanders (I., Vt.) and conservative Sen. Josh Hawley (R., Mo.) backing legislation to do so, and Trump, a Republican, calling for a similar measure.

Many of the policy ideas drawing strong support in the survey could be classified as populist—favoring consumers or average citizens over the established powers, such as the wealthy, health insurers or other corporations.

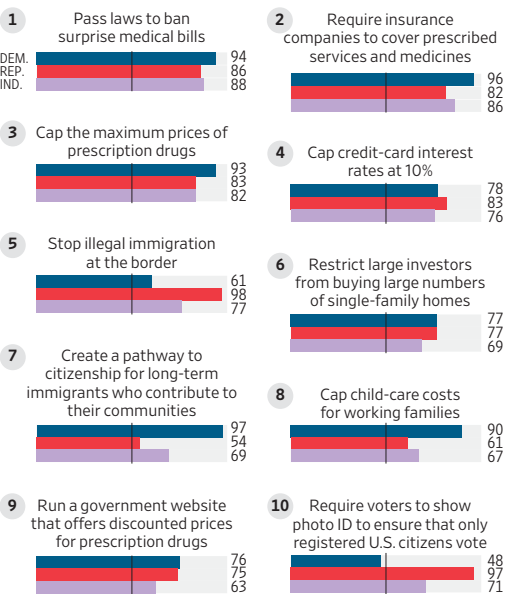
“We love to think about the world as conservative and liberal,” said Democratic pollster John Anzalone, who conducted the survey with Republican Adam Geller. “Maybe we should start thinking about the world as: Populism is a dominant ideology in both the Democratic and Republican parties.”

Populism has been an element of politics in the U.S. for most of its history, and some of the ideas tested in the Journal survey have long been debated. What is new, Geller said, is that many of these policy ideas draw bipartisan support.

“Every popular item that we tested in the poll has someone standing between you and a fair price,” Geller said. “These aren’t conservative or progressive issues. These are big institutions standing in the way of what voters perceive as fairness.”

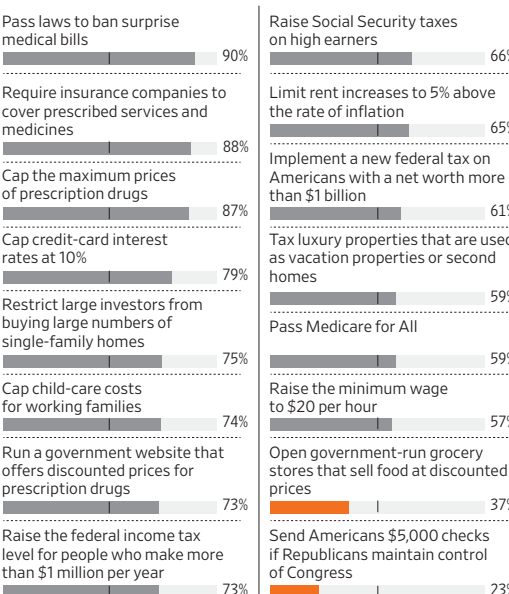
The Journal survey didn’t present the possible negative

Top 10 policies with highest support among both Democratic and Republican voters*



*Policies sorted by percentage of support by all voters.

Approval of policies to help Americans with the cost of living, expand access to healthcare or change tax laws



Source: Wall Street Journal poll of 1,500 registered voters, conducted Sept. 16-21, 2026; margin of error +/- 2.5 pct. pts.

ideas: Trump’s proposal to send \$5,000 checks to all adults if the GOP retains its congressional majorities in the midterm elections. Fewer than one-quarter of voters supported it.

The other affordability idea that voters rejected came from a Democratic socialist: Having the government open stores to sell discounted groceries, as Mayor Zohran Mamdani has proposed in New York City, drew only 37% support.

Raising taxes on the wealthy, a core populist impulse, proved popular among voters in the survey—except with Republicans.

Two-thirds of voters would

raise taxes on people with million-dollar incomes, while a majority of Republicans rejected that idea. About 60% in the survey supported a wealth tax on billionaires, but only about one-third of Republicans backed that proposal.

A third taxation proposal—raising taxes on high-earners to extend the solvency of the Social Security system—drew majority support from Democrats and independents, while Republicans were about evenly divided.

Trump revealed the appetite for a rising strain of populism during his first run for the White House, when his agenda

included ending or reworking free trade deals and protecting Social Security and Medicare.

Now, high housing prices and a waning sense of economic mobility are giving more momentum to populist ideas, Anzalone said.

“When you feel like you can’t buy a home, or you feel like you can’t get ahead, you will all of a sudden be attracted to policies you never thought you would be attracted to,” he said.

At the same time, many voters have lost faith in government’s ability to speak to their concerns. That shows up in the low esteem voters have for the two political parties, both of which are viewed unfavorably by nearly 60% of Americans and favorably by under 40%.

The survey finds that much of the public’s appetite for help from the government has been unaddressed.

Lee Drutman, who focuses on Congress and governance issues at New America, a center-left think tank, said, “The puzzling thing is why neither party has figured out how to do this, given that there’s such widespread support.” One theory: Both parties avoid steps that might help the other party gain credit with voters. Moreover, proposals that require taxpayer funding are often expensive.

The Journal surveyed 1,500 voters from Sept. 16-21, 2026. The margin of error for the full sample was plus or minus 2.5 percentage points.

See More on the Poll

Scan this code to see the full questions and answers for the WSJ poll.

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Drought Hits New Car Models

Continued from Page One
according to a report by veteran automotive analyst John Murphy. That figure, which factors in sales volumes, would be even lower if not for General Motors’ redesign of its top-selling pickup trucks.

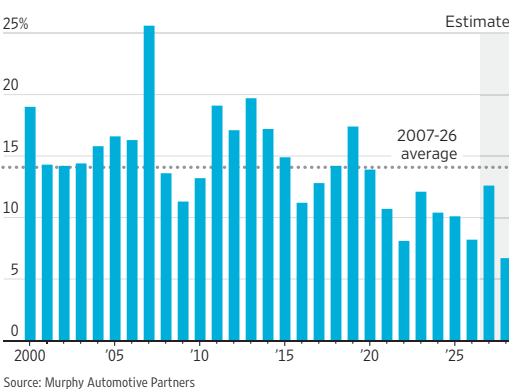
The dearth of new models is a direct hangover from the industry’s shift to electric vehicles and its abrupt pullback. The billions of dollars bet on EVs diverted time and money from the types of models that buyers crave today, from hybrids to V8-powered trucks.

New entries are sparser now than in the years following the Covid pandemic, when the auto industry ground to a halt, and in the aftermath of the auto industry crisis of the 2007-09 recession. It will be at least another year or two before car companies start churning out new models at their usual pace, analysts said.

“We’re in a total stall for new products,” said Murphy, a former Bank of America analyst.

The lull comes amid already tepid U.S. auto sales as car buyers balk at high new-vehicle prices and seek relief from rising gasoline prices. Sales are down about 2% year-to-date, though demand picked up in September, according to a Cox Automotive estimate.

Share of U.S. vehicle volume redesigned in each model year



Source: Murphy Automotive Partners

GM and Ford Motor, with their truck-heavy lineups, have lost market share this year to Toyota Motor, Honda Motor and Hyundai Motor, which have more hybrids and lower-cost offerings.

Carmakers also are late to roll out 2027 model-year vehicles—a result of dwindling redesigns, an industrywide push toward later rollouts and, in some cases, inventory gluts caused by slow-selling vehicles, analysts said.

Automakers rushed to build electric-vehicle lineups at the start of the decade, but demand fell short and then plummeted after the Trump administration last year ended subsidies and clean-air mandates.

The world’s car companies have since canceled or delayed dozens of existing or planned EV models, racking up more than \$70 billion in charges and impairments.

Consequences of the lull

are evident at Mark Trudell’s Chrysler, Dodge and Jeep dealership in Jackson, Mich. The repair shop is a hive of activity, with service bays full of cars brought in by owners trying to eke out more miles. Outside, the new-car lot has rows of unsold vehicles.

Trudell, the general manager, is eager for Stellantis, the parent company of all three brands, to roll out new deals to help boost sales. A bright spot, he said, is the return of the Jeep Cherokee, which is starting to generate more sales.

“There is some stuff on the horizon,” he said. “But it’s going to take three years or more to get there.”

“There was a significant market shift that’s caused everybody to rethink things,” a Stellantis spokesman said. “This industry does not turn on a dime.”

Auto executives are racing

to fast-track made-over portfolios. On the way are hulking trucks and SUVs, sedans and smaller pickups aimed at budget-conscious buyers, hybrids of all sizes and even new EVs.

Making the switch, though, is a massive industrial U-turn. It takes months or years to re-tool factories and set up supply chains, and comes as the world’s automakers navigate fallout from U.S. trade wars and soaring fuel prices. Most new offerings are set to hit the market in 2028 and beyond.

Automakers are leaning on appearance tweaks and special features to freshen up their lineups, rolling out throwbacks, special-edition paint packages and niche trim levels to keep buyers interested.

For now, there is a Jeep Wrangler dressed in fluorescent, 1980s nostalgia. Or a souped-up Mustang that starts at \$100,000.

Ford, especially, has embraced the strategy. It is adding off-road-ready versions of its pickups and SUVs, a street-racer style compact Maverick pickup and product tie-ins with Carhartt and Filson outdoor gear.

The dry stretch is hitting carmakers differently, said Erin Keating, an executive analyst at Cox. “You want to show the value of a price increase,” she said.

Keating said Detroit automakers are missing out on newly popular segments—namely hybrids and affordable models—where their Asian rivals with more varied offerings don’t have to wait for new arrivals to meet demand.

WORLD NEWS

Settler Violence Intensifies in West Bank

Israeli forces face off with attackers to protect Palestinian family under siege

TEL AVIV—More than 100 settlers overwhelmed Israeli security forces who were trying to escort a Palestinian family back to their home in the West Bank, showing the extent to which violence in the occupied territory has spiraled ahead of tightly contested elections.

By *Feliz Solomon, Suha Ma'ayeh and Anat Peled*

The Jewish settlers threw rocks and attacked military vehicles late Monday as Israeli forces attempted to fulfill a court order to return the family, after settler violence forced them to flee their home in July. Settlers climbed in through windows as soldiers tried to shield the family in the house, according to the family and their lawyer, eventually forcing a retreat. Israel's Prime Minister Benjamin Netanyahu, who seeks to stay in power with his co-alition government that includes hard-line settler supporters, has come under



When they returned to the West Bank, the Tubasi family found their house had been torched.

growing pressure to rein in West Bank violence. Netanyahu condemned the latest attack and called for the perpetrators to be prosecuted, blaming a “handful of rioters” that he said don’t represent the wider settler movement. Three border police were slightly injured in the clashes that carried on into Tuesday morning as the settlers blocked roads, set tires on fire and threw rocks at officers. At least two Israelis were

detained, the military said. The family had to be evacuated and is still unable to return, the family’s lawyer said. Critics of Netanyahu’s government say Jewish settlers have become emboldened by the near-total impunity they enjoy under his administration. Netanyahu’s main challenger in the election, former military chief Gadi Eisenkot, called the attack part of “a campaign of terror” that harms the nation.

“This is what anarchy and loss of control look like, which have reached new heights under the current government,” he said on X. Attacks by Israeli settlers in the West Bank have soared in recent years, coinciding with a rapid expansion of Jewish settlements in the Palestinian territory in the wake of the Hamas-led attack on Israel on Oct. 7, 2023. The attackers often are young, ideologically driven settlers from a

group known as Hilltop Youth, who live in informal outposts that surround more established settlements. Israeli security officials say they believe hundreds of boys and young men make up the movement’s violent core. High-profile attacks that began in mid-July has drawn international outcry and rare condemnation from Israel’s leaders. The violence, including Monday’s attack, has largely been concentrated in a strip of land between the two major Palestinian cities of Ramallah and Nablus, an area that has long been a hotbed of retaliatory violence between Jews and Arabs. The Tubasi family was forced to flee their home on the outskirts of a village called Jalud in July as a result of several attacks and routine harassment by youths from the nearby settlement of Esh Kodesh. In early September, Israel’s High Court ordered the state to ensure their safe return, said their lawyer, Ghaith Nasser. Late Monday night, some 30 to 40 security forces were deployed to escort the family back to their home, he said. When the family stepped inside for the first time since they fled, they found their house had been ransacked. Windows and fixtures had

been shattered, with electrical cables slashed, Nasser said. They were still inspecting the damage by flashlight, and Israeli security services were still present when the settlers attacked again, according to the family and the lawyer. Wael Tubasi, the 32-year-old son of homeowner Mahmoud Tubasi, described their frantic escape. He said he and his parents huddled together in a stairwell as settlers began climbing in through the windows. Authorities ordered the family to hide in a corner of the rooftop, where Tubasi watched as soldiers squared off with the attackers in a cloud of tear gas. “The soldiers initially moved the family to a protected area inside the house in an attempt to shield them from the attack,” Nasser said. “As the situation escalated, the military was unable to bring the attack under control.” Before long, soldiers and police moved the family to a vehicle outside. Settlers surrounded the vehicle and slashed the tires, Wael and the lawyer said, rendering it inoperable. The lawyer said they were then moved to an armored vehicle and evacuated. After leaving, the family received video footage of their house on fire, the lawyer said.

Mystery Deepens Over Alleged U.K. Terror Incident

LONDON—At first glance, it would seem like a chilling tale of a terrorist attack narrowly averted: Five masked men caught only a few hundred yards from an air base that hosts U.S. bombers used in the war with Iran. They had three white vans and large black drums with what police feared contained explosive material.

By *David Luhnow, Max Colchester and Shelby Holliday*

The sense of a narrow escape grew after President Trump said the men intended to do serious damage and were under investigation. British officials said they are investigating whether Iran was behind it, an allegation Tehran denied. But the release of the five men after a day-and-a-half of custody—despite the fact that U.K. police have legal powers to

hadn’t been seen for the past week, leading the locals to presume the men were being kept on base for security reasons. U.S. military officials in Europe were briefed Thursday that the U.S. had obtained credible intelligence regarding a possible vehicle-borne improvised explosive device aimed at a U.K. military base, said a person familiar with the briefing. The men’s release left many Britons and Americans scratching their heads. “Something very odd is going on,” the Sun newspaper said. The feeling across British media and the public was that there are now more questions than answers. But that isn’t all that surprising at this early stage in an investigation, Bury said. Some locals speculated that the men, all from London, might have been in the area to steal fuel from nearby farmers. That would explain the

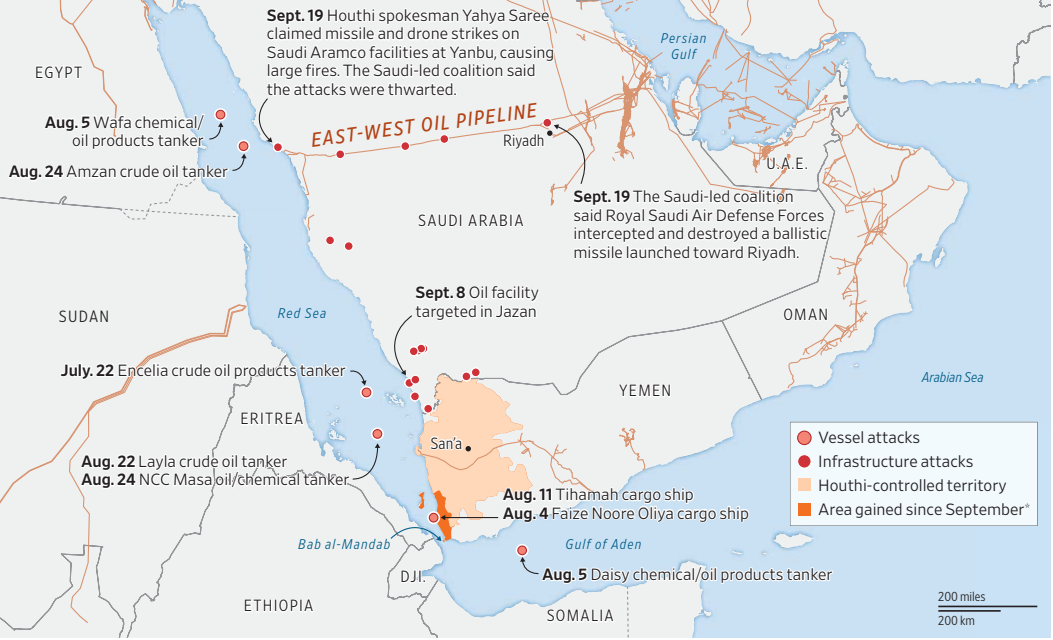
A theory is the men might have been unwitting pawns in a larger operation.

black drums found, and police suspicions of some explosive-type material. But security officials said it would be a heck of a coincidence—or bad luck—that they chose a meeting point so close to a major military base when security services were on heightened alert. Another theory is the men might have been unwitting pawns in a larger operation, perhaps only the first stage in a larger effort or a “dry run” for a future attack. Iran, Russia and other states often have used local proxies—low-level criminals—to carry out sabotage or attacks for money without them even knowing the plan or the source of the payment. Trump said he was surprised by the men’s release, adding that he wouldn’t have released them. British officials stressed that the release of the men didn’t mean the end of the investigation. Laurence Taylor, the head of counterterrorism police, said investigators were still considering every angle. Some U.K. politicians have called for British officials to clarify what they knew when, and whether the Americans have a different version of events. British police said they acted after a tip from a local farmer, but U.S. officials have described a joint-intelligence operation. “Clearly there is a major discrepancy between what President Trump is saying and what we’re hearing from local police,” said Roz Savage, a lawmaker from the area where the base is located.

Houthi Moves Powered by Arms From Iran, China

Houthi attacks in the Red Sea
Since declaring a Saudi shipping blockade on July 20, the Houthis have struck seven vessels in the Red Sea and one on the Gulf of Aden. Four of them carry the Saudi flag.

Houthi and other attacks on Saudi infrastructure
The Houthis have also attacked Saudi Arabia’s energy infrastructure, targeting Aramco facilities with missiles and drones. Riyadh hasn’t reported any damage from those attacks.



The Houthis’ missile and drone range
The Houthis’ arsenal, which includes drones, and cruise and ballistic missiles, allows them to threaten territory over 1,500 miles away. The longer-range weapons extend their threat deep into Saudi Arabia and as far as Israel.

Houthi smuggling routes*
Land routes
Sea routes
Houthi-controlled territory



Yemen’s Tehran-backed Houthi rebels have catapulted themselves into the heart of the conflict in the Middle East in recent weeks. The militant group has stepped up attacks in the Red Sea, expanded its footprint along the Yemeni coast and asserted control over the Bab al-Mandeb Strait, a crucial corridor for global energy. They have enlarged their sphere of influence to become key players in the war between the U.S. and Iran. With about 350,000 fighters, the Houthis burst out of the territory the group has held for more than a decade in western Yemen. In the lightning offensive, the Houthis seized islands in the

Red Sea and expanded their dominion on the mainland, including the port city of Mokha. In mid-August, they moved weapons and thousands of troops to positions around Mokha, threatening their opponents’ supply lines. They used their control of Yemeni telecoms systems to listen in on their enemies’ calls and to sow confusion and intimidate their rivals into giving up. The Houthis lack a traditional navy, but they operate a disruptive, asymmetric maritime force along Yemen’s coastline, relying on Iranian-designed land-based missiles, explosive drones, sea mines and armed fast-attack boats,

as well as drone boats, to assert control. The Houthis’ arsenal of ballistic and cruise missiles, anti-ship weapons and drones draws heavily on Iranian technology and components. The group can produce or modify some weapons in Yemen, while relying on Iran for more sophisticated systems and technical assistance. Many of these weapons are stored in underground facilities, says the U.S. Defense Department. The Houthis frequently use Waid suicide drones, local versions of Iran’s Shahed. The group also has launched the more sophisticated Samad drone to attack Saudi Arabia, the United Arab Emirates and Israel.

The Houthis are the first nonstate actor to deploy anti-ship ballistic missiles, adapted for operations in the Red Sea. The best known is the Sayyad, which can search and lock onto vessels using radar reflections. The Houthis now have a new source for the supplies they need to launch their attacks: China. Chinese companies are supplying the group with so-called dual-use goods that can be used for both military and civilian purposes. The goods are particularly critical for its drone technology, said United Nations reports and data gathered by arms experts. —Benoit Faucon, Andrew Barnett, Daniel Kiss

WORLD NEWS

Pentagon Escalates Latin America Drug War

General shares new drone details, says U.S.-assisted land strikes are an option

One year after it began striking boats suspected of ferrying drugs, the Pentagon is dramatically expanding the military's role in hunting drug cartels across Latin America and the Caribbean, deploying high-tech drones to chart smuggling networks and sending U.S. troops to assist in ground raids. The top general in charge—a Marine four-star who spent

By Shelby Holliday, Vera Bergengruen and Lara Seligman

years disrupting terror networks in the Middle East—said in a recent interview that the goal is to help countries in the region expand antidrug operations with U.S. assistance. The deployments are part of a wider effort by the administration to try to disrupt illicit trafficking networks worldwide using sophisticated military technology and other counterterrorism tools, other U.S. officials said. “Do I see land strikes as options? Yes. We want all options at the table,” said Gen. Francis Donovan, head of U.S. Southern Command, which oversees troops in the region. “Those actions might be strikes, arrests, or the takedown



U.S. and Ecuadorean forces last week participated in a drug crackdown in Guayaquil, Ecuador.

of a safe house. It could even be something as routine as increasing the use of cargo scanners at border checkpoints,” Donovan said, adding that the goal is to put “total systemic friction” on the cartels. The U.S. military’s cooperation with Latin American partners has expanded rapidly in recent months. Last week, some 50 U.S. troops and law enforcement personnel joined Ecuadorean police in predawn raids against an alleged cocaine-trafficking network linked to a Mexican cartel, said Ecuadorean and U.S. officials. The operation marked the

first time U.S. troops have directly participated in police raids in the country, said Ecuadorean officials, and it was supported by high-tech U.S. military assets, including drones and jamming equipment. It is a model that Trump officials plan to expand across the region. So far this year, the U.S. military has helped Ecuador bomb a suspected drug-trafficking camp, worked with Venezuela to carry out a strike that killed the leader of the Tren de Aragua gang, and provided intelligence support for operations in Colombia. On Monday, Colombian forces

captured an alleged drug-gang leader after tracking him with the help of U.S. law enforcement and American-supplied drones equipped with infrared sensors, local authorities said. The growing operational role marks a significant shift for Southern Command, which traditionally maintained a light U.S. military footprint in the region, and focused largely on intelligence sharing, interdictions, training and disaster relief. Donovan said a range of high-tech systems is needed because Latin America—with its thick jungle canopy, severe weather and mountainous ter-

rain—poses far greater challenges in hunting down targets than the dry and open landscape in the Middle East. Some of the drones being used, including boats that can launch quadcopters, will operate along riverways and deep in the jungle, where drug smugglers can shield their activities under layers of canopy. “This allows us to see under the canopy and right at the waterline. That is where we find drug labs and where they build these large semi-submersible platforms deep in the jungle,” Donovan said. To support expanding operations, the Pentagon is considering moving MQ-9 Reaper drones to Central and South America from Africa, said U.S. officials familiar with the plans. Donovan didn’t comment on the proposed shift. MQ-9s, which can pick up electronic communications, detect heat signatures and conduct precision strikes, have been crucial in U.S. counterterrorism efforts. The effort also comes as the U.S. military examines the ways in which the networks are operating across continents. Officials from several of the U.S. military’s combatant commands met in Washington last week to discuss a global effort to counter drug cartels, said U.S. officials. “The Department is focused on synchronizing our commands, interagency partners,

and international partners share information, close operational seams, and apply sustained pressure across these networks,” Pentagon spokesman Sean Parnell said. The ramped-up campaign comes as the Trump administration embraces a more muscular approach to Latin America, designating more than 20 groups as foreign terrorist organizations and cultivating a sprawling military alliance across the region to help crack down on cartel activity. The expansion of U.S. military operations beyond boat strikes to land operations could intensify legal scrutiny. Trump officials have argued that the U.S. is engaged in an armed conflict with drug cartels, likening them to Islamist terror groups—an assertion that has been disputed by legal experts and lawmakers who say Congress hasn’t authorized such a war. The State Department notified Congress this month that it plans to redirect \$52 million in foreign military financing from Slovakia, North Macedonia, Tunisia and Iraq to Colombia, Ecuador, Peru and Panama. Donovan said the growing list of countries working with the U.S. is a testament to the threat that drug gangs pose throughout the region. He said the goal is to see these countries take the lead in executing counterdrug operations.

North Korea Land Mines Likely Behind DMZ Explosion, Seoul Says

By TIMOTHY W. MARTIN AND SOOYOUNG RHEE

SEOUL—The explosives that detonated and injured three South Korean troops last week were almost certainly North Korean land mines, Seoul officials said, escalating military tensions between the rivals. The land mines detonated in the western part of the Ko-

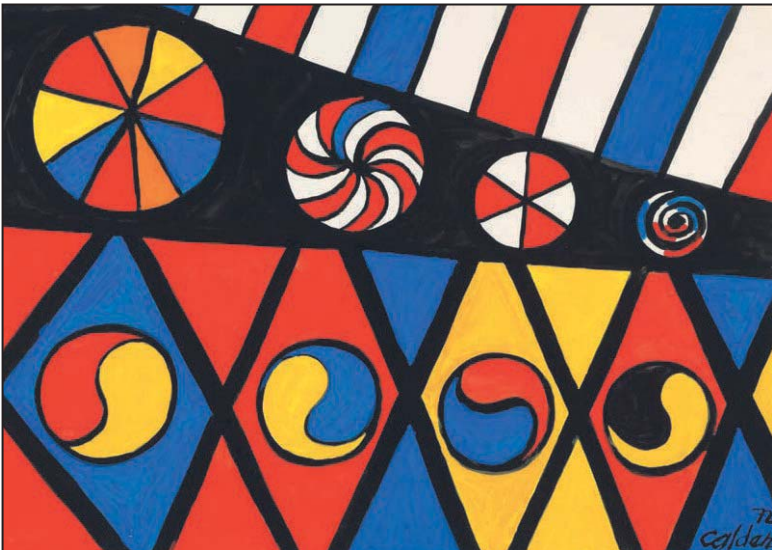
rean Demilitarized Zone, a roughly 2-miles-wide area that separates the North and South. The explosions occurred, Seoul said, about 30 feet south of the military demarcation line on South Korea’s side amid an uptick of North Korean activity in that part of the DMZ. In recent years, Pyongyang has beefed up its border fortifications,

laying new land mines, constructing new walls and building antitank barriers. South Korea said North Korean land mines “highly likely” caused the explosions based on the blast crater, flame patterns and the soldiers’ injuries. It is a preliminary assessment from a joint investigation with the United Nations Command, which en-

forces the armistice that ended the active hostilities of the 1950-53 Korean War. On Wednesday, the U.N. Command said an armistice violation had occurred, noting an active North Korean mine had been found on the South Korean side of the DMZ. South Korea’s military on the same day demanded an apology from North Korea. In its first public comments on the matter, North Korea denied its soldiers had entered South Korean territory, accusing Seoul of fabricating evidence to shift blame onto Pyongyang. “We will never remain a passive onlooker to the hostile acts causing greater concern

in the border area,” said Kim Yo Jong, the leader’s sister and regime spokeswoman, in a statement. Under left-leaning President Lee Jae Myung, South Korea has sought to temper hostilities with North Korea, giving priority to engagement over confrontation. But the landmine incident has prompted Seoul’s military to warn of “appropriate and corresponding” measures should the investigation identify North Korea as the likely culprit. More than one million land mines are estimated to be in the DMZ, the no-man’s-land created as part of the armistice. Many are unmapped. That means little mine re-

moval has occurred there. Four mines at the site were clustered within about a dozen feet of one another, said South Korean Defense Minister Kang Shin-chul at a Tuesday legislative hearing. The mines were covered by soil and roots and appeared to have been placed intentionally in September 2025, rather than having drifted there, he said. “It falls into a gray zone,” said Shin Jong-woo, who served in South Korea’s Joint Chiefs of Staff more than a decade ago when another landmine incident occurred. The regime of North Korean leader Kim Jong Un has grown more hostile toward South Korea in the past few years..



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WORLD WATCH



ALL FIRED UP: Firefighters gathered Tuesday in Paris during a day of nationwide public-sector strikes and protests two days before the presentation of France's draft 2027 budget.

BURUNDI
Pact Set to Accept U.S. Deportees

Burundi has agreed to accept people deported by the U.S. who have no previous connection to the East African nation, said a spokesperson for the president. On Tuesday, Nancy Ninette Mutoni said Burundi would accept only people who weren't facing prosecution and had no ties to terrorism. She didn't say when the deportees would arrive or how many people Burundi agreed to receive. She said preparations were under way to provide accommodations and help the deportees live in communities. The Trump administration has expanded third-country deportations as part of its immigration crackdown, sending people to countries where they aren't citizens and might never have lived. A U.S. appeals court ruling last week threw the program into question.

—Associated Press

UNITED KINGDOM
Burnham Pledges A Big Shake-Up

New British Prime Minister Andy Burnham set out a sweeping political vision on Tuesday, pledging to give Britain “a new social contract for the 21st century,” reform the country's electoral system and reset its ties with Europe. But he acknowledged economic constraints make delivering his plans a big political risk. “Small things will not get us through what are difficult times,” he said at the Labour Party's annual conference. Burnham set out a vision of more social housing, better education and more affordable care for the elderly. He warned that money would have to come from welfare and pension spending. Anticipating opposition, he said: “I have given you what you often say is missing from politics: honesty, ideas and a clear direction for the country we all love.”

—Associated Press

MIDEAST
Unlikely Palestinian Coalition Is Formed

Hamas and the allied Islamic Jihad group have agreed to form an unlikely electoral coalition with an ex-top Fatah official who has close ties to the United Arab Emirates, Israel's closest ally in the Middle East, Palestinian officials said. The alliance could be well positioned to threaten the dominance of President Mahmoud Abbas's Fatah party over the internationally recognized Palestinian Authority—but only if the first national elections in 20 years actually happen, which is in doubt. Abbas has said parliamentary elections will be held Nov. 28 in Gaza and the West Bank. But he repeatedly delayed elections, most recently in 2021, when Fatah appeared headed for defeat. When Hamas won the last elections, in 2006, Israel and Western countries boycotted its government.

—Associated Press

WORLD NEWS

Canada GDP Indicates Recovery After July Stall

By ROBB M. STEWART

OTTAWA—Canada’s econ-
omy looks to have perked up
again after stalling at the start
of the summer, setting it up
for cooler growth this quarter
before a fresh squeeze from an
increase in tariffs.
Gross domestic product
was unchanged from the
month before in July, snap-
ping three straight months of
expansion that included up-
wardly revised growth of 0.4%
in June, Statistics Canada said
Tuesday. Advance industry ac-

counts indicate growth re-
sumed in August, with activity
rising 0.2%.
July data show flat activity
overall for the country’s
goods-producing industries
despite a continued pick up in
construction, as well as no
growth broadly for services
industries as retail and whole-
sale trade weighed.
The data agency’s early
look at last month points to a
recovery in mining and retail
that was partially offset by
further declines in oil and gas
extraction.

Economists calculate the
result has the economy track-
ing annualized growth some-
where ahead of the 1.5% pace
projected by the Bank of Can-
ada. That would mark a sharp
deceleration from the strong
rebound in the second quarter,
yet is still viewed by analysts
as solid before the fresh un-
certainty businesses and
households face after an esca-
lation in trade tensions be-
tween Canada and the U.S.
The data leaves the central
bank still balancing potential
downside risk for economic

growth and a tightening in fi-
nancial conditions with higher
bond yields against resilient
backward looking economic
data and the threat elevated
energy costs will spread into
inflation broadly, Royal Bank
of Canada economist Abbey
Xu said.
New U.S. tariffs on the
equivalent of about 5% of Can-
adian exported goods aren’t
expected to have a large direct
effect but will hit targeted in-
dustries disproportionately.
Bank of Canada Gov. Tiff
Macklem has warned the

breakdown in trade negotia-
tions between Ottawa and
Washington could again cause
business to delay investment
and hiring decisions and re-
train growth.
Economists were expecting
little to no growth for the
economy in July, in line with
Statistics Canada’s earlier
flash estimate.
Industry accounts showed
that construction activity in-
creased for a fourth consec-
utive month, offsetting a pull-
back into the start of 2026.
There also was a rebound by

utilities in July that countered
a contraction the month be-
fore, led by growth in electric
power generation, transmis-
sion and distribution.
Still, manufacturing activ-
ity retreated for the first time
in four months, in part be-
cause of unplanned downtime
at a petroleum refinery in
southwestern Ontario that re-
sulted in lower fuel output.
And there were falls in oil and
gas extraction, excluding at oil
sands mines in Western Can-
ada which tempered the fall,
and in mining.

FROM PAGE ONE

Game Plan
Struggled
To Pass Go

Continued from Page One
of what would eventually be
called the Monopoly Americana
Edition after Trump’s tariffs
disrupted Chinese production.
The first 2,500 copies of the
Americana Edition—with prop-
erties named after U.S. land-
marks—hit shelves in June, in
time for the nation’s 250th an-
niversary but four months later
than expected. Difficulties mak-
ing the tray used to hold game
parts delayed the second half
of the 5,000-unit order until
August.
WS Game’s experience high-
lights the challenges of quickly
shifting production to the U.S.
after decades of working with
Chinese partners. The company
initially thought it could make
a game for about 20% more
than the cost in China, after
factoring in shipping, said
Adam Hocherman, WS Game’s
director of new business devel-
opment. Instead, the premium
was around 100%.
Higher labor and materials
costs were among the many
challenges, Hocherman said.
Other key differences: In China,
unlike the U.S., many factories
specialize in things like de-
tailed components, and facto-
ries are closer together.
“The product made in China
has so many little things that
are better than we can do
here,” said Chief Operating Of-
ficer Kerry Addis, Jonathan’s
sister and fellow co-owner. “It’s
hard to say that they are equi-
valent even though the Ameri-
cana is so much more money.”

Family company

WS Game sells about one
million high-end games a year.
Based in Manchester-by-the-
Sea, Mass., it has 25 employ-
ees. Dana Silva, Jonathan and
Kerry’s father, and co-founder
Michael Doyle launched WS
Game in 2000 to design and
develop games for Hasbro, the
toy company that owns or li-
censes the rights to hundreds
of games. Their first licensed
Hasbro products were coffee
tables, accent tables and pub
tables with built-in versions of
Scrabble or Monopoly.
For two decades, Dana Silva
spent 80 to 100 days a year in
Asia. As the company’s presi-
dent, he still travels there an
average of 30 to 40 days a
year.
In 2009, Hasbro asked Silva
and Doyle to create a line of
classic games for Restoration
Hardware, the furniture re-
tailer. The first three were
high-end versions of Monopoly,
Scrabble and Clue. They be-
came the model for WS Game’s
Vintage Bookshelf line, with
boxes that resemble books.
To give them a distinctive
look, they created a rounded
book-like spine that wouldn’t
collapse. They decided that
houses and hotels would be
made out of wood rather than
plastic, packaged inside reseal-
able bags. And they asked their
Chinese factory to insert a hid-
den magnetic closure.
“The magnet was an im-
portant part of the design,” said
Jonathan Silva, who joined the
company in time for the
launch. “We wanted to make
sure the customer wasn’t left
with a box that flopped open.”
The whole process took roughly
a year, he said.
When Trump raised tariffs
on Chinese imports to 145%
last year, Jonathan Silva tem-
porarily halted Chinese produc-
tion. That August, he rushed in
\$5 million of inventory during
a pause that temporarily low-
ered tariffs to 30%. Many cus-



Kerry Addis and Jonathan Silva, the sibling co-owners of WS Game.

tomers had already canceled or
pared orders. Sales ended the
year down 35%.
Silva also started looking for
new manufacturing partners—
in Vietnam, Taiwan, Indonesia,
Canada and Brazil. He tasked
Hocherman with developing a
U.S.-made luxury game.
The American version in-
cludes numerous adjustments
tied to the realities of U.S. pro-
duction. It has a paper cover
and a flat spine, while the Chi-
nese-made version is covered
in fabric, with a curved spine.
It also lacks a magnetic closure.
The magnets are inserted by
hand in China, a step that was
too costly to replicate.
The houses and hotels are
plastic rather than wood. Stan-
dard sealed plastic bags re-
placed the reusable ones.
And the dice? They still
come from China. The game
company couldn’t find anyone
in the U.S. to make 5,000 pairs.
In China, WS Game tells fac-
tories what it wants, and asks
them to make the idea a reality.
The U.S. process was reversed.
“We figured out what the fac-
tories’ capabilities were, then
backed into the design,” said
Silva.
No one could do the job
from start to finish, as is the
case in China. The team looked
at different game formats and
cast about for manufacturers
that could supply individual
components before settling on
a hybrid approach that relied
on one main manufacturer and
several smaller suppliers.
Often, their decisions came
down to dollars and cents. Card
boxes fell by the wayside be-
cause they cost about \$5 each
in the U.S. versus pennies per
box in China.
Hocherman, who oversaw
the project, first imagined a
luxury game in a wooden box—
similar to versions the com-
pany has been making in China
for years. But it was too expen-
sive, with an estimated cost of
at least \$65 just for the box.
WS Game typically prices
games at four to six times pro-
duction costs to provide a

profit for each party in the
supply chain.
The company pivoted to a
game suitable for display on a
coffee table, modeled after the
Vintage Bookshelf line, but
larger. U.S. box makers couldn’t
produce the curve-spined book
WS Game wanted, or an attrac-
tive box that met the com-
pany’s quality standards. A
book maker expressed interest,
but the cost was too high.
WS Game finally found a
partner in game manufacturer
Cartamundi Group, the only

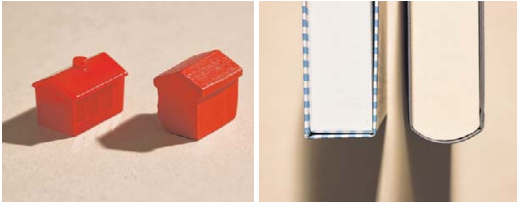
A plastic
game tray
nearly undid
the project.

traditional game maker with a
U.S. factory to express interest
in the project. The two compa-
nies brought in outside suppli-
ers for parts Cartamundi
couldn’t make.
Cartamundi is based in Bel-
gium, but operates a factory
the size of 20 football fields in
East Longmeadow, Mass., that
once belonged to Hasbro. The
operation dates back to the
1960s, according to Hasbro,
which acquired the site from
Milton Bradley and sold it to
Cartamundi in 2015.
East Longmeadow manufac-
tures games for roughly two
dozen customers, mostly in
batches of 5,000 to 20,000. The
factory employs about 375 full-
and part-time workers, includ-
ing dozens who’ve been there
for more than 40 years; head
count is up about 100 from last
year. The factory makes The
Game of Life, Candy Land and
other Hasbro bestsellers—in-
cluding the standard version
Monopoly. There’s a 30-year-
old printing press and ma-
chines added in the last two
years to serve the burgeoning
trading-card games business.
East Longmeadow churned
out more than one million

games a week during the pan-
demic, but orders softened as
the country reopened. Three
years ago, Cartamundi lowered
its minimum order size to
5,000 from 20,000 to attract
smaller game companies.
The Americana game wasn’t
just a smaller run, said Hung
Le, vice president of business
development, North America,
at Cartamundi. It was also a
custom project with special re-
quirements. “It comes down to
a feasibility and budget issue,”
he said. “It’s not the fact that
we aren’t able to do it. It’s that
we aren’t able to make it at the
price point that met the other
criteria.”
Instead of wooden houses
and hotels, WS Game opted for
green and red injection-molded
properties, which Cartamundi
produces in the millions for
standard versions of Monopoly.
Putting everything together
in the book-style packaging
was another challenge. “It took
us a month to figure it out, re-
purposing and modifying
equipment we had,” said Le.

‘I was done’

A plastic game tray pro-
duced by an outside vendor
nearly undid the project. The
tray, manufactured by a com-
pany called Pioneer Packaging,
uses plastic treated in a special
way known as flocking that cre-
ates a velvety feel; it has slots
for money and compartments
for the cards and other pieces.
Tooling to make the trays
costs nearly 10 times as much
in the U.S. as in China, WS
Game said. Production delays
made matters worse.
When Pioneer created sam-
ples, cavities intended to hold
game accessories didn’t form,
or came out too thin or shal-
low. Once it moved into pro-
duction, trays wouldn’t release
from their molds, cracked when
they did or broke during ship-
ping or in use tests.
Silva discussed killing the
project and paying Cartamundi
for its costs. “I threw my hands
up. I was done,” he said. “I was



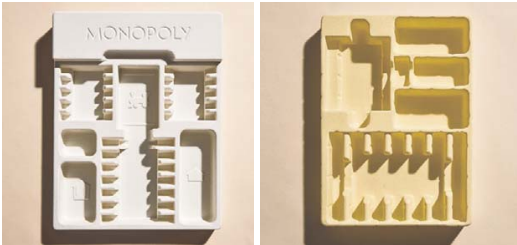
The U.S.-made game has plastic hotels (left); its box is flat while the China-made version has a rounded, book-like spine.



The plastic houses in the U.S.-made game come in standard plastic bags; the China-made edition has reusable bags.



The U.S.-made Americana Edition costs \$80; the China-made Vintage Bookshelf version typically sells for \$45.



The U.S.-made tray, left, versus the China-made tray.

sick of this.” The team looked
at importing game trays from
Asia, but was committed to
making the game in the U.S.
Addison Camossi, Pioneer’s
co-owner and sales representa-
tive, said she made at least five
trips to WS Game and Cartam-
undi, carrying samples to
show that her 80-year-old fam-
ily-owned business was deter-
mined to get the tray right.
Pioneer typically works with
food, medical and industrial
supply companies, creating dis-
posable trays. The Chicopee,
Mass., company specializes in
custom orders but had never
made a game tray—or a holder
meant to last.
“It’s the first time we made
something that doesn’t auto-
matically go in the trash,” said
Camossi. Pioneer bought addi-
tional tooling and experi-
mented with changes in tem-
perature and curing times. It
brought in a retired former em-
ployee as a consultant, used a
special foam to release the
trays and stacked them on
boards rather than on top of

each other to prevent cracking.
Camossi said that Pioneer
hand-inspected every tray be-
fore it went out the door.
Production of the second
batch of trays was delayed be-
cause Pioneer used much of the
raw material figuring out how
to get the job done right. It had
to wait more than a month for
additional supplies because of
the flocking and special color.
“This would be more a wash
to a loss, but a learning experi-
ence,” said Lynn Kieszek, Pio-
neer’s CEO.
WS Game typically sells its
Chinese-made Vintage Book-
shelf editions for \$45. The com-
pany initially targeted a \$50
price tag for the Americana
Edition. It didn’t come close.
The new game took nearly 14
months to bring to market com-
pared with roughly nine months
to create a game in China, and
with an \$80 price tag.
“While we are not selling
the units for less than they cost
to make, we are not able to
cover our typical overhead or
the resources that went into
development,” said Silva.
WS Game sold out the first
batch of 2,500 games and re-
ceived preorders for about 10%
of the 2,300 units completed in
August. (It ended up 200 units
short of the 5,000 it had wanted
due to the production issues.)
Sales for the second batch
“were definitely hurt by the de-
lays,” Jonathan Silva said.
“There was something nos-
talgic about manufacturing a
product at a former Milton
Bradley factory,” said Addis,
who had visited the East Long-
meadow factory as an intern
for Winning Solutions, which
later became WS Game.
That was decades ago, how-
ever. “A lot of the changes we
faced had to do with the fact
that U.S. manufacturing is not
doing these types of products
anymore, if they ever did,” Ad-
dis said. “To try and come back
and try to put it together in a
year was very challenging.”



Cartamundi’s final assembly line for the Monopoly Americana Edition in East Longmeadow, Mass.

CLOCKWISE FROM LEFT: JAKE BELCHER/THE WASHINGTON POST/GETTY IMAGES; ELIZABETH ARVELO/COETZEE/WSJ.COM



Younger Employees Want Feedback to Be Gentle

Bosses are turning to bots and consultants to give Gen Z workers more helpful, frequent direction

By RAY A. SMITH

Bosses are getting no shortage of feedback on how to give their youngest staffers...well, feedback: Do ask how they are doing first. Don't criticize a personality trait. Do give them concrete direction, and a lot of it.

And whatever you do, call a performance discussion a check-in, not a review.

The oldest members of Gen Z are about to turn 30, yet companies are devoting more time and resources than ever to figuring out how to give this manager-befuddling generation better direction. For help, they are turning to a cottage industry of multigeneration-workplace consultants and even artificial-intelligence bots, while ripping up the script for what used to be once-a-year evaluations.

All of it is a departure for leaders who rose through the ranks in an era devoid of so much thought to effective coaching and criticism. "When I started my first job, I got a performance review a year later, and that was just expected," said Adam Coyne, chief administrative

officer at research and analytics firm Mathematica, which has shifted from annual reviews to quarterly, two-way check-ins for new junior hires.

"This is a group that wants a lot more real-time feedback," added Coyne, 55.

It is a message managers say they are getting nonstop from surveys and all-hands meetings, not to mention the universities and colleges preparing graduates for the white-collar world of work: Used to the immediate validation of social-media likes and comments, even instantly posted grades, this generation of workers craves clear, frequent direction—and they feel disoriented and anxious when they don't get it.

Gallup data suggest companies are still struggling to get the hang of it. Younger workers report some of the biggest drops in engagement at work over the past five years. Not knowing where they stand appears to be a big factor. The share of Gen Z and youn-

Call a performance discussion a check-in, not a review.

ger millennials who strongly agreed with the statement, "I know what is expected of me at work," fell 9 points to 42% in surveys between 2020 and 2025.

That doesn't mean they need the effusive praise that many managers claim they do, some 20-something workers say. "I personally dislike this style," said Nathan Luckock, a 20-year-old engineer at an AI startup. More effective, he said, is just "pointing out mistakes and then offering a solution."

That sounds familiar to Lindsey Pollak, a multigenerational workforce expert and executive coach, who says she coaches bosses to be as specific as possible. Instead of "be more responsive," for instance, she suggests "need to hear from you within an hour of receiving an instruction."

At Mathematica, Chief Executive Paul Decker said the firm switched to more frequent check-ins in part because so many new entry-level hires were peppering supervisors with questions like:



Valerie Chapman, founder and CEO of Ruth AI.

"How am I doing?" and "What does the next level require?" At staff meetings, younger workers often questioned why things were done the way they had always been done.

That included things like "wait-

ing months to learn whether you're meeting expectations," he said.

KPMG executives said they, too, began giving their younger workers more frequent assessments on skills like critical thinking and adaptability last year after interns said they wanted to hear more often how their skills were coming along. The firm wanted to "make sure that we scratch the itch," said Jason LaRue, vice chair of talent and culture at KPMG's U.S. practice.

Some managers are getting feedback on giving feedback from bots.

Joe Hirsch, a corporate speaker and author of "The Feedback Fix," recently used an AI coaching platform to work with a tech-company manager on her delivery. She had been frustrated that one of her junior reports wasn't grasping her pointers on pitching clients, so she role-played the conversation with the AI coach.

The problem, the bot advised, was that she wasn't giving the employee enough context for why she wanted things done a certain way. "Let's connect so I can share more about our approach and get your take on it," it suggested she say.

That did the trick when she tried the approach in real life. "The advice finally landed," Hirsch said.

Even a few, clear bullet points work, said Valerie Chapman, the 27-year-old founder and CEO of Ruth AI, a career strategist platform for women. "My generation likes to get feedback so that they know how they should adjust."

She recalls getting bullet-pointed direction when she worked as a strategic growth partner at real-estate company Compass a few years ago. The feedback started with praise before offering pointers.

"It would be, 'Great job. Here are some things that you could do next week,'" she said. "If that comes in on a Friday, then my Gen Z brain knows exactly what I need to do on a Monday."

Mike Ekbundit, director of GE Appliances' engineering programs, said he has tried to make performance discussions with younger workers in rotational programs two-way dialogues rather than top-down critiques. So he revised online evaluations to include prompts for managers to ask questions like "Did you like the assignment leader?" and "Was it too much work?"

Managers are also asked to assess the program participants on nine different categories, like innovation and resilience, while employees are prompted to list their top strengths and weaknesses.

"I need high customer satisfaction to retain this highly sought-after talent, and this is part of how I get it," he said.

Demand Is Surging For Full-Body Scans

By SARA ASHLEY O'BRIEN

The following items first appeared in Sara Ashley O'Brien's weekly Wellness newsletter.

I've been seeing a steady drip of people sharing photos and videos of themselves on social media in butter-yellow bathrobes standing on a cylindrical 360-degree body scanner. These posts are all from folks working in tech, media and venture capital who got a "sneak peek" to try out Neko Health's body-scan technology at its sleek first U.S. clinic in New York City.

It had amassed a wait list of around 25,000 New Yorkers before the location was announced, a company spokesperson said. It opened its doors this month. The Swedish brand is the brainchild of Spotify founder Daniel Ek and Hjalmar Nilsson, Neko Health's CEO.

It is the latest in a wave of preventative-health companies hitting the U.S. market, pitching patients on the notion that more information can give them more control over their health. For \$499, which people can use HSA or FSA funds to help cover, the "radiation-free" visit includes a skin examination with visual and thermal cameras, a cardiovascular assessment, a body-composition analysis and on-site blood-testing. That takes about 30 minutes, then a clinician will meet

with patients for another 30 minutes to discuss the results. It aims to help people assess risk of skin cancer, cardiovascular disease and metabolic conditions.

Neko Health opened its first clinic in Stockholm in 2023 before expanding to the U.K. It has another 350,000 on the wait list globally, according to a spokesperson. It recently received \$700 million in fresh funding, backed by the likes of Mark Zuckerberg, tennis champion Maria Sharapova and musician Will.i.am.

The hype is reminiscent of the flood of social-media posts surrounding Prenuvo's full-body MRI scans a few years ago. At the time, posts featuring celebrities and influencers clad in medical scrubs posing with Prenuvo MRI machines felt inescapable.

Prenuvo was in the spotlight last month after the actress Busy Philipps revealed that a scan found a lesion in her brain that was later diagnosed as a slow-growing tumor.

Some medical professionals have criticized preventive MRIs as unnecessary. But their potential for early detection, even before symptoms arise, shouldn't be dismissed, said Dr. Zahi Fayad, director of the Biomedical Engineering and Imaging Institute at the Icahn School of Medicine at Mount Sinai.

"We still need to learn which people benefit most, how often to scan them and whether earlier de-



Neko Health's body-scan technology seen at its sleek first U.S. clinic in New York City.

tection changes their long-term outcomes," he said.

While Neko's focus on getting people engaged with their health is valuable, he said, some of the company's data findings about health improvements in returning patients should be taken with a grain of salt. He noted that it wasn't compared to a control group and it's difficult to tell what contributed to changes. The company acknowledged the statistical limitations in its data report, noting that findings are not proof of cause.

He shared advice for patients interested in getting a scan: "First, tell

me what you are hoping to learn. If there is a symptom or a strong family history, we should choose the test that addresses that concern."

He added, "Neither service should replace recommended cancer screening or attention to blood pressure, cholesterol, diabetes risk, exercise and smoking."

Sleep on it

One of the first things I do every morning is check my Oura Ring to see what sleep score the night yielded for me. It typically falls somewhere in the 80s. I scan to see how much deep sleep and REM I clocked.

In recent years, our collective obsession with sleep optimization has seemingly skyrocketed. Consumers share tips on how to "sleepmaxx" on social media, recommending devices,

from wearables to smart mattresses and alarm clocks, along with DIY remedies like "sleepy girl mocktail" concoctions containing magnesium.

Just don't go overboard with a too-extensive nighttime routine, says Dr. Feby Maria Puravath-Manikatt, a sleep-medicine physician in the Bay Area. "Then, it's become more of a performance versus a ritual where there's intention."

Kelly Baron, a professor at University of Utah's division of public health and a clinical psychologist trained in behavioral sleep medicine, helped coin the term "orthosomnia" in 2017, referring to the unhealthy preoccupation with achieving a perfect night's sleep.

Baron told me she recently had someone come into her clinic "wearing several different trackers and giving me spreadsheets and different analysis." "I was like, 'Is any of this helping you or is it making you feel worse?'" she asked the patient.

Oura has faced pushback on the accuracy of its sleep scores. The wearable-ring device maker has stood behind its data's accuracy and noted that both its algorithm and clinical sleep studies involve some degree of error.

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FROM TOP: DASHA SEAMONOVA

NEKO HEALTH



Remember when you
felt this way about
school supplies?



Through **Volunteers of America's Operation Backpack®**,
more than **59,000** children started school ready to learn this year.
Scan to help the next child start strong.
[VOA.ORG/BACKPACKS-FOR-KIDS](https://www.voa.org/backpacks-for-kids)

PERSONAL JOURNAL.

Forget the Silverware. Newlyweds Prefer Cash.

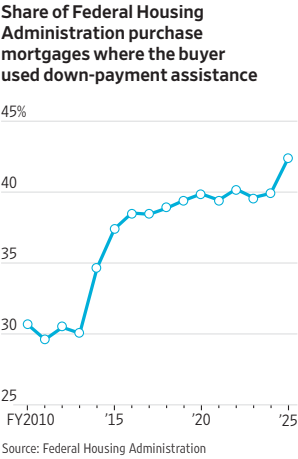
Nearly 90% of couples are asking for funds in their wedding registries

By JESSICA COACCI

Aspiring first-time home buyers are looking for fundraising help anywhere they can, including from their wedding guests. Seven out of eight couples plan to add a cash fund of some kind in their registries, and nearly 40% of those recipients are using that money toward buying a home or moving to a new one, according to a survey published this year by Zola, a wedding website. And many are setting up dedicated first-home funds. The funds often complement or replace the more traditional dishware and towels on wedding registries. Asking for money might have once appeared impolite, at least in some cultures. But wedding culture is evolving alongside the soaring cost of buying a home. “I think our generation is the first generation to feel comfortable, just straight up being like, ‘Yeah, I need money for a house, like I can’t afford it,’ ” said Anna

Grace Nimmo, 26 years old. She and her husband, Matt Dressler, 29, included one such first-home fund on their registry. Nimmo and Dressler, who live in Westchester County, north of New York City, raised \$2,000 through their first-home fund when they got married in May. Nimmo said guests responded to the callout. “It’s more of a gift than just like, ‘Here’s \$100,’ ” she said. The couple toured about six homes last year when they were preapproved for a mortgage, but couldn’t find what they were looking for and have continued to rent. They had a budget of around \$450,000 and expect their budget to increase more when they look again. The funds they collected from their home fund aren’t likely to move the needle much in their savings and for now are parked in a high-yield savings account. The median existing-home price rose nearly 40% from 2020 to 2025, according to the National Association of Realtors. Mortgage rates just rose back above 7%. The typical U.S. home buyer’s down

payment was \$69,250 as of June 2026, according to real-estate brokerage Redfin, compared with \$28,500 in January 2019. Even buyers using loans with low down-payment requirements have brought in others for help. Among buyers last year who used the Federal Housing Administration-backed mortgage program geared toward first-time buyers, some 42% got



down-payment assistance, the highest share in records going back to 2010. That included nearly a quarter who got help from eligible family members. Mortgage lenders might scrutinize down-payment gifts to make sure the giver doesn’t expect to receive the money back. If someone receives small amounts from multiple people, as with a first-home fund, the need for documentation will depend on the amount used toward the home. Borrowers should be prepared to show a signed gift letter from the donor, proof of fund transfers and supporting bank statements. They also should plan to receive any gift funds for a down payment at least 60 days before applying. Those asking directly for cash at their weddings might want to consider asking for other items as well



Matthew Dressler and Anna Grace Nimmo on their wedding day.

to accommodate people who wish to give a traditional gift, said Myka Meier, an etiquette expert and founder of Beaumont Etiquette. The wording of the request can make it sound less transactional if it is focused on the couple’s future together, Meier said. Her suggested language: For those who have asked, we have included a link to help us get to our future home. Some aspiring buyers are digging into retirement funds or seeking out government programs to help them get over the down-payment hump. Quinny Harris, 27, and Phoebe Bailey, 23, are considering moving from Maryland to Delaware both because it is more affordable and because they found a grant program there that is geared toward first-time buyers. Some 18% of FHA-program buyers got government down-pay-

Wedding culture is evolving alongside the soaring cost of buying a home.



Quinny Harris and Phoebe Bailey displayed QR codes of their home fund at a dinner.

The WSJ Daily Crossword | Edited by Mike Shenk

1	2	3		4	5	6	7	8	9	10		11	12	13	
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SWITCHING SEATS | By Ella Dershowitz

Across	29 Wee annoyance	60 Formerly known as	8 Latin stars
1 Hieroglyphic reptile	30 Mississippi symbols	61 Explorer who named Louisiana	9 Star German soccer goalkeeper
4 One Direction, for one	35 Chart inspiration	62 Drink that might contain bubbles without carbonation	Manuel
11 Kid’s call	36 Common croissant filler	63 Since Jan. 1, on pay stubs	10 Borrowers’ burdens
14 Skill practiced on dummies, briefly	37 Low-impact workout	64 Bugged down	11 Obstacle course competitions for those who like things quick and dirty
15 Predict	44 Fingerprint feature	65 Big name in ice cream	12 Creature on a slide
16 “Still thinking...”	46 Bit of perjury	Down	13 Surrounded by
17 Retro bath fixture	47 Jewish community org.	1 Public praise	18 Killed it
19 “And how!”	48 They’re made with lean, deep red meat	2 Yellow packet in a coffee shop	22 “Bus Stop” playwright
20 Sic on	52 Neeson of “Kinsey”	3 Blathering on	
21 Enjoying one’s third act	53 “Guilty mind,” in legalese	4 Scoffing sound	
23 Ingrédient de l’absinthe	54 “Danses Gothiques” composer	5 Worker’s “on vacation” initialism	
24 Jimmy Stewart for “Vertigo” and Ingrid Bergman for “Casablanca,” e.g.	55 Vintage	6 One who knows the ropes	
27 SSN, say	56 Hopelessly misguided, and a feature of five of this puzzle’s answers	7 Get into the pool	
28 Type of AI at the heart of ChatGPT			

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

- 24 Skate park stunt
- 25 More deceitful
- 26 Org. that named Lainey Wilson Entertainer of the Year twice
- 31 Choose
- 32 That group’s
- 33 Hard-to-find cards, to collectors
- 34 Punk subgenre
- 37 Hurt
- 38 Important LAPD alerts
- 39 Brewpub quaff
- 40 League rule
- 41 Knock off
- 42 Headed up
- 43 Like some speedy deliveries
- 44 Tart, in a way
- 45 Frittata relative
- 49 Range separating Asia and Europe
- 50 Moved to a table farther from the door, say
- 51 Inclined to verbosity
- 54 Agenda, for short
- 57 “Take that!”
- 58 Mahershala of “Moonlight”
- 59 Cavs, on scoreboards

Previous Puzzle’s Solution

B	A	T	H	E		A	L	I	T		S	H	O	E
A	R	E	A	S		M	A	N	O		C	O	D	A
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S	E	A	N		E	L	S	E		G	E	S	S	O

Junkyard Playground Takes Off

Continued from Page One ladders, romp in mud and push each other around in secondhand wheelchairs. No parents are allowed. Adult staffers called “playworkers” watch, but try to avoid telling kids to be careful unnecessarily. Today’s parents are used to managing their kids’ schedules and tracking their every move. But some are rethinking that kind of high-intensity parenting and setting their children loose outdoors—with some supervision. They’re hoping free play will make them resilient in a world of screens. The junk playground was featured in Jonathan Haidt’s bestseller “The Anxious Generation,” the author calling it “the best playground my children have ever experienced.” The mention has boosted interest, said Stephanie Skaaf, executive director of the nonprofit that operates The Yard. Weekend visitors are up about 50% since 2018. The sold-out summer camp keeps getting bigger. It’s not the only offering of its kind. A program in Brooklyn pitches parents with solicitations saying “Worried about AI? Brooklyn Nature Days forest school classes are 100% human!” The borough’s “Backyard Explorers Microschool” promotes preschoolers “a place where they can get away from the sensory overload and just play freely.” The cost for five days a week is \$48,000 a year. And families across the country are participating in the “1,000 Hours Outside” challenge, where they try to spend that amount of time outdoors in a year. Back when The Yard opened in 2016, emphasizing unstructured play was a relatively fringe philosophy. The nonprofit could get a large space cheaply on this island. On a recent Wednesday, 21



No parents are allowed in the junkyard and staffers try to avoid telling kids to be careful unnecessarily.

kids from first to ninth grade arrived for the afterschool program, which costs between about \$625 and \$700 for weekly sessions through mid-November. Some had taken two subways from Brooklyn to reach the ferry in Manhattan, chaperoned by playworkers.

Yoni Kallai, one of the founders and “head playworker,” gathered everyone

Some kids ziplined on their own. One climbed a ladder with a fistful of nails.

outside of the playground, which is surrounded by a fence with signs like “What is the cost of making things as safe as possible rather than as safe as needed?” and “Children are fine without advice/suggestions.” The kids were asked to share their names, preferred pronouns and what they looked forward to. “I like to destroy stuff,” one boy said. Kallai rattled off the rules: “No hitting each other, no cursing, no throwing or dropping of anything heavy.” The kids dispersed. Some ziplined on their own. One

climbed a ladder with a fistful of nails. Another pushed a wheelbarrow, calling out, “Does anyone need a shovel, saw or hammer?” One playworker noticed a child standing on a manhole with a plunger and watched quietly to make sure he didn’t throw the object. Kallai sources most of the materials. He once climbed into a dumpster to fish out one of the wheelchairs. The manhole was a donation. After about an hour, it was time to leave. Some children left covered in mud, since no one made them wash their hands. On the ferry home, three boys spotted a little boy playing a videogame on a tablet and rushed over to watch. Families must sign a waiver and the organization has liability insurance. Some kids have broken bones there. Last year, a tall structure was closed off after a child fell off it. Skaaf said injuries beyond those requiring simple first aid are rare. The first summer Potter’s daughter attended camp, she showed up early to pick her up and saw her gleefully playing inside a large water tank. “I remember just being like, ‘I would never allow her to do this,’” she said. Some parents peer through the fence on weekends, though not all of them can handle watching. “I have to be honest: this park is made of trash,” said one three-star Google review from earlier this year. “My kid loved it but I’m not going back there.”

FROM TOP: JORGE GARCIA; GRANDOSE VZN; RACHEL LOUISE ENGIN/WSJ

ARTS IN REVIEW



Sabrina Teitelbaum, aka Blondshell, left; her new album, out now, is ‘Violins.’



ments, despite being forceful and well-crafted, are somewhat anonymous—the original grunge bands were actual *bands*, where every member had an instrumental voice that contributed to the whole. But each of Ms. Teitelbaum’s songs is its own universe, and head-scratching lines like

When Sabrina Teitelbaum uploaded tracks to SoundCloud in 2017, she worked under the name Baum and seemed like a creative artist in search of a style. She grew up loving Amy Winehouse and approximated her belting manner on some cuts, but other songs were more in the realm of glittery electro-pop. Like Maggie Rogers, she studied formally for a career in pop—raised in New York, Ms. Teitelbaum moved to Los Angeles to enroll in the songwriting program at the USC Thornton School of Music before dropping out around the time she released the Baum material—so perhaps this period was like taking courses across disciplines before choosing a major.

By the time of her 2023 debut LP, Ms. Teitelbaum started going by Blondshell and her aesthetic decisions were grounded in the alternative rock of the ’90s. She adopted more subtle phrasing, with a voice that bears a resemblance to the dryly piercing tone of Kristin Hersh of Throwing Muses. And later that year, she opened a series of shows for Liz Phair, one of her heroes and another clear stylistic antecedent. While her first LP and its follow-up, 2025’s “If You Asked for a Pic-

REESE LAYTON

MUSIC REVIEW | MARK RICHARDSON

Blondshell’s Eccentric, Enveloping Songs

The artist’s third LP showcases her distinctive style and alt-rock sound

ture,” had a number of strong songs, neither quite worked as an album-length statement. Her third full-length record, “Violins” (Partisan), out now, is her most consistent so far, and it also showcases the range of her eccentric and alluring songwriting.

Ms. Teitelbaum, now 29 years old, once again works with producer Yves Rothman (FKA twigs, Amaarae), as she did on her previous two records, but here the sonic focus is far more specific. From the opening title track, we get quiet-to-loud structures with ominous minor-key guitar strumming that explodes on choruses, becoming saturated with distortion. It’s a larger and more enveloping sound than we’ve heard on a Blondshell album before, and the sound palette reflects the in-

tensity of her words, where overwhelming feelings threaten to overrun their containers and get messy.

The grunge that Ms. Teitelbaum channels is a serious, heavy sound with intimations of darkness and trauma, and even in its heyday the genre was sometimes criticized for its solemn bearing. But while her lyrics describe situations both grave and dangerous—the record’s title is a homophone for “violence”—her words are peppered with bizarre humor and images that aren’t easy to decode. The second track, “Heart Has to Work So Hard,” touches on the difficulty of making relationships work, but also mentions the biological compound adenosine, used by cardiologists to regulate the titular organ’s rhythm. On

“Lucky,” a track with jangly guitars, her verses are stacked with intriguing non sequiturs: “Walking Francis Street in Dublin / Lemon cake / Don’t think of matching nose jobs / The picture of Kent State.”

These odd choices and unexpected turns of phrase give the record character, even when the music doesn’t keep up. As a songwriter, Ms. Teitelbaum is more gifted with lyrics than with melody—three tracks aside, she writes on her own—and musically, a few of the tunes in the second half are hard to distinguish from what came before. The chorus of “Stone Fruit” has a lot in common with that of the title track, and “Two Fried” reprises elements of “Lucky.” And it doesn’t help that the arrange-

“Look at how my house has grown / Covered it in testosterone” from “Two Fried” keep the listener guessing.

Later in the record, “New Age Trojan Horse” describes toxic boyfriends who paper over their misogyny with signifiers of refinement and emotional depth, the type of guy who carries a bag that says “sometimes I cry” and brags about his commitment to the vinyl LP. She’s good at these little details that illuminate character, and isn’t afraid of goofy phrases that make you wonder if she’s playing it straight. Take “Reinstall,” where she uses the reformatted hard drive as a metaphor for—well, it’s hard to say what, exactly, but it sounds good when she’s singing it.

On the closing power ballad “Fur Elise,” she offers the slightly tangled observation “I want the option to choose when to and not to asphyxiate” and then opts for something simple for the chorus: “Paint a wall with the things you want spoken out loud.” The words on Ms. Teitelbaum’s wall can be a little cryptic, but they are vivid and distinctive, and you’re driven to hear more from the writer behind them.

Mr. Richardson is the Journal’s pop and rock music critic. Follow him on X @MarkRichardson.

TELEVISION REVIEW | JOHN ANDERSON

In the Trenches of Divorce

DON’T WATCH THE legal drama “War” with a lawyer. It’ll ruin the fun. “But . . . but . . . but . . . the ethics! The scandal! The inter-partnership espionage! The scorched-earth philosophy of family law!”

Your point?

“War” stars Sienna Miller and Dominic West as spouses involved in “what is likely to be the biggest divorce trial in British legal history,” according to one of their very high-priced litigators, who are licking their Oxbridge chops. Created by George Kay (“Lupin,” “Hijack”), the storyline does indeed involve the characters played by Ms. Miller and Mr. West—Carla Duval, a film star whose career has crested; Morgan Henderson, the billionaire developer of a “moral” social-media platform. But as satisfyingly sordid and yummy as it all may be, the Carla-Morgan conflict is secondary to what goes on at the law firms, which face off like the kingdoms in “Game of Thrones,” without the meat axes or scurries.

The eight-part series is sophisticated, complicated and appallingly enjoyable. That said, the spoilers will commence, because the plot twists begin before the first motion is filed.

Morgan, having accepted a big-time award for having “reshaped the social-media landscape,” retires to his London hotel, where he finds himself on an elevator with the lovely Flora Monroe (Rose Williams). She is sending very obvious messages. She just happens to be

staying on Morgan’s floor. Is he suspicious? No! He’s an egomaniac. He’d never dream that a much younger woman wouldn’t want him. Or that Carla would have set the fabled “honey trap” with her pal Flora, who takes a post-coital selfie in bed with the snoozing Morgan.

Enter the lawyers. Carla’s reps—Serena Byrne and Nicholas Taylor (Phoebe Fox and James McArdle)—know the photo is problematic, and that Carla could be accused of entrapment. They plan accordingly. But when they are caught in the background of a tabloid photo in Paris, where Carla is attending a film premiere, it raises some highly compensated eyebrows—those of St. John Smallwood (a wonderfully gothic Pip Torrens) and Beatrice Ubosi (a purely wonderful Nina So-

sanya). They are Morgan’s lawyers at the well-cushioned Cathcarts. And they are immediately suspicious: Why would Nicholas and Serena—the latter of whom is their former colleague—be in Paris if Carla weren’t planning something? Like a divorce. So on the red carpet of Carla’s big event, with Morgan on her arm, Cathcarts serves her with divorce papers. A low blow. And neither the first nor last.

It does set a tone. Directed by



Ben Taylor (“Sex Education”), “War” contains predictably marvelous performances from reliable people, including Celia Imrie as Taylor & Byrne’s barrister, Budgie (this is the English court system); Nick Mohammed (“Ted Lasso”) as one of the more skeptical attorneys; and Miles Jupp as Cathcarts’ most devious partner, David Schill. It is Schill who concocts the Johnny Warren Gambit: Johnny (Archie Renaux), whose legal career in New York has gone sideways, is in London looking for a job when we meet him, having established himself among various firms as a less-than-transparent potential employee. But he’s perfect for Schill: He will be sent to Nicho-

las and Serena on the eve of the divorce filing, be hired, and really be working as a mole for Cathcarts.

The intrigue is thick; Johnny is a rat; “War” might have been called “The Lawyer Who Came in From the Cold.” It may also be highly implausible, but there’s already a second season likely destined for HBO. Matthew Price’s wardrobe for Ms. Sosanya could do as much to benefit the cause of unisex fashion as the Cathcarts strategy does to undermine the principle of the prenuptial agreement. Carla and Morgan may end up hoisted by their own unprincipled petards. And the unintended upshot could be more wealthy couples staying together, while the less prosperous among us avoid the altar entirely.

James McArdle, Sienna Miller and Phoebe Fox, left; Nina Sosanya, Pip Torrens and Dominic West, above. All star in ‘War,’ an eight-part legal drama about a celebrity breakup created by George Kay.

War Begins Thursday, 9 p.m., HBO

Mr. Anderson is the Journal’s TV critic.



HBO

SPORTS

The Yankee Stars Who Grew Up In the Shadow of Fenway Park

Cam Schlittler and Ben Rice both grew up in the Boston area. Now, they are New York’s two best players.



In the fall of 2020, Damon Oppenheimer unexpectedly found himself living in the suburbs of Boston. It was a bizarre choice for somebody in his line of work.

As the New York Yankees’ scouting director, Oppenheimer usually spends the bulk of his time in baseball hotbeds in the Sunbelt, and with good reason. There are nearly three times as many active major leaguers who were born in Texas alone than in all six New England states combined.

But Oppenheimer’s son was playing junior hockey in Massachusetts, so that’s where he went. This development turned out to be one of the best decisions of his career.

Oppenheimer would soon learn that there were two undiscovered superstars lurking in his midst—and he was about to gain the first glimpse of their enormous potential.

Now, as the Yankees play a best-of-three playoff series against the Boston Red Sox, which began on Tuesday, New York’s Cam Schlittler is the most dominant pitcher in the



American League. Ben Rice is the Yankees’ best hitter in the absence of the injured Aaron Judge. Both of them hail from within 25 miles of Fenway Park, leaving the Red Sox to wonder how they let these two locals end up in pinstripes.

“You try to make sure that you’ve got your own backyard cov-

ered as well as possible,” Oppenheimer said. “If not, there’s always a story.”

The Yankees have been on the other side of this phenomenon before. Manny Ramirez famously went to high school in the shadow of Yankee Stadium, only to be passed over in the draft by his

Cam Schlittler, top, and Ben Rice, left, both hail from within 25 miles of Boston’s Fenway Park.

hometown team. The difference with Schlittler and Rice is that the Yankees snatched them up from directly under the nose of their fiercest rival.

Schlittler is from Walpole, Mass., and went to college at nearby Northeastern. Rice grew up an hour east in Cohasset before attending Dartmouth. How they wound up on the Yankees is the sort of old-fashioned scouting success story that rarely happens in an era where analytics have largely replaced human intuition.

While stationed in the area, Oppenheimer was constantly looking for work. So he would cruise the local fields with Northeast scout Matt Hyde in search of gems yet to be unearthed. And Hyde had a couple of players he wanted Oppenheimer to see with his own eyes.

“That’s what scouting is,” Hyde said. “Part of it is being in the right place at the right time.”

In college, Schlittler was unher-

alded. His fastball sat around 90 mph, far from the triple digits he would reach with the Yankees. But even then, Hyde liked Schlittler’s 6-foot-6 frame, and the Yankees’ performance science group believed his velocity could improve.

Most importantly, Hyde had a strong relationship with Northeastern coach Mike Glavine, whose brother, Tom, is a Hall-of-Fame pitcher. Glavine convinced the Yankees to stay on Schlittler, even if others weren’t.

The Yankees drafted Schlittler in the seventh round in 2022. As a rookie last October, he struck out 12 Boston batters over eight shutout innings to eliminate his childhood heroes from the postseason. Afterward, he criticized Red Sox fans for attacking his family on social media, saying that the harassment “crossed the line.”

Schlittler’s revenge came this season. He posted a 1.95 ERA and is all but certain to win the AL Cy Young. On Monday, Schlittler called Hyde “the reason why I’m a Yankee.”

“Of the connections I had in college with the scouts,” Schlittler said, “the Red Sox really weren’t one of those.”

The Yankees’ unearthing Rice was even more improbable. Rice barely played in college, since the Ivy League canceled the entire 2021 season during the pandemic. That left professional organizations without much information to evaluate his development.

Hyde was undeterred. Enamored with Rice’s sweet lefty swing, he watched his new prospect wherever he could, including at pickup games organized by a few Ivy Leaguers. Hyde referred to these scrimmages as the Ben Rice League.

By the time the draft rolled around in 2021, the Yankees were smitten. The Red Sox liked Rice, too. But only New York was willing to gamble on a player who had played so few actual games, selecting him in Round 12. Rice finished this season with 41 home runs.

“There were teams that wouldn’t touch Rice,” Oppenheimer said, “because they didn’t have any data.”

Navigating the baseball draft is extraordinarily difficult, and the history of the game is littered with picks that age terribly.

But that doesn’t change the painful truth. The Red Sox are in danger of being eliminated by a pair of Massachusetts boys who play for the Yankees.

“Some things in the scouting world,” Hyde said, “are meant to be.”

Manchester City Found Guilty Of Financial Breaches

By JOSHUA ROBINSON

MANCHESTER CITY, one of the richest, most successful sports teams of the modern era, was found guilty on Tuesday of more than 100 violations of the Premier League’s rules on spending.

The club, whose eye-popping expenditures on talent and infrastructure built it into a giant of European soccer, “arranged ‘sham’ commercial deals” from 2009 and continuing into the 2017-18 season, the Premier League said following an independent investigation. The purpose, it added, was to “artificially inflate the club’s revenues, and reduce its costs, by more than £900 million (\$1.2 billion) during the affected period to appear to comply with financial rules.”

The league didn’t immediately announce a punishment. Possible penalties include points deductions and, in the most extreme outcome, relegation from the top tier.

“This disciplinary case, and this decision, are the most significant in Premier League history,” Premier League chief executive Richard Masters said.

The case painted a picture of a club in constant search of new and secretive ways to funnel money from its owners to its players and into the transfer market, skirting any of the limits imposed by soccer authorities. Many of those funds came from club sponsors that also happened to be controlled by Abu Dhabi. City, which sits in first place in the standings, has always denied any wrongdoing and is expected to

appeal.

“Manchester City FC is both disappointed and surprised by the opinion of the Premier League Commission that has been published today,” City said. “The club is innocent of the accusations made by the Premier League and a comprehensive body of irrefutable evidence exists in support of all of its positions relating to this case.”

The verdict, reached more than three years after the charges were first announced, marked nothing less than a total repudiation of the entire Manchester City dynasty, which had seen the club win six of the past nine Premier League titles and eight overall since it was acquired by a member of the royal family of Abu Dhabi in 2008.

Among the 115 charges were allegations that City had spent years deliberately concealing what it was paying players and coaches, that it obfuscated its actual revenues and the true value of various sponsorship deals, and that the club failed to cooperate with the league’s investigation. The case was so complex that the hearing alone took 42 days.

The scope, unprecedented in the top tier of English soccer, also reshapes how the past 15 years of the Premier League will be remembered. Manchester City, once seen as the noisy neighbor dwarfed by Manchester United, had combined financial might with tactical brilliance to turn the established order on its head. Here was a modern soccer juggernaut that crushed opponents on the pitch and in the



Soccer giant Manchester City have been the winners of six of the past nine English Premier League titles.

boardroom, leaving behind a trail of shattered records.

Backed by the riches of a free-spending petrostate, it liberally threw around cash to build lavish rosters worth well over \$1 billion. And in 2012, it pipped United to its first Premier League title. One more would follow before 2016, when City took the whole project to the next level by hiring a soccer mastermind from Catalonia named Pep Guardiola to shape that expensive array of talent into the most lethal force in the game. Guardiola stepped away over the summer and was replaced by Italian coach Enzo Maresca.

For entire seasons, it seemed as if Guardiola’s army couldn’t be stopped. In 2017-18, it posted the first 100-point season in Premier League history. For a while, Liverpool rose to the challenge, only to find that it could hardly keep up with City’s huge squad and its uncanny ability to refresh it. The supreme coronation came in 2023,

when City finally conquered Europe by defeating Inter Milan in the Champions League final. That season, the club also lifted the FA Cup and the Premier League trophy to become England’s first treble winners since Manchester United in 1999.

“It is important now that people don’t forget what we have done,” Guardiola said at the time. “Maybe they can create a museum so the fans can look at the trophies.”

But throughout that rise Manchester City was never quite able to shake its reputation as a *nouveau riche* whose success had been built on an unfair advantage. The Premier League’s decision this week only confirmed those suspicions.

How it even came to this is a story of modern soccer turning into a playground for the global 1% quicker than anyone ever anticipated.

The Premier League wasn’t the first sporting organization to put

City in its crosshairs. European soccer’s governing body, UEFA, had previously tried to ban the club from the Champions League for alleged breaches of Financial Fair Play, a set of rules that tried to curb the influence of mega-rich owners and make sure that clubs didn’t go bankrupt trying to keep up in soccer’s arms race.

But after City flexed its legal might in a drawn-out appeals process that landed before the Court of Arbitration for Sport, the club was cleared and reinstated in European competition. That was enough to convince City, and many of its fans, that the club could withstand any further challenges.

“These are just charges,” Guardiola said after the Premier League allegations were revealed in 2023. “With UEFA the club proved it was completely innocent. We are lucky we live in a marvelous country where everyone is innocent until proven guilty.”

WINSLOW TOWNSON/GETTY IMAGES; BRAD PENNER/IMAGN IMAGES/REUTERS

TOBY MELVILLE/REUTERS

OPINION

Democrats and Intelligence Reform



BUSINESS WORLD
By Holman W. Jenkins, Jr.

I listen to foreign-affairs podcasts so you don't have to. A steady refrain has been that the Biden administration persuaded allies and adversaries that the first Donald Trump presidency was an "aberration." Then, dang it, the American people elected him again.

I doubt our allies are so naive. After all, it was Dutch intelligence that handed over thumb drives of dubious Russian intelligence in 2016—which FBI chief James Comey promptly exploited to justify improper acts that accidentally helped elect Mr. Trump. The British saw their washed-up agent's discredited allegations about Mr. Trump knowingly embraced and circulated by Democrats and the CIA. The Australians saw a vague utterance by one of their diplomats spun into a Trump-Russia investigation, soon propagandized all over Washington.

Our allies would see 51 of their former U.S. associates deliberately lie to U.S. voters about Hunter Biden's laptop to help elect Joe Biden in 2020. Through a dozen or so summits, they would then witness up close Mr. Biden's decline and yet see the U.S. establishment virtually invite Mr. Trump's return by trying to reinstall a senile Mr. Biden as president.

Last month, Britain's re-

spected Financial Times detailed for global readers the activities of CIA ex-officials to influence the coming mid-terms—and reminded them that similar officials were behind the collusion and laptop episodes.

Stop giving Democrats ideas, a Trump supporter recently emailed me. Exactly. A day doesn't go by without liberals moaning about the need to rebuild bridges to the pro-Trump white working class. Here's an opportunity.

Take Rep. Ro Khanna. He kept his distance from the collusion follies. He opposed his own party's lawfare. The day after the New York Times reported on Mr. Biden's demand for Trump prosecutions, he complained on CNN, "We were going to be the party that upholds the rule of law."

The ambitious Mr. Khanna has instead tried to distinguish himself by flailing after every bandwagon that goes by, from Jeffrey Epstein and billionaire wealth taxes to AI regulation. Why?

After their visits with our editorial board in recent years, I've described a couple of Democrats now apparently running for president turning mute, dissembling, signaling fear when asked about the intelligence agencies.

This is terrible for our country. If Rahm Emanuel is troubled, what must Rep. Ilhan Omar be thinking? Surely she and other Democrats understand that for decades, it wasn't Donald Trump but left-wingers like themselves who were targets

of FBI and CIA abuses.

The press is afraid too—a venerable Washington Post columnist goes on and on about Mr. Trump's improper election meddling but never mentions that of his own CIA friends. PBS repeatedly peddles lawyer Marc Elias to

A hopeful could break out of the pack, by breaking the 2016-20 conspiracy of silence.

viewers as a tribune of election integrity, never mentioning his role in funding and disseminating the Steele dossier.

Ex-CIA vice presidential briefer Julia Curlee is lately lauded everywhere for courage in coming out as trans. She rightly criticizes President Trump for flogging flimsy evidence from FBI files about Chinese meddling to discredit the 2020 election. But at least Mr. Trump didn't fabricate the evidence. Ms. Curlee would need 10 times the courage to acknowledge the sins of her own agency, and not mainly for their impropriety.

Consult the CIA's public glossary: "Blowback" is its term when a failed operation produces a "negative effect on U.S. national security interests." I've often said the tacit anti-Trump operation mounted by the FBI and CIA was the most failed U.S. intelligence operation in history, achieving the opposite of its

desired aims. You may not have read a half-dozen reports by the Justice Department inspector general and U.S. Special Counsel. You can bet foreign governments pored over them, seeking insight into the mental and moral chaos overtaking the U.S. establishment.

A prominent Democrat breaking up this glacier of dishonesty wouldn't only bollix up many party rivals who soiled themselves in the collusion matter. When our allies haven't been wondering if Mr. Trump is crazy, they've been wondering if Democrats and the anti-Trump U.S. establishment are crazy. Here's a chance to reassure them.

A great country deserves better than a leader with a yellow streak a mile wide even if nobody talks about it. That's what Americans will get if the next Democrat is unwilling to break his or her silence on the intelligence-agency corruption of the past decade.

Of course, coverups usually fail, but most fail in ways that leave no heroes, only a permanent odor of malfeasance. Let this be an exception. A true air-clearing would remake the Democratic Party, disempowering many of its corrupt gerontocrats, letting others move into positions of real responsibility. Then maybe their party could stop making a fool of itself over 0.1% issues like trans, open borders and "defund the police." Democrats could refocus on the things Americans need a governing party to focus on.

BOOKSHELF | By Luka Ivan Jukic

Continental Ambitions

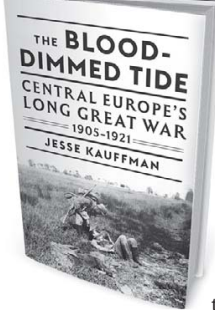
The Blood-Dimmed Tide

By Jesse Kauffman
Harvard, 304 pages, \$35

World War I's Eastern Front has never attracted the same attention as its western counterpart. The shorter but bloodier battle in the east—which pitted Austria-Hungary and Germany against the colossal Russian Empire—was defined not by static trench warfare but long dynamic fronts, exacting occupational regimes and brutal violence against civilians.

Above all else, it was a front defined by its political significance. The three belligerent empires were destroyed by the war, replaced by revolutionary regimes and a string of new nation-states. Even as the guns fell silent in the west, fighting continued in the east into the 1920s as the new regimes fought a complicated web of civil wars, wars of succession, interstate wars and revolutionary wars.

In "The Blood-Dimmed Tide: Central Europe's Long Great War, 1905-1921," Jesse Kauffman, a professor of history at Eastern Michigan University, seeks to explain what made this Central European theater unique.



Roughly spanning today's Belarus, Lithuania, Poland and Ukraine, the Central European theater stood on the grave of the Polish-Lithuanian Commonwealth, partitioned between Austria, Prussia and Russia in the late 18th century. For Russia in particular, the territory was a source of constant imperial anxiety owing to the conflicting national ambitions of the Belarusians, Lithuanians, Poles, Ukrainians and others.

Ironically for such a consequential theater, when the war began, in

1914, the central powers saw it as peripheral. Germany was focused on striking a knockout blow against France in the west, while Austria-Hungary massed its troops against Serbia to the south. With their forces spread thin, the two watched as Russia's army swooped into their provinces of Galicia (in what is today southeastern Poland and western Ukraine) and East Prussia. Hundreds of thousands fled. Thousands stayed, only to be killed or deported by the Russians.

Russia's victories proved to be fleeting. Germany repulsed the invasion of East Prussia in late 1914 and pressed its advantage hundreds of miles eastward, deep into Russian territory, the following year. A total of more than two million soldiers were killed or wounded. Civilians suffered greatly, too, with Russia's Great Retreat accompanied by a scorched-earth policy meant to leave nothing for the German occupiers. Thousands of Jews and Germans were deported, many to toil away as forced laborers or to die under the harsh conditions.

This "willingness of the belligerent governments to unleash violence and harsh repression against their own civilians," Mr. Kauffman writes, distinguished the Central European theater from the west.

By 1916 Austria-Hungary and Germany had conquered most of Russia's western borderlands. Administering these lands became a problem of military necessity with long-term political implications—as the Russians had shown when they occupied much of Galicia, immediately instituting policies of aggressive Russification targeting the local Ukrainians, guided by the notion that Ukraine belonged to Russia.

As Mr. Kauffman argues, Austria-Hungary and Germany had no grand imperial vision for Central Europe beyond shaping, to their own advantage, the nationalist forces at work there. They sought to satisfy Polish national ambitions, for example, with the proclamation of a Kingdom of Poland in late 1916. But in the Baltic territories ruled by Germany's Gen. Paul von Hindenburg, the national development of Belarusians, Latvians and Lithuanians was encouraged to weaken Polish influence.

Austria-Hungary and Germany had no grand imperial vision for Central Europe beyond shaping the nationalist forces at work there.

With the outbreak of the Russian Revolution and the U.S. entry into the war in 1917, calls for national self-determination multiplied and intensified across the Central European theater. Russia conceded autonomy to Estonia and Ukraine, while Germany accelerated plans to found a Lithuanian state. Little did Russia and Germany know they were forming the kernels of nation-states that would outlast their own empires.

The war was being overtaken by a new process of imperial collapse that, as Mr. Kauffman tells us, would set "Central Europe on its path to becoming the 'bloodlands' of Europe." With the signing of the Treaty of Brest-Litovsk in March 1918, the central powers had defeated a now-Bolshevik Russia and brought the Eastern Front to an end.

The German Empire emerged as a hegemon, nominally recognizing the independence of Belarus, Lithuania and Ukraine while keeping them under military occupation. Germany's main concern was ultimately economic. It sought to squeeze as many resources out of the region as possible, with years of attritional warfare having taken its toll on the home front.

The victory in the east turned out to be Pyrrhic. By November the central powers had been forced to sign the armistices that brought the fighting to a close in the west. After years of costly war, Austria-Hungary and Germany fell to their own democratic revolutions.

As their power melted away, fighting in the Central European theater recommenced. The three empires had lost the war, but shaky provisional governments, regional warlords, representatives of nascent national governments and the forces of the victorious allies now fought to win the peace.

In the Baltics, German *Freikorps* fought Bolshevik revolutionaries and local nationalists in an unsuccessful attempt to establish an independent German-dominated state. The nascent Polish state found itself embroiled in localized wars with Germans, Lithuanians and Ukrainians alongside a grander struggle against the Soviets. In every conflict, violence against civilians was endemic, driven by national animosities.

Between 1918 and 1921, millions in the Central European theater would die from military engagements, pogroms, revolutionary executions, famine and disease. The scale of human suffering was extraordinary. But it would pale in comparison to the death and destruction witnessed in World War II.

It was precisely the poisonous legacy of Central Europe's Long Great War, Mr. Kauffman concludes, that made such violence during the later war possible. "The burdens of war and occupation had created a dense web of resentments and suspicions, of grudges and animosities, that did not simply fade away when the fighting ended." They would instead shape the course of an even bloodier and more consequential Eastern Front 20 years later.

Mr. Jukic is a journalist and historian.

Iran May Be America's Last Mideast War



POLITICS & IDEAS
By William A. Galston

Wars reveal inconvenient truths, and the war with Iran and its proxies is no exception.

The U.S. has learned that it can't conduct a relatively short war against a regional power without running down its stockpiles of critical munitions. In combination with a shrunken military industrial base, the complex technology of our best weapons dangerously slows the process of replacing them.

If we ever face a larger war with a peer competitor, we need to remedy this situation. We should rebuild our defense production capacity and rethink the balance between small numbers of expensive high-tech weapons and larger numbers of simpler, cheaper ones. Our qualitative edge means little if we run out of our most advanced weaponry.

We have also learned that our forces aren't commensurate with our global commitments. To conduct operations against Iran, we had to withdraw a substantial portion of our crucial naval assets from East Asia. If China had chosen this moment to escalate its threat against Taiwan, it would have been difficult to respond effectively.

The pace of China's naval production dwarfs ours, and their momentum will make it

hard to catch up anytime soon. China now accounts for 53% of global shipbuilding capacity, and its doctrine of civil-military fusion allows its navy to draw on civilian production infrastructure. The U.S., whose naval production capacity has withered, can't do the job on its own. We need an all-hands-on-deck effort that includes drawing on the production capacity of South Korea, which has 29% of global capacity, and Japan, with 13%. That means steady long-term policy that doesn't shift with every passing breeze, and it means treating allies as force multipliers, not bloodsuckers.

We have relearned what we should never have forgotten—the limits of air power. Yes, our bombing destroyed a substantial portion of Iran's military capacity and some of its civilian infrastructure. But we were never prepared to put boots on the ground, and the Iranians knew it. With a strategy of burying production capacity and spare parts deep underground, Tehran was able to preserve its ability to build the missiles it needs to menace its Arab neighbors and shipping in the Persian Gulf.

While our bases in the Middle East are essential for our force projection in the region, we have learned that they are vulnerable to attack. Starting on Feb. 28, Iranian missiles and drones inflicted major damage on the U.S. base in Bahrain, as did subsequent attacks on bases in

Iraq, Jordan, Kuwait, Oman, Qatar and Saudi Arabia. We suffered hundreds of casualties, including 18 deaths, and losses to buildings and equipment amounting to nearly \$4 billion. Before the personnel we withdrew can return (if they do), the military must improve its capacity to defend them.

We need to beef up our military and be more cautious about where we employ it.

We have learned that the Iranians can counter our assault with a strategy of horizontal escalation through its proxies throughout the region. The Houthis' offensive has brought the Bab al-Mandeb Strait under their control, and a drone attack launched from Iraq by an Iran-affiliated militia has temporarily disabled the East-West Pipeline, through which Saudi Arabia had diverted a large part of its oil exports from the Gulf. As global oil stockpiles are drawn down, a further spike in energy prices could imperil the global economy. That would make the current stalemate in Iran unsustainable.

As the quantity of Saudi oil flowing through the Strait of Hormuz has been increasing, the U.S. naval blockade is putting intense pressure on Iran's economy. The U.S. is gradually gaining the upper

hand in the economic war of attrition.

Yet it isn't clear that this will force the Iranian regime to yield. Iran's rulers have repeatedly demonstrated their ability to absorb setbacks by imposing the costs on their people while ruthlessly repressing dissent. That hasn't changed, nor is it likely to while the Islamic Revolutionary Guard Corps holds the cards and the guns.

If so, as Richard Haass and Carolyn Kissane have argued, the U.S. will have to return to the bargaining table and accept terms for ending the threat to our regional allies and global energy supplies that will leave us worse off than before President Trump began this conflict.

This is America's third Middle Eastern misadventure in the past quarter-century, and likely the last. It signals the end of our effort to dominate the region, and it could set in motion a gradual draw-down of U.S. forces. If so, the Gulf states and others that have relied on our protection will be forced to make other arrangements—a reality underscored by Mr. Trump's rejection of Saudi Arabia's request that the U.S. military join the fight against the Houthis. Our allies will have to choose between yielding to Iran's regional dominance and creating a formal anti-Iranian alliance that could eventually include Israel. Whatever happens, the war with Iran will change the Middle East forever.

Cornell Fails Its Free-Speech Test

By Jared Lederman

Ithaca, N.Y.

Cornell University published a report on the future of higher education last week. It focused on free speech, calling for "rigorous deliberation and engaged discourse" and arguing that difficult conversations should be "a feature, not a bug" of university life. These are laudable commitments.

That same week, I discovered what happens when a student tests those principles. I was publicly denounced by hundreds of my classmates, forced out of several campus organizations and threatened with professional retaliation.

I published an essay on Medium titled "Men and Women Were Not Created Equal." It argued that while men and women have equal worth, they aren't identical, and that Americans treat

traditional sex roles with unreasonable disdain. I believed it was a necessary but fairly common view, and I expected perhaps a dozen readers. Instead, within 48 hours, nearly 10,000 people had viewed the piece, and I had become the subject of campuswide controversy.

I was ostracized and threatened at a school that claims to value 'engaged discourse.'

Hundreds of posts labeling me misogynistic and bigoted appeared on Cornell's anonymous chat forums. Students publicized my campus affiliations and demanded my removal. Others planned to contact potential employers and damage my career.

Then the consequences

moved offline. At the time, I led pledge education for Delta Sigma Pi, a co-ed professional fraternity. My fellow leadership texted me that although I was "entitled" to my "personal views," the essay conflicted with DSP's values. I was offered the choice to take it down or resign. I chose the latter. Hours later, I was expelled from Zeta Beta Tau, my social fraternity, because its leaders were concerned my beliefs would reflect poorly on my brothers.

A campus claiming a commitment to free expression should have a culture that aligns with those values. Cornell's doesn't.

Cornell's examination of campus life identified how a culture of intolerance develops. The report depicts students who experience criticism as deeply threatening and graduates who are insufficiently prepared to work alongside those with differ-

ent political affiliations. This limited preparation led to my exile. Cornell's willingness to identify the problem is a positive step, but as the Journal's editorial board wrote last week, the school's critique stops short of confronting higher education's complicity in creating these conditions.

I still believe what I wrote, and many of my peers believe I am wrong. We must be able to say so openly, debate passionately, leave angry and then do it all over again. If students spend four years learning that expressing heterodox views is socially suicidal, we shouldn't be surprised when they enter public life prepared only to vilify their opponents, with little awareness of how to live beside them.

Mr. Lederman is a senior at Cornell, studying applied economics and management.

OPINION

Steve Hilton’s ‘Uphill Battle’ for Sacramento

By Tunku Varadarajan

Santa Ana, Calif.
Steve Hilton, a Republican, is running for governor of the state he calls “Nanny-fornia,” which last elected a governor from his party in 2006.
The Democrats hold every statewide office in California and have an asphyxiating majority in the Legislature. They “boss us around,” Mr. Hilton says, “from morning till night, telling us how to live, how to raise our children, how to run our businesses, what kind of car to drive and tires to use, what kind of house to live in and how to cook our food. It’s just insane.” He’s written a book titled “Califailure: Reversing the Ruin of America’s Worst-Run State” (2025), which he describes as his campaign platform.

The GOP candidate for governor wants to revive the ‘rebel spirit’ that once made California great.

The book, a rollicking manifesto, lists the ills that flow from California’s de facto “one-party rule,” in which “checks and balances have been completely absent for the last 16 years.” (That was when Republican Gov. Arnold Schwarzenegger’s second term ended.) California’s ills, Mr. Hilton says, are “elitism, narcissism, Maoism, climatism, socialism, bureaucratism, compassionism, cronynism, and incompetism,” the last of which he defines as “the acceptance of mediocrity in the service of noble intention.” These “Californian-isms,” each of which gets a chapter in his book, have infected other parts of America, making the state “the Wuhan lab of modern leftism.” Mr. Hilton, 57, is a most uncon-

ventional contender for the top job in a state that is at the “top of every list you’d want to be at the bottom of, and bottom of every list you’d want to be at the top of.” This is the first election he’s ever contested, a quixotic electoral debut, given the seeming impregnability of the Democrats in California. He admits freely—and even revels in—his status as an outsider, and insists it’s an advantage against his Democratic opponent, Xavier Becerra, whom he dismisses as “an empty suit” and a “career politician type who’s just drifted through the system.” He debates Mr. Becerra, who was health and human services secretary under President Biden, on Wednesday. “Just the single debate. We’d wanted more, but getting Becerra to agree to even one was hard enough.”

Born in Britain to Hungarian refugees from communism, Mr. Hilton served as a senior policy adviser to Prime Minister David Cameron. He moved to California in 2012, when his wife landed a lucrative job as head of communications at Google. Mr. Hilton relinquished his British citizenship in 2021, becoming American. He was briefly a dual national, as the law permits, but he believed it was “important to actually say, ‘I renounce loyalty to everywhere else.’ ” As if to underscore his embrace of American politics, he recently visited an evangelical church in this city of almost 316,000 people, the Orange County seat, where he was described from the pulpit as “a man who believes that America desperately needs Jesus.” The largely Hispanic congregation gave him a lively ovation.

Mr. Hilton is running for governor because he “can’t stand what’s happening to California,” especially the ebbing of what he calls its “rebel spirit. The spirit’s there, but the government’s crushing it.”

Somewhat surprisingly, Mr. Hilton traces California’s decline back to Gov. Ronald Reagan (1967-75), who



Steve Hilton speaks at a town hall in Santa Clarita, Calif.

signed the Meyers-Milias-Brown Act of 1968, granting collective bargaining rights to municipal and county employees. Reagan’s successor, Jerry Brown (1975-83 and 2011-19), “expanded it to more categories of public-sector workers,” and “then it just took off from there.”

California’s business climate is, as a consequence, “the worst in the country,” Mr. Hilton says. He lists “five forces that have made the state such an inhospitable place for business.” The first two are high taxes and regulation; the others are “structural forces,” all of which give generously to Democratic politicians: government unions that “just completely dominate everything”; climate activists, “who’ve ideologically captured all the institutions of power”; and trial lawyers, who cripple businesses with “the time, hassle and extraordinary cost of litigation.”

Mr. Hilton has a blithe British manner and jokes about his un-Cali-

fornian accent: “I have trouble saying ‘water’ in a way that people understand.” It isn’t false modesty when he says he faces an “uphill battle.” He says “I’ve been very honest with all my supporters.” Yet he also says his own polls show him only 8 points behind Mr. Becerra. “There was a 25-point gap when we started campaigning,” he says. “I say very clearly, it’s going to be very difficult to win, but it isn’t completely impossible.” His messages, such as eliminating the state income tax for the first \$150,000 of earnings and “ending the high-speed rail boondoggle on day one of my governorship,” are “resonating with voters, especially blue-collar Californians who’ve been taken for granted for too long by the Democrats.”

As Mr. Hilton sees it, his advantage lies in his “high-energy campaign,” which he contrasts with Mr. Becerra’s. “It’s bizarre. He’s just not campaigning. I’ve been to every

county. There’s a massive amount of arrogance and complacency on his part. His team think he’ll win by 20 points.” Mr. Becerra, he continues, has “no ideas, no ideology, and to the extent that he has any operational skills, it’s navigating the machine, getting the support of the unions and the activists and wherever he needs to suck up to.”

Mr. Hilton says he’s tired of hearing Gov. Gavin Newsom and Mr. Becerra say “we’re the fourth-biggest economy in the world.” They’re “not lying,” he admits: Were California an independent country, its gross domestic product would be higher than Japan’s and behind only the U.S., China and Germany. But that is a “very misleading statistic,” he says. “The GDP number hides a very unhealthy, unbalanced economy hugely inflated by two things.”

The first is the tech economy, “especially now we have the AI companies. There’s huge amounts of revenue generated, but very few jobs.” The other distortion is government. “They’ve more than doubled the budget of the state of California in the last 10 years, even though our population has shrunk.” Weather aside, “which even the Democrats can’t ruin,” the state has become a lousy place to live, with the “highest prices in the U.S. for homes, rent, gas, water and electricity.”

Mr. Hilton is all for crowing about the size of the state’s economy. “But I actually want us to be a more successful economy.” By his own calculations, the “total regulatory bloat” in the state is just under \$750 billion. “Imagine if we got rid of that. We’d be very close to being the third-largest economy. I’ve absolutely nothing against being big. I just want us to be bigger.”

Mr. Varadarajan, a Journal contributor, is a fellow at the American Enterprise Institute and at NYU Law School’s Classical Liberal Institute.

Clarence Thomas, Stalwart for the Constitution



UPWARD MOBILITY
By Jason L. Riley

Douglas as the longest-serving justice in history.

The contrast between Justices Thomas and Douglas, who was nominated by President Franklin D. Roosevelt and served from 1939 to 1975, is especially stark. Some call Douglas the most liberal justice ever. He regarded the Constitution as a “living document” that could be molded to address contemporary needs without being formally amended.

Justice Thomas is a George H.W. Bush nominee and perhaps the most conservative member of the current court. He is a leading advocate of originalism, which holds that the Constitution doesn’t change meaning on a whim. The document means what the people who adopted it understood it to mean at

the time. Where Douglas aimed to expand the discretion of judges, Justice Thomas has worked to limit it. Justice Antonin Scalia was a fellow originalist, as was Robert Bork, who wrote in 1971 that a “judge must stick close to the text and the history and their fair implications, and not construct new rights.”

The personalities of the two men likewise diverged. “Apart from being a flagrant liar, Douglas was a compulsive womanizer, a heavy drinker, a terrible husband to each of his four wives, a terrible father to his two children, and a bored, distracted, uncollegial, irresponsible and a times unethical Supreme Court justice,” according to Richard Posner, the retired appellate court judge and legal scholar. “Rude, ice-cold, hot-tempered, ungrateful, foul-mouthed, self-absorbed, and devoured by ambition, he was also financially reckless—at once a big spender, a tightwad, and a sponge.”

By contrast, Justice Thomas’s colleagues regard him as the kindest and most genial person in the building, someone who goes out of his way to get to know everyone from the custodial staff to the clerks of his fellow justices. He is

principled, plain-spoken and known for his booming laugh. In the late 1990s, he and his wife, Virginia, took in his grandnephew, who was in danger of entering the foster care system, and raised him as their own.

What has distinguished Justice Thomas as a jurist, however, isn’t merely his longevity. It is how he has used his time on the nation’s highest tribunal. In his new book,

Ted Cruz’s new biography looks back admiringly at the justice’s first 35 years on the Supreme Court.

“Going Further: The Incomparable Clarence Thomas,” Sen. Ted Cruz describes the justice as someone who has marched to his own drum and in the process become one of the most consequential jurists ever to serve.

Throughout his tenure, “Justice Thomas has insisted that the text and original meaning of the United States Constitution, not past deci-

sions of the Supreme Court or politics, should be the highest authority,” Mr. Cruz writes. “There were times when this made him something of an outcast among his colleagues. But he never wavered. Indeed, no justice in our nation’s history has been more willing to overturn past decisions of the Court that were wrongly decided.”

Before Mr. Cruz was elected to the U.S. Senate from Texas, he spent more than a decade as a Supreme Court litigator. Before that, he clerked for Chief Justice William Rehnquist in the mid-1990s. While the book covers familiar ground about Justice Thomas’s hardscrabble upbringing and controversial Senate confirmation, its most important contribution is Mr. Cruz’s informed analysis of Justice Thomas’s jurisprudence and legacy, which he gleaned from hours of personal interviews.

On issue after issue, Justice Thomas’s lone dissents, and his concurrences urging the majority to “go further,” have resulted in the court’s ultimately following his path. He had argued since the 1990s that although Supreme Court jurisprudence had been gutting the Sec-

ond Amendment for two centuries, the amendment’s plain language clearly protects an individual’s right to keep and bear arms. He had argued at least as long that the only proper interpretation of the 14th Amendment was that the government can’t discriminate based on race, even when it is supposedly benign discrimination in the form of affirmative action.

Over time, court majorities have come around to Justice Thomas’s reasoning on guns and racial preferences. More broadly, even liberals on the court who reject originalism nevertheless take the text and history of the Constitution more seriously than they did in the pre-Thomas era. Mr. Cruz speculates that the justice’s thick skin and stick-to-itiveness will be his most important legacy, regardless of how much longer he serves. “He has endured seemingly unendurable hatred without becoming hateful himself,” Mr. Cruz writes. “He has lived a life defined not by ambition, but by duty. Most importantly, he has not changed his views simply because a majority of the country—or some political party—have changed theirs.”

‘Strategic Stability’ Is a Comforting Foreign-Policy Fantasy

By Tod Lindberg
And Corban Teague

The theme of the U.S.-China summit last week was “strategic stability.” Yet this “stability” is at best an aspiration and, more likely, happy talk obscuring an actively deteriorating relationship. Global stability is a noble goal, but pursuing it can lead policymakers into dangerous missteps.

The quest for a stable global order has long beguiled idealists and realists alike. Conflict is inevitable, and the U.S. faces a future that is likely more violent and destructive than many are prepared to face. If America is to survive another 250 years, it’ll have to come to terms with this harsh reality.

There is widespread agreement among foreign policy experts that the post-Cold War period of general peace and stability is giving way to a new era. What it will look like is a topic of intense debate, but most visionaries share the goal to return to the relative geopolitical stability of the 1990s by fixing what they think broke in the post-Cold War period.

Some say the problem was U.S. hegemony as such, pointing to the supposed instability of a unipolar order. Others point to America’s desire to use its power to remake the world by bringing down tyrants and spreading democracy. Or perhaps the problem was American indifference to other countries’ desire for a more effective rules-based international order.

The proposed solutions are as divergent as the diagnoses. The U.S. should accept that its relative power is declining, one argument goes. Then perhaps we can cut a deal among the rising powers of a multipolar world in a grand bargain in the style of the 1815 Concert of Europe. Or maybe we should redouble our efforts to improve global governance through existing international institutions. Or seek our fortune by banding together with like-minded democratic states. Or have the biggest powers divide the world into spheres of influence and reign as regional hegemons.

None of these proposals grapple with the full weight of how different our new era will be from the relatively placid one it is superseding. The Concert of Europe created temporary stability and calm in Europe after centuries of strife that culminated in the Napoleonic Wars. It worked well enough for decades but gradually broke down, insufficient to prevent the devastation of World War I.

What most diagnosticians miss these days is that we just had our concert, and it is over. In the aftermath of the Cold War, the U.S. was the conductor, and emerging challengers kept a low profile by pretending to play along. China was growing into an economic power in part so it could become a military one. Vladimir Putin was incubating his revanchist plans for Russia, and his foreign intelligence services never abandoned the Cold War fight. The U.S. alliance system was

never a gathering of equals. It created a dependency structure in which allies accepted their subordinate place in exchange for U.S. security commitments and respect. Meanwhile, the relative golden age of the United Nations Security Council has come and gone, book-ended by the 1990 resolution authorizing force to reverse Saddam Hussein’s conquest of Kuwait and the 2011 resolution providing the same authority to protect the Libyan opposition from mass slaughter by Moammar Gadhafi’s advancing forces.

What went wrong in the post-Cold War period? The U.S. failed to grasp that it has real enemies.

What makes periods like the Concert of Europe and our post-Cold War era remarkable is that they are at such variance with the normal state of international affairs—violence, conflict and disorder. The world to come will be far closer in spirit to the periods of brutal conflict that engulfed Europe before and after the concert’s brief respite. How similar in practice depends on the deterrent power of U.S. capabilities across the full spectrum of military, economic, diplomatic and informational endeavors.

The first task is to reorient the underlying assumptions informing American foreign policy to comport

with reality. U.S. policymakers and voters need to grapple with the realization that we face not merely competitors, challengers or even adversaries, but enemies. America needs to be clear about our enemies’ ambitions and the threat they pose, even—or perhaps especially—as we pursue diplomatic initiatives to ameliorate the danger. It’s vital that the U.S. learn to understand conflict the same way our enemies do. Debates or spheres we view as mere competition—like trade disputes with China or anti-American content on TikTok—our enemies understand as economic or informational warfare.

The U.S. doesn’t seek out enemies. In many cases, such as Iran, our enemies have declared themselves as such for decades. Others like China have been subtler, but their intention to play an active part in the erosion of American power and influence is obvious.

A realistic foreign policy should also recognize that fundamental principles still matter. We protect our country not only because we live here. We do so because the organizing principle of the U.S. is individual freedom. It shapes how we define, rank and pursue our interests and stands in sharp contrast to the organizing political principles of our enemies. That freedom is under attack. It will need defending time and time again.

Mr. Lindberg is a senior fellow at the Hudson Institute. Mr. Teague is senior policy director and deputy to the executive director at the Vandenberg Coalition.

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Goldman Candidate's Long Path

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Waldron's pay in 2025 was \$45 million, according to proxy filings—just short of Solomon's \$47 million.

A spokesman for Goldman, Tony Fratto, said the board regularly discusses succession, but that there is no definitive timeline for it.



John Waldron, firm president, is seen as the likely next CEO.

A Cleveland native, Waldron moved to the East Coast at 15 when his father took a job in Philadelphia. He attended the Lawrenceville School, a private school in New Jersey, where he played varsity ice hockey and baseball and wrote for the student newspaper.

He went on to attend Middlebury College in Vermont, graduating with a major in English and minor in economics.

"I was more of an English kid than a finance kid," he said at a Brigham Young University event in 2023, according to an alumni magazine. "I thought I was going [to] be a writer."

It wasn't until he participated in a summer business program at the University of Chicago that he decided to pursue finance, with plans to spend a few years on Wall Street before moving on to an industrial or nonfinancial services company. "It turned out that I fell in love with the work—but more importantly—with the people I got to work with," Waldron said.

He joined Bear Stearns out of college—after being rejected by Goldman.

"I didn't do well in the financial modeling test," Waldron said on "Inside Blackstone," a podcast from the private-investment firm.

Waldron has said that starting his career at a smaller firm enabled him to take on bigger responsibilities and be more entrepreneurial. At Bear Stearns, he owned client relationships at a relatively young age, he said on Goldman's "Exchanges" podcast in 2019.

Bear Stearns is also where Waldron first worked with Solomon.

When Solomon joined Goldman in 1999, he said to Waldron: "I think you'd like coming here," Waldron recalled on the "Exchanges" podcast.

Waldron joined Goldman in 2000 and was named a partner two years later. He held leadership roles in leveraged finance and the financial sponsors group before being promoted to co-head of the investment banking division in 2014.

Waldron and his family live on Manhattan's Upper West Side. In the past, Waldron described how he has found balance in his life by getting home to have dinner with his children and putting the younger ones to bed before going out for a client dinner.

"So I'll have two dinners. I'll have a little bit of peanut butter and jelly and then I'll have...I'll have a steak tartare later on," he said on the "Exchanges" podcast.

Banking Is Threatened By AI Bots

Continued from page B1

Morgan Stanley Research said it estimates that AI could double the portion of borrowers refinancing or prepaying their mortgages. Homeowners might use AI to monitor rates, for instance, and automatically prepare the necessary documentation for refinancing. Already, large mortgage lenders including United Wholesale Mortgage have AI tools to monitor when clients could save money on a refinance, and call them.

The prospect of losing deposits sitting in checking and savings is especially troubling for banks, which rely on those funds to make loans that help keep the economy humming, pocketing the extra interest they make. "Banks may call it an agentic bank run. Customers might call it checking the interest rate," said one user on X, in response to Slok's observation.

About \$7.12 trillion sit in consumer and business bank checking accounts, according to the Federal Reserve Bank of St. Louis. Those often bear little or no interest. Many Wall Street analysts don't think a draining

of deposits would happen overnight, if at all. For one, banks' larger institutional clients are largely already doing this as a part of so-called treasury management, which involves moving cash into higher-yielding accounts or using it to pay down debt. Consumer accounts may only have a few thousand dollars in balances, and thus relatively less to gain.

There's also the trust factor. People like having their money somewhere they feel is secure, which is often in the traditional banks they know well. "You're not going to give your money to some bank you've never heard of," said Peter Crane of Crane Data, which researches money-market funds.

Still, investors appear to be taking the prospect of AI disruption seriously. Financial stocks, including consumer banks large and small, slid last week following **Meta Platforms'** release of its Muse virtual assistant.

Meta has promoted Muse as an instant money saver, with the ability to help renegotiate your utility bills or spot subscriptions you're not using. It can act autonomously on a person's behalf (though it can't currently move account balances on its own).

The idea that AI agents could level the playing field in consumer finances relies on the assumption that bots will recommend the best product or money-saving tactic. But they could have blind spots.

BUSINESS & FINANCE



The cruise line said booking trends strengthened throughout the quarter, with volumes meaningfully ahead of last year.

Carnival Lifted by Strong Demand

By CONNOR HART

Carnival reported higher profit and revenue in the third quarter on continued strong demand, even as oil prices remain elevated.

The cruise line on Tuesday posted net income of \$1.92 billion, or \$1.40 a share, for its three months ended Aug. 31, up from \$1.85 billion, or \$1.33 a share, a year earlier.

Stripping out certain one-time items, earnings came in at \$1.43 a share. Analysts

polled by FactSet expected adjusted earnings of \$1.35 a share.

Third-quarter total revenue climbed 3.5% to \$8.44 billion, topping Wall Street models for \$8.39 billion.

Shares rose more than 13% to \$25.11 Tuesday. Despite the gain, the stock has lost nearly a fifth of its value year to date.

Chief Executive Josh Weinstein said accelerating demand, coupled with continued cost discipline, drove the com-

pany's fiscal third-quarter results ahead of its expectations.

"Our booking trends continued to strengthen throughout the quarter, with volumes meaningfully ahead of last year and far outpacing capacity growth," Weinstein said. Booked occupancy and pricing for 2027 are at record levels, he added, providing a strong foundation for the year ahead.

For the remainder of 2026, Carnival guided for adjusted earnings of 20 cents a share in its fiscal fourth quarter,

slightly below analyst views for 24 cents a share. Net yields, or the money it makes from passengers, are expected to climb 2.3%, ahead of estimates for a 1% increase.

Fuel expenses are now projected to total \$2.25 billion for the year, up from a prior forecast of \$2.12 billion. The new outlook comes as oil prices remain elevated, though benchmarks pulled back from earlier highs after Saudi Arabia's state supplier reopened a key distribution point.

Insurer Turned Up The Risk

Continued from page B1

a domino effect of losses in insurer portfolios.

Delaware Life started lending money to Walter affiliates early on—notably to help finance his purchase of the Dodgers. Private-credit investments by Delaware Life and other Group 1001 companies grew slowly until 2019 and 2020, after which they quickly doubled to 40% of investments, the Journal's analysis found.

Many of the loans came with credit ratings purchased from Egan-Jones Ratings, a small firm trying to break into the lucrative private-credit market. Delaware Life and the other companies listed the investments in regulatory filings but without obvious connections to Walter's other businesses. The deals were often named after city streets or U.S. presidents, obscuring who was borrowing the insurers' money or the quality of those investments.

Walter's companies have yet to publicly identify most of the loans that are being reclassified as affiliated.

The insurers disclosed that almost all \$5.2 billion of their short-term loans went to affiliates but didn't report the credit ratings on the investments. The Journal identified \$6.3 billion in additional affiliated loans that are reported with credit ratings. A higher portion of those loans carries lower credit ratings than the nonaffiliated debt Walter's insurers own, or than the life-insurance industry average.

About 80% of the loans are rated at or below BBB—the lowest category of investment grade.

Delaware Life's largest investment is a \$296 million debt to a fund managed by Guggenheim, where Walter is

also chief executive. Guggenheim took some of that money and used it to finance at least one of its other deals—a \$450 million loan it made to dating app maker **Bumble**—compounding the fees it made off the insurer's money.

The second-largest investment is in a debt deal with Clarus Capital, an equipment finance company that isn't a Walter affiliate but has longstanding business ties to Guggenheim. Guggenheim has invested hundreds of millions of dollars in bond deals done by Clarus's co-founders over the course of more than two decades, according to financial reports by Delaware Life and Guggenheim. Delaware Life initially lent Clarus \$244 million but reported a fair value of \$229 million at the end of 2025, a \$15 million reduction.

The Walter financial network found an additional way to get money out of its insurance companies.

Established in 1932, the Federal Home Loan Bank system allows financial institutions to

borrow money at ultralow rates using mortgage loans as collateral. Insurers can reinvest the cash they borrow from the system into higher-yielding debt, pocketing the difference, or use the FHLB loans as a quick credit line in times of stress.

Most traditional U.S. life insurance companies keep most of their FHLB credit lines untapped as a buffer against financial turbulence, borrowing about 40% of maximum capacity, according to data from S&P Global.

Some insurers owned by private-credit fund managers borrow more heavily. Apollo Management Group's Athene used 76% of capacity in 2025. Sammons Enterprises, a group with close ties to Walter, pushed it to 79%.

Delaware Life went even further last year, boosting its borrowing under the program to 97% of capacity, or to \$4.42 billion.

The remaining amount available if Delaware life hits a cash crunch: near zero.

Kroger Tries To Be Like Walmart

Continued from page B1

in a recent research note. The firm estimates that Walmart prices are still 5% to 20% lower on average.

The largest pure-play grocer in the U.S. by sales, Kroger was losing a hotly contested fight over groceries to Walmart and other rivals when the supermarket chain plucked Foran to steer a turnaround.

Kroger had failed to broker a merger with competitor **Albertsons**, and longtime CEO Rodney McMullen left for an undisclosed ethics violation.

One of its biggest problems was pricing. Walmart and discount retailers were luring shoppers—who were reeling from inflation—with lower prices than Kroger's. The discounters offered generally low prices every day, while Kroger stuck with temporary sales on key products, a practice known as high-low pricing.

Kroger's annual profit fell 62% in 2025 from the prior year to \$1.01 billion. The company's stock is down about 10% over the past 12 months.

Foran wants Kroger to move away from its high-low pricing roots and more often offer everyday low prices, said one of the people familiar with the situation, a tactic used by Walmart to create the impression of year-round value.

"We have to be relentless on cost," Foran said earlier this month. "Every dollar we take out is a dollar we can reinvest in areas customers will see."

In June, Foran told inves-



The grocer is focusing on everyday low prices to help it win back shoppers.

tors that he has been to more than 100 of Kroger's roughly 2,700 stores and that less than half were in very good condition. He has said Kroger's revamp is a multiyear effort.

An early riser who starts many mornings with knuckle push-ups and stair climbing, Foran, 65 years old, is often at the office by 6 a.m.

He worked in retail in Australia, then with Walmart in China and as head of its U.S. business. Foran left Walmart in 2020 and returned to his birthplace to become head of Air New Zealand, before taking the Kroger CEO role.

He didn't waste time shuffling his executive ranks. Among his new hires were former Walmart officials Mark Ibbotson and Nate Faust to run operations and e-commerce, respectively.

Foran and his inner circle have talked about jobs for other former Walmart executives at the company and on

its board, including Judith McKenna, a former head of Walmart's international division who worked closely with him at the company.

A McKenna nomination to the Kroger board isn't moving forward, according to people familiar with the situation. Walmart typically has a two-year noncompete clause for its former executives.

Under Foran, Kroger bought supermarket chain Giant Eagle this summer for \$1.65 billion, a move that will add nearly 200 stores and expand the company's foothold in Ohio, West Virginia, Maryland and Indiana, while adding Pennsylvania.

The grocer has also taken steps to trim costs and use the savings to lower prices. Since last year, Kroger has cut hundreds of corporate jobs and closed dozens of underperforming grocery stores. The company is also trying to negotiate more effectively with

its suppliers, said people familiar with the change in strategy.

When Foran took the Kroger job, he was alarmed to learn that its buyers don't collectively negotiate their purchases from large suppliers such as **Procter & Gamble** or **PepsiCo**, the people said.

Kroger's managers bargained separately over individual product categories like chips and soda, even if the same company sold both. It is a strategy that hurt Kroger's leverage with suppliers but gave it flexibility to offer targeted sales to shoppers.

The grocer stopped buying Red Bull around early August, after the energy-drink maker sought to raise its prices while offering a cheaper deal for its drinks to a rival grocer, according to a person familiar with the matter.

Talks between the two companies are still at a standstill, the person said.

BUSINESS NEWS

Alaska Air Boosts Offerings | Vail Resorts' Sales Of Ski Passes Tumble

Carrier woos high-paying travelers amid competition with larger rivals

By ALISON SIDER

Alaska Air is upgrading its premium travel offerings to take on the biggest U.S. airlines.

It is installing a new premium economy section on planes that fly overseas and across the country. And it is beefing up its international business-class offering with new lie-flat suites and devoted lounge space.

Since its purchase of Hawaiian Airlines two years ago, the Seattle-based carrier has been expanding its reach and trying to bring more travelers into its fold. It launched flights to Europe and Asia from its hometown hub and has plans for more. Now the carrier needs more premium options to woo customers away from larger rivals.

“We needed those products to meet the size and scale of our network as it expands,” said Andrew Harrison, Alaska’s chief commercial officer.

Alaska isn’t new to premium travel. The wide-body jets it flies to Europe, which it acquired in the Hawaiian deal, are already outfitted with



Alaska Air is beefing up its international business-class flights in a premium push.

business-class suites.

It opened up a dedicated check-in and concierge service for international business-class travelers ahead of its first flights to Rome this year. And its airport clubs feature amenities such as pancake printers and make-your-own pho.

But it didn’t have some amenities high-end travelers expect. And it didn’t have the four-class cabin that has become standard for many carriers’ long-haul flights.

Alaska has struggled with

rising fuel costs recently, and it has faced curveballs such as IT outages last year and harsh weather that dented demand for trips to Hawaii.

The carrier’s premium push comes as airlines are finding that catering to travelers willing to spend more for comfort is critical to turning a profit, especially as expenses such as fuel, labor and airport fees climb. Airlines are overhauling their cabins to tap in to growing demand for travel luxuries.

Delta, which also has a Seattle hub, has been pushing

back on Alaska’s efforts. It has been able to attract customers with its global network and swanky international business class—something Alaska couldn’t completely match.

Alaska’s new 41,000-square-foot lounge in Seattle—set to open in late 2027—will include a dedicated lounge for Aurora Suites passengers on intercontinental flights including made-to-order meals brought to your seat and showers—similar to lounges Delta, **United** and **American** have.

By ALLISON POHLE
AND KATHERINE HAMILTON

Signs are pointing to another tough winter ahead for **Vail Resorts**.

The company sold 12% fewer passes through Sept. 18 for the coming North American ski season, compared with the same period last year. Days sold and pass revenues, which include sales and admissions taxes, also decreased from a year earlier.

For the full year, Vail’s resort-reported revenue decreased \$131.9 million, or 4.5%, which it attributes primarily to the record-low snowfall out West. Its full-fiscal-year profit, which it reported after Monday’s market close, was nearly halved compared with the prior year.

Last winter’s lack of snow in the Rockies was punishing for ski resorts, but Vail’s model of selling multiresort ski passes faces a more existential challenge: It has largely maxed out the pool of dedicated skiers willing to commit to all-access passes preseason. To recruit younger skiers, the company cut the price of the coming season’s Epic Pass by 20% for skiers and snowboarders ages 13 to 30.

Based on current sales trends, the company doesn’t

expect to make up for the shortfall in passes by the beginning of the season, said Angela Korch, chief financial officer. Vail does anticipate selling more lift tickets, but executives said they expect fewer visits compared with the 2024-2025 ski season, even with better snowfall.

Executives said the decline in pass sales was likely driven by less-committed skiers who have delayed their decisions to buy a pass, as opposed to a structural change in demand. The company reported stronger sales from its unlimited pass products.

Vail Chief Executive Rob Katz has said previously that the company’s future isn’t solely based on growing season passes, but on a better guest experience, including on-mountain dining, gear rentals and private lessons.

The ski-resort company faces pressure from Oasis Management, an activist firm based in Hong Kong, which this month filed an initial 13D regarding its stake in the company. The hedge fund currently holds about a 7.4% stake.

Oasis also said it intends to nominate four director candidates, including former Disney CEO Bob Chapek and retired Olympic gold medalist skier Picabo Street, to Vail’s board.

Shein’s Earnings Disappoint, Sending Stock Lower

By TRACY QU

Fast-fashion retailer **Shein** Global’s rocky start as a publicly listed company continued as its first earnings since listing disappointed, reflecting the strain of persistent geopolitical headwinds.

The worse-than-expected results—Shein’s maiden report since it went public in September—sent its Hong Kong-

listed stock down 11% Tuesday. The second-quarter performance showed a drop in profit and anemic revenue growth as Shein continued to struggle with tariff headwinds and mounting logistics costs.

Shein expects the external environment to remain uncertain in the second half of 2026, but said things could improve in the seasonally stronger final quarter.

“The fourth quarter...remains our most significant promotional window and should drive a meaningful uplift in orders,” it said Monday in the earnings release.

For the second quarter, revenue rose 0.9% from a year earlier to \$11.08 billion, while adjusted net income fell by two-thirds to \$228.0 million.

While there is no reliable consensus feed given limited

coverage, Jefferies analysts think earnings “landed more than 10% below the low end of the range implied by the prospectus.”

Revenue in the U.S. dropped 6.0% during the quarter, while Europe revenue slid 14%.

The downturn in the U.S. was a surprise to Jefferies analysts, who noted that consensus and management pinned their hopes on a recovery in

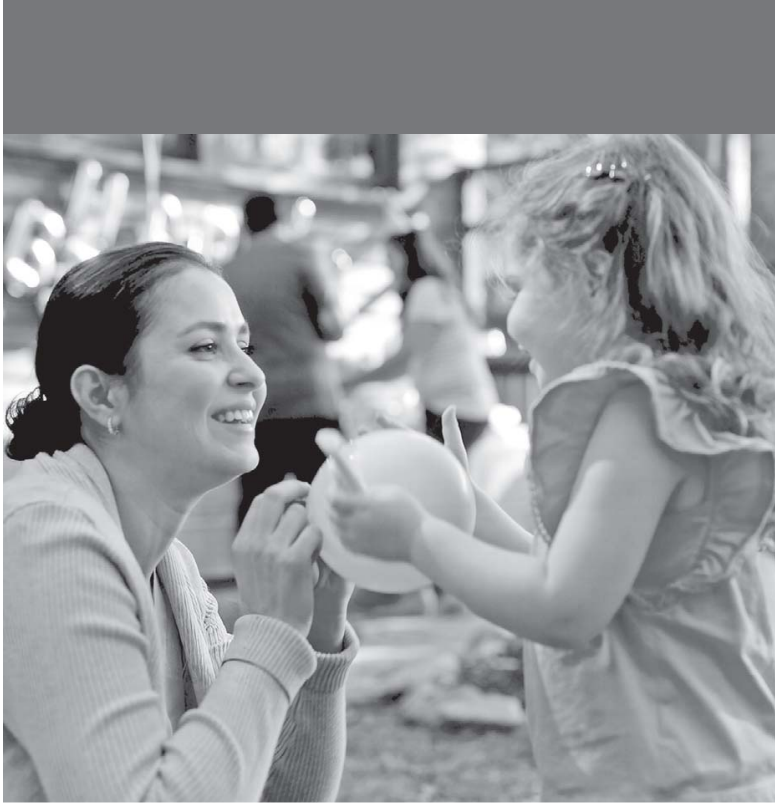
the American market. Shein’s U.S. business took a major hit after the government scrapped a tariff exemption for low-value goods imports in 2025, hurting demand for the low-cost fashion that made the company a household name.

Sales in Europe have also come under pressure after the European Union eliminated a similar customs duty exemption in July. The EU launched

an inquiry this year over concerns regarding illegal online products and potential user risks from platform design.

The conflict in the Middle East added another pain point for Shein, disrupting shipping disruptions and driving up freight costs.

Shein has said it is pursuing several measures in response to the headwinds, including raising product prices.



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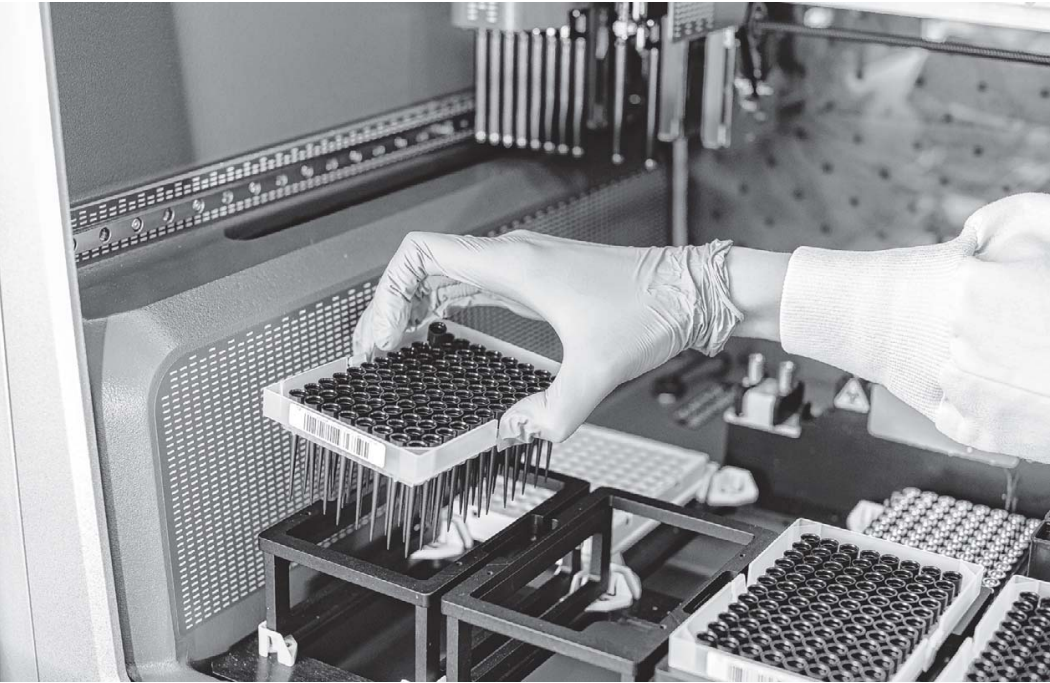
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PHILIP KEITH FOR WSJ (3)

Startup Develops Remedies For Future AI Bioweapons

Red Queen Bio uses AI to design antibody drugs for novel pathogens

By Georgia Wells

In a wine bar near OpenAI's office in San Francisco, biotech entrepreneurs Hannu Rajaniemi and Nikolai Eroshenko were worried—and excited. Fast advances in artificial intelligence were threatening to make it possible for terrorists or rogue states to develop deadly new bioweapons. The pair brainstormed an idea they would later pitch to OpenAI: using AI to design remedies against AI-enabled bioweapons, and cure other scourges along the way, too. Now their AI biosecurity startup, called Red Queen Bio, is rushing to design antibodies that can be manufactured to protect against a range of potential pathogens, including the seemingly sci-fi threat of an AI-designed virus. The company, in which OpenAI is a lead investor, says it has raised \$36 million. Human clinical trials of their antibody drugs against bird flu and other viruses in the flu family are planned for next year.

Be prepared

As AI capabilities increase and incidents with rogue AI systems proliferate, fears are mounting that AI could destroy civilization. So far, many proposed responses focus on heading off the risks: slowing AI research, setting standards or blocking AI models from responding to dangerous queries in the first place. Red Queen Bio operates from the assumption that if these protections fail, society should be prepared. "We want to enable positive things to happen," Rajaniemi said of the idea hatched at that 2025 meeting. "If we destroy civilization, we don't get that." While some skeptics say the danger of AI bioweapons is overblown, big AI developers say risks from their tools are increasing. OpenAI last year observed hundreds of users asking their chatbot how to make and deploy poisons and biological weapons, including aerosolized pathogens and modified measles. Anthropic this month said it had detected attempts to use its Claude chatbot to engineer a dangerous bird flu



Nikolai Eroshenko, left, and Hannu Rajaniemi in their Red Queen Bio lab, right. The AI biosecurity startup, in which OpenAI is a lead investor, says it has raised \$36 million.

adapted for mammals, with "enhanced pandemic potential." Queries from a Claude user affiliated with a military research institute asked about ways to make the chikungunya virus more harmful. Another user asked Anthropic's chatbot questions about viruses related to smallpox. Aspects of the dynamics of biological warfare favor attackers over defenders, said Olivia Scharfman, a biotech fellow at the Institute for Progress, a think tank that has received funding from Open Philanthropy, now called Coefficient Giving, one of the biggest backers of AI safety initiatives. "Attackers have as long as they want to develop a bioweapon. We don't have years to design a countermeasure," Scharfman said. The response to Covid-19 shows that even a highly accelerated effort to test and roll out a new vaccine can take about nine months.

'A scalable thing'

The company belongs to an emerging industry of biosecurity startups in the AI era. Two Anthropic leaders invested in Pilgrim, a startup backed by Peter Thiel that is developing hardware to detect viruses in the air. Nonprofit SecureBio monitors wastewater and nasal swabs to deter biological attacks. Perimeter builds infrastructure to monitor biological signals for early warning of threats. Valthos builds AI systems to detect, characterize and mitigate emerging biological threats. Red Queen Bio's founders,



who hold Ph.D.s in mathematical physics and bioengineering, are focusing on developing antibody drugs because they could offer a shortcut to widespread protection against whole families of viruses—including related viruses that haven't yet emerged. The company also is focused on designing antibodies to make them bind more tightly to their targets. "The tighter you bind, the less you need," said Eroshenko, the company's CEO. "Suddenly you have a scalable thing."

Looking-glass future

Rajaniemi, the company's executive director, first met Sam Altman in 2016, when the OpenAI chief was still working with startup incubator Y Combinator, and the two discussed pandemics. Altman later personally invested in Helix Nano, the first company where Eroshenko, 40 years old, and Rajaniemi, 48, worked together. Rajaniemi and Eroshenko came up with the name Red Queen Bio in a nod to the character in Lewis Carroll's book "Through the Looking-Glass" who in one scene tells the main character, Alice, they must keep running to stay in place. In 2025, they raised \$15 million from a group including OpenAI, early-stage investor Cerberus Ventures, and a collection of other funds and AI-safety philanthropic groups. This year, OpenAI made a substantial follow-on investment with others. News Corp, owner of The Wall Street Journal, has a content-licensing partnership

with OpenAI. In addition to its work on antibodies, Red Queen Bio continues to work directly with OpenAI. It has worked on red-team testing with AI companies, the process of probing how a chatbot responds to dangerous requests. The company has also discussed strategies for responding to biorisks with OpenAI's chief strategy officer, Jason Kwon. Now, in a biotech lab in Boston, Red Queen Bio scientists are testing samples of flu antibodies and feeding the results to their AI models. The data improves the models, and the models design increasingly effective antibodies. Red Queen Bio is focusing on flus that public-health officials have identified as top risks because of how AI systems could lower barriers for modifying them. The company plans to focus in coming months on antibodies for coronaviruses, ebola-like viruses, bat-borne viruses, hemorrhagic-fever viruses, smallpox-like viruses and other potential threats. They are also working on a broader therapeutic to boost the immune system's response to respiratory viruses. They hope one day to add Red Queen Bio's antibodies to government stockpiles in the U.S. and Europe, and to design and manufacture new antibodies fast enough to stop emerging threats. Rajaniemi points to the vast number of receptors immune-system cells can use to respond to pathogens. "It's not limited by biology," Rajaniemi says. "It's limited by our intelligence."

AT&T, Corning Set \$3 Billion Fiber Deal

By Connor Hart

AT&T signed a \$3 billion deal with Corning, which will supply the mobile carrier with the fiber and cable needed to expand its network and meet growing demand for data. The telecommunications company said its multiyear deal with Corning will help it achieve its goal of bringing fast and reliable internet to 60 million Americans by the end of 2030. The average AT&T fiber household now uses more than one terabyte of data each month, up fivefold from a decade ago, the companies said Tuesday. Monthly use is expected to continue to grow as streaming, gaming, video calls, cloud services and artificial intelligence become a bigger part of everyday life.

Fiber, which can quickly and reliably carry everything from movie streaming to AI tools, is the only technology that can meet the growing demand, the companies said. "Fiber's speed, reliability and capacity remain unmatched for any home or business," AT&T Chief Executive John Stankey said, adding the company looks forward to continuing its work with Corning as it expands its network. The deal echoes a multibillion-dollar agreement that Verizon and Corning reached this month. Under that agreement, the companies said they will deploy more than 80 million miles of high-density optical fiber across the U.S. over the coming five years, helping to meet surging demand for consumer broadband and converged services.

Etsy Aims to Be More Personal With AI

By Jennifer Williams

Etsy depends on human connection, selling hand-crafted items, but in the past several years, the platform lost some of its personal touch. That is changing. Etsy is getting to know its customers better, down to whether they are buying home-decor items for their own apartment or a friend's, thanks to artificial intelligence and detailed profiles it has built on most of its roughly 90 million shoppers. By closely tracking shopping history and preferences as well as clues about whether customers are buying for themselves or purchasing a gift, Etsy aims for a more custom shopping experience. "We've been kind of, somewhat clumsy about it in the past," Chief Financial Officer Lanny Baker said. "But we're really dedicating ourselves to getting more effective on it."

because the brand lacked a presence on social media and streaming platforms, Baker said. Younger buyers might spend less initially, but by reaching them earlier, Etsy knows them well by the time they hit major milestones, like landing a first job, buying a home and starting a family. The company wants to give shoppers more high-quality items too, often with higher price tags to match without chasing off shoppers. Already, the platform's buyers have absorbed tariff-related seller price increases in the past year, Baker said. For Etsy, this boosted average order values, but there was some concern that shoppers would pull back as a result. Instead, demand held up, and in fact, shoppers are in-



CFO Lanny Baker

creasingly paying higher price tags for the elevated items. To focus on its core marketplace, Etsy has been slimming down. The company sold secondhand fashion platform Depop to eBay in July and announced plans to cut around 12% of its workforce last month. Baker said the headcount reductions are being made with improving the customer experience in mind. This means removing barriers between teams and making room for employees who will help fine-tune search results as shoppers sort through Etsy's more than 100 million listings. "It wasn't about driving our margins up," the CFO said, adding that the company will likely add back some of the head count with a focus on skills that will help accelerate Etsy's growth.

Jennifer Williams writes for WSJ Leadership Institute's CFO Journal.

Paramount Names HBO Content Chief to Run Streaming Unit



Paramount's Casey Bloys

By Joe Flint

Paramount Chief Executive David Ellison has picked HBO content chief Casey Bloys to oversee streaming operations once the company combines with Warner Bros. Discovery, people familiar with the matter said. It is the first major executive decision by Ellison ahead of Paramount's planned \$81 billion acquisition of Warner, which owns HBO and stream-

ing service HBO Max. As a result, Cindy Holland, the former Netflix programming executive whom Ellison put in charge of Paramount's streaming platforms including Paramount+ about a year ago, is leaving the company. In a memo to staff, Holland said Tuesday was her last day. "As David readies for the next phase of his vision, we've discussed my role and the future of the combined businesses," Holland wrote. "David

is optimizing for HBO stability as we move into this next chapter, and I fully support that." At Netflix, Holland was an architect of the original programming strategy that helped establish the streaming service as a global powerhouse with shows like "House of Cards" and "Orange Is the New Black." The moves come as Paramount awaits a judge's approval of the settlement agreement it reached last week with

12 Democratic state attorneys general who had sought to block the Warner merger on antitrust grounds. Ellison's decision to choose Bloys over Holland ends a Hollywood parlor game over who would land what is viewed as one of the most important roles at the combined company. Bloys is considered a premier programmer, while HBO has long been seen as the gold standard among entertainment platforms. Ellison was concerned that losing Bloys would damage the HBO brand, which is a crucial part of the company's streaming strategy, one of the people familiar with the matter said. Bloys wasn't interested in partnering with another executive to run the streaming operation and had made that clear to Paramount, people familiar with his thinking said. The New York Times earlier reported news of Holland's departure.



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THE PROPERTY REPORT

Town Offered Data-Center Payout

Households to get \$10,000 each, but residents push back against the project

By Will Parker

HAZLE TOWNSHIP, PA.—The letters started arriving in June, from a developer who said he would give \$10,000 to every family in town. They could spend it on anything. “Really whatever you want,” the developer wrote.

To get the money, the township just needed to let NorthPoint Development build its data center, the first of 15 buildings the firm planned on 1,300 acres in the Pocono foothills. Then, \$10,000 checks would go out to each of the 4,500 households there. It would be a \$45 million payout, the developer wrote.

For many in Hazle Township, which has a median household income of about \$60,000, a payout of \$10,000 would be significant. After taxes, it could cover about six months of rent for a two-bedroom apartment or many more months of groceries or fuel.

But regardless of income, job status or location, few of the people in Hazle Township interviewed by The Wall Street Journal indicated that they are eager to welcome the data center for the payout. They reject the project for a variety of reasons, from the noise to an aversion to the rapid spread of artificial intelligence. A common thread is a distrust toward these projects or the people behind them.

John Zola, a resident of nearby Sugarloaf who opposes construction of data-center transmission lines through his property, said small-town politicians across Pennsylvania are too easily wooed or overwhelmed by big developers. Then “the gates open, and then the municipalities provide 10-year tax abatements.”

Data-center developers are offering towns and cities packages in the tens of millions of dollars, including funds for fire departments, emergency services and schools. In Hazle Township, locals spotted developer generosity at the local Italian festival: “Free Amusement Rides Sponsored By NorthPoint.”

Direct cash payments to residents would mark a new phase in the AI build-out.

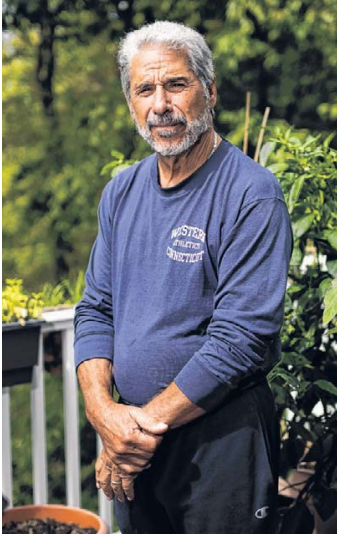
Jeff Fasnacht, a retired teacher whose house lies near the planned data center, worries about noise from years of construction to come.

“\$10,000 doesn’t match how much it’s going to tank my property value,” said Fasnacht.

Some locals suggest governments and developers are keeping information about projects from the public. On that point, Gov. Josh Shapiro signed an executive order last month banning nondisclosure agreements between state



Hazle Township residents are rejecting the project for a variety of reasons. Bottom left to right: Jeff Fasnacht is concerned about noise; Diana Spallone worries about her home’s value; Ed Negra is helping organize opposition to the project.



AI Boom Spurs Supplier To Raise Outlook

By Adrià Calatayud

Legrand, a French supplier of electrical equipment, raised its 2030 targets as the company laid out plans to capitalize on the rapid data-center build-out driven by artificial intelligence.

Shares in Legrand closed up 6.1% in European trading Tuesday. Its American depositary receipts gained around 2.6%.

Ahead of an event with investors, the company said it expects annual organic sales growth of 6% to 8% over the 2027 to 2030 period.

In its previous midterm update in 2024, Legrand had guided for annual organic sales growth of 3% to 5% through 2030.

Acquisitions are expected to boost revenue by 5% on average, while the group also plans to offload business representing sales of between 500 million and 1 billion euros, equivalent to \$568.6 million to \$1.14 billion.

Legrand is riding a wave of demand triggered by AI.

The company said it is targeting an adjusted operating margin of 21% to 22% on average, ahead of its prior goal of around 20%.

Legrand said the energy and digital transition, driven by the rapid expansion of AI data centers and electrification, prompted it to upgrade its 2030 sales and profitability ambitions.

Like several other industrial groups, Legrand is riding a wave of demand triggered by a global race to build data centers to power the computing needs of AI labs.

The company expects to generate more than €3 billion in sales from the data-center market this year, and said it is positioning itself to enable the next generation of AI data centers.

Legrand said it would deploy 60% of its free cash flow on acquisitions on average, and that it would carry out selective stock buybacks in addition to its dividends.

The new targets are better than expected and this is coupled with higher ambitions for acquisitions and an explicit divestment program, which point to Legrand taking a more active approach to reshaping its portfolio, analysts at Jefferies wrote in a note to clients.

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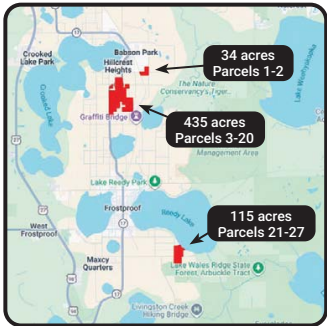
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BUSINESS

CarMax Profit Rises Amid Revamp

By Connor Hart

CarMax reported an increase in profit and sales during the second quarter, as the company sold more vehicles at higher prices.

The nation's largest used-car retailer on Tuesday posted net earnings of \$165.3 million for its three months ended Aug. 31, up from \$95.4 million a year earlier. Quarterly earnings of \$1.16 a share came in ahead of the 73 cents a share that analysts polled by FactSet expected.

Net sales and operating revenue jumped 19% to \$7.88 billion, topping Wall Street models for \$7.09 billion.

CarMax sold 387,735 combined retail and wholesale units in the recent quarter, up 15% from a year earlier. The average selling price for used vehicles climbed 6.3% to \$27,623, while the average selling price for wholesale vehicles ticked up 1.8% to \$8,036.

Chief Executive Keith Barr, who took over in March with a mandate to reinvigorate the business, said CarMax continues to execute against its turnaround strategy.



CarMax sold 387,735 retail and wholesale units in the quarter.

Shares rose 4.9% to \$59.30. Under its “Shift into GEAR” strategy, CarMax aims to provide customers with a “great offering” and an “easy experience,” pricing its vehicles competitively in an effort to drive sales while also improving both its in-store and digital capabilities. At the same time, the company is taking steps to expand profitability and cut costs out of the business.

CarMax earlier this month slashed 145 white-collar jobs, or about 4% of its corporate

staff. The cuts marked the first layoff action under Barr, but it was CarMax's third round of cuts in less than a year. It cut 350 jobs in October 2025, and 230 in January 2026.

The cuts came as auto sellers face the pain of high prices and rising interest rates.

Looking ahead, CarMax said it plans to resume share repurchases. The company had \$1.31 billion remaining under its existing buyback authorization as of the end of the recent quarter.

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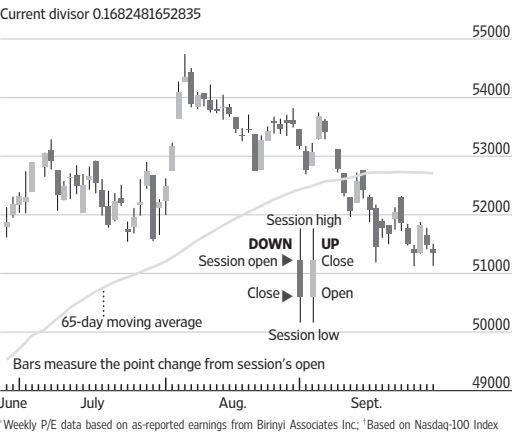
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	P/E estimate *	19.52 22.05
	Dividend yield	1.54 1.59
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Industrial Average	51505.19	51129.18	51349.92	-131.59	-0.26	54349.12	45166.64	10.7	6.8	15.3
Transportation Avg	19676.23	19442.80	19650.37	67.83	0.35	23933.14	15067.87	25.0	13.2	9.5
Utility Average	1018.25	998.69	1015.93	11.43	1.14	1190.23	1004.50	-9.1	-4.9	7.6
Total Stock Market	75838.25	75384.92	75576.02	-124.08	-0.16	77313.23	62750.36	14.3	12.0	20.9
Barron's 400	1577.68	1565.78	1573.39	-1.47	-0.09	1685.46	1318.70	13.4	11.4	17.8

Nasdaq Stock Market										
Nasdaq Composite	26919.72	26717.95	26797.54	-22.84	-0.09	27244.28	20794.64	18.3	15.3	26.6
Nasdaq-100	30429.97	30235.67	30339.33	62.52	0.21	30732.40	22953.38	22.9	20.2	27.3

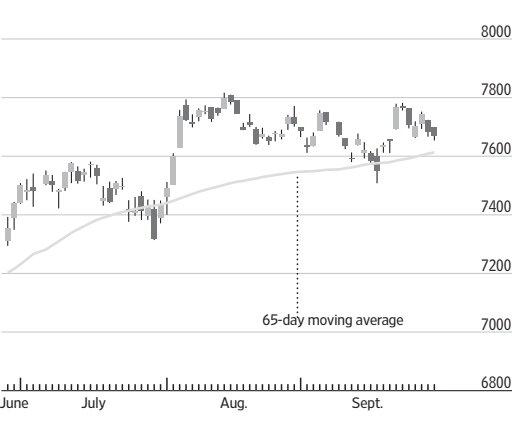
S&P										
500 Index	7699.60	7653.55	7670.84	-12.85	-0.17	7798.99	6343.72	14.7	12.1	21.4
MidCap 400	3634.29	3598.03	3618.47	-3.53	-0.10	3926.98	3109.89	10.9	9.5	13.1
SmallCap 600	1676.45	1657.69	1666.12	-5.58	-0.33	1828.54	1364.94	15.0	13.5	13.1

Other Indexes										
Russell 2000	2825.37	2794.39	2807.92	-9.99	-0.35	3068.42	2305.11	15.2	13.1	16.3
NYSE Composite	23757.31	23616.86	23709.60	-47.71	-0.20	24821.68	20912.89	9.9	7.8	15.5
Value Line	647.71	642.80	645.90	-1.060	-0.16	702.60	590.50	2.3	2.8	6.2
NYSE Arca Biotech	9570.30	9401.09	9486.50	-33.43	-0.35	9539.76	6237.60	52.1	32.6	23.7
NYSE Arca Pharma	1262.92	1239.69	1251.67	-8.11	-0.64	1315.38	974.05	28.5	11.2	12.4
KBW Bank	173.47	170.53	171.65	-1.26	-0.73	193.91	143.23	12.6	4.5	29.9
PHLX [®] Gold/Silver	367.57	361.79	366.23	1.32	0.36	470.37	265.03	23.3	7.0	50.5
PHLX [®] Oil Service	93.94	92.52	92.78	-2.33	-2.44	109.24	60.27	41.4	26.5	-0.6
PHLX [®] Semiconductor	12773.89	12588.86	12629.16	163.92	1.32	14634.72	6352.07	98.3	78.3	54.4
Cboe Volatility	16.44	15.73	16.04	-0.03	-0.19	31.05	13.47	-1.5	7.3	-2.9

[®]Nasdaq PHLX

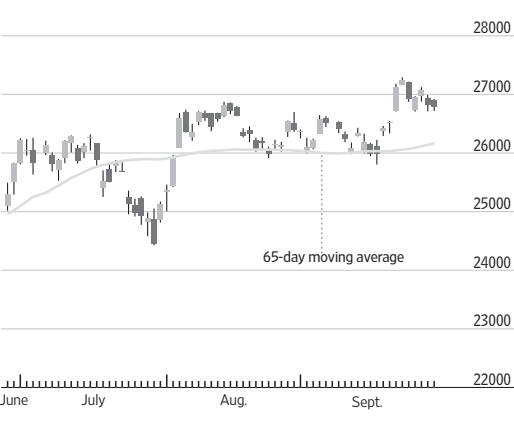
S&P 500 Index

7670.84 ▼12.85, or 0.17%	Last	Year ago
High, low, open and close for each trading day of the past three months.	Trailing P/E ratio *	23.48 25.27
	P/E estimate *	19.94 21.88
	Dividend yield *	1.07 1.19
	All-time high	7798.99, 08/13/26



Nasdaq Composite Index

26797.54 ▼ 22.84, or 0.09%	Last	Year ago
High, low, open and close for each trading day of the past three months.	Trailing P/E ratio ^{†1}	35.22 32.67
	P/E estimate ^{†1}	24.15 26.51
	Dividend yield ^{†1}	0.54 0.66
	All-time high:	27244.28, 09/22/26



Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After Hours % chg	High	Low
iShares iBoxx \$ HY Cp Bd	HYG	33,655.0	77.36	...	unch.	77.43	77.25
Grab Holdings	GRAB	17,104.2	3.15	0.03	0.91	3.15	3.11
SS SPDR Bbg 1-3M T-Bill	BIL	16,041.2	91.64	-0.01	-0.01	91.65	91.63
ISH 0-1 Year Treasury Bd	SHV	12,657.5	110.29	-0.02	-0.02	110.31	110.29
Nu Holdings CIA	NU	11,247.2	12.35	...	unch.	12.40	12.26
Stablecoin Development	SDEV	9,888.1	2.45	-0.82	-25.08	3.43	2.22
JPMorgan Ult Short Incm	JPST	9,187.0	50.38	-0.0003	-0.0006	50.38	50.37
SS SPDR Bbg HY Bd	JNK	7,692.4	93.45	0.54	0.59	93.45	92.83

Percentage gainers...

Osisko Gold Group	OGG	177.8	3.12	0.32	11.43	3.25	2.79
First Tr Bbg AI	FAI	183.1	59.73	3.15	5.57	59.73	56.58
Coursera	COUR	2,650.9	4.92	0.25	5.35	4.94	4.39
Cellebrite DI	CLBT	81.1	11.37	0.44	4.03	11.37	10.93
Camping World CI A	CWH	64.3	5.27	0.17	3.33	5.27	5.07

...And losers

Stablecoin Development	SDEV	9,888.1	2.45	-0.82	-25.08	3.43	2.22
AdvisorShrs MSOS Dly Lvgd	MSOX	713.6	2.64	-0.49	-15.65	3.13	2.57
Enigmatig	EGG	249.9	4.44	-0.56	-11.20	6.00	4.15
Trulieve Cannabis	TRLV	294.8	11.18	-1.23	-9.91	12.41	10.66
Concentrix	CNXC	822.7	22.65	-2.23	-8.96	27.50	22.35

Trading Diary

Volume, Advancers, Decliners

	NYSE	NYSE Amer.
Total volume*	1,174,462,594	24,144,981
Adv. volume*	470,666,880	16,762,438
Decl. volume*	680,089,357	6,765,192
Issues traded	2,829	300
Advances	1,149	134
Declines	1,601	146
Unchanged	79	20
New highs	20	1
New lows	403	26
Closing Arms*	0.96	0.16
Block trades*	3,846	215

	Nasdaq	NYSE Arca
Total volume*	7,097,255,694	351,202,678
Adv. volume*	3,440,918,125	119,012,776
Decl. volume*	3,526,271,738	227,160,371
Issues traded	5,123	2,714
Advances	1,961	870
Declines	2,960	1,803
Unchanged	202	41
New highs	68	19
New lows	488	430
Closing Arms*	0.68	0.97
Block trades*	38,786	1,913

*Primary market NYSE, NYSE American NYSE Arca only. [†](TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

Percentage Gainers...

Company	Symbol	Close	Latest Session Net chg	% chg	High	Low	% chg
SoundThinking	SSTI	8.21	2.74	50.09	12.25	5.42	-31.6
Masonglory	MSGY	4.44	1.31	41.85	170.72	1.73	-97.2
Sangoma Technologies	SANG	4.93	1.34	37.33	5.42	3.40	...
Iovance Biotherapeutics	IOVA	14.45	3.46	31.48	15.30	1.76	548.0
SVRN	SVRN	67.33	15.28	29.34	70.70	3.12	169.3
Super League Enterprise	SLE	5.64	1.13	25.06	71.88	2.12	-91.3
WidePoint	WYY	7.35	1.45	24.58	24.30	3.96	47.0
MindForge	MF	17.10	3.19	22.93	83.50	2.12	-59.0
AIFU	AIFU	10.83	2.02	22.93	117.40	8.17	-89.4
LeonaBio	LONA	3.51	0.64	22.30	14.21	2.21	-16.8
EpicQuest Education	EEQ	5.60	1.02	22.27	12.70	1.90	-19.6
Armada Acquisition II	XRPN	12.90	2.33	21.99	17.00	10.10	23.2
TJGC Group	TJGC	34.80	6.26	21.92	36.76	1.46	482.8
ONE Nuclear Energy	ONEN	2.62	0.47	21.86	12.05	1.90	-74.3
Leverage 2x Lg BE Dly	BEG	55.60	9.52	20.65	20.15	10.89	...

Percentage Losers

Company	Symbol	Close	Latest Session Net chg	% chg	High	Low	% chg
Neo-Concept Intl	NCI	1.26	-1.12	-47.06	110.48	1.25	-91.3
Digital Currency X Tech	DCX	3.61	-2.56	-41.49	97536.00	3.44	-99.99
uniQure	QURE	24.51	-14.60	-37.33	71.50	8.73	-58.7
Julong Holding	JLHL	4.03	-1.89	-31.93	57.95	2.70	-6.3
E-Power	EPOW	3.79	-1.41	-27.12	39.75	3.44	-83.1
CitroTech	CITR	2.79	-1.01	-26.58	10.90	2.79	-52.7
Fair Isaac	FICO	617.87	-223.02	-26.52	1998.01	595.19	-59.5
Intercont (Cayman)	NCT	1.89	-0.61	-24.40	1025.00	1.75	-99.8
PMGC Holdings	ELAB	3.67	-1.11	-23.22	2671.20	3.40	-99.7
Cheche Group	CCG	7.62	-2.30	-23.19	47.95	7.52	-83.4
ClearPoint Neuro	CLPT	11.77	-3.54	-23.12	30.10	8.27	-45.4
Lion Group Holding ADR	LGHL	4.51	-1.27	-28.17	3931.20	4.50	-99.9
Apimeds Pharma US	APUS	5.02	-1.37	-21.44	59.70	1.51	-73.6
Dreamland	TDIC	2.17	-0.56	-20.51	987.50	1.85	-99.7
Quantum eMotion	QNC	1.75	-0.45	-20.45	4.56	1.01	59.5

CURRENCIES & COMMODITIES

Currencies

U.S.-dollar foreign-exchange rates at 5 p.m. ET

Country/currency	US\$/s			Country/currency	US\$/s		
	in US\$	Tues per US\$	YTD chg (%)		in US\$	Tues per US\$	YTD chg (%)
Americas				Vietnam dong			
Argentina peso	.00071524	8842	5.1		.00003850	25973	-1.2
Brazil real	.1922	5.2025	-5.7	Europe			
Canada dollar	.7047	1.4191	3.4	Czech Rep. koruna	.04642	21.544	4.7
Chile peso	.001027	973.31	8.1	Denmark krone	.1517	6.5918	3.7
Colombia peso	.000300	3336.19	-11.5	Euro area euro	1.1343	.8816	3.6
Ecuador US dollar	1	1	unch	Hungary forint	.003090	323.64	-1.1
Mexico peso	.0554	18.0485	0.2	Iceland krona	.008290	120.63	-3.7
Uruguay peso	.02486	40.2230	3.0	Norway krone	.1042	9.5978	-7.8
Asia-Pacific				Poland zloty	.2595	3.8532	4.3
Australia dollar	.6985	1.4316	-4.5	Sweden krona	.1001	9.9921	8.5
China yuan	.1492	6.7040	-4.1	Switzerland franc	1.1990	.8340	5.2
Hong Kong dollar	.1274	7.8469	0.8	Turkey lira	.0204	48.9894	14.0
India rupee	.01043	95.859	6.7	Ukraine hryvnia	.0223	44.8500	5.9
Indonesia rupiah	.0000557	17954	7.5	UK pound	1.2322	.7557	1.8
Japan yen	.006358	157.29	0.4	Middle East/Africa			
Kazakhstan tenge	.002275	439.51	-13.4	Bahrain dinar	2.6527	.3770	0.01
Macau pataca	.1237	8.0842	0.8	Egypt pound	.0192	52.0712	9.1
Malaysia ringgit	.2449	4.0828	0.6	Israel shekel	.3260	3.0672	-3.7
New Zealand dollar	.5642	1.7724	2.0	Kuwait dinar	3.2395	.3087	0.3
Pakistan rupee	.00361	277.060	-1.1	Oman sul rial	2.5994	.3847	-0.02
Philippines peso	.0160	62.639	6.3	Qatar riyal	.2743	3.646	-0.2
Singapore dollar	.7826	1.2778	-0.6	Saudi Arabia riyal	.2663	3.7554	0.1
South Korea won	.0007395	1352.19	-6.1	South Africa rand	.0610	16.3965	-1.0
Sri Lanka rupee	.0032025	331.07	6.8	Close Net Chg % Chg YTD Chg %			
Taiwan dollar	.03142	31.831	1.5	WSJ Dollar Index 96.96 0.11 0.11 1.08			
Thailand baht	.02978	33.580	6.6	Sources: Tullett Prehon DoW Jones News Market Data			

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MARKETS

Yields Keep Rising Despite Fall in Oil

By Heather Gillers
And Sam Goldfarb

The punishing selloff in bonds is driving Treasury yields to ever more eye-catching milestones, with the 30-year bond yield reaching a 24-year high.

The slide continued Tuesday despite a decline in oil prices, a key driver of bond

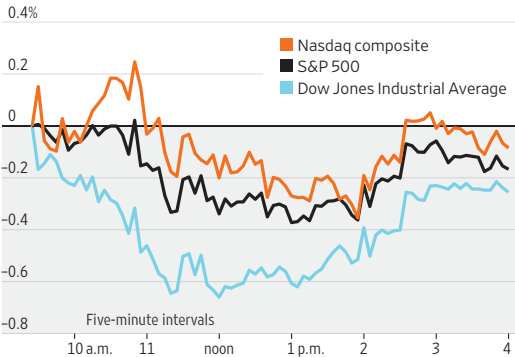
yields since the start of the war in Iran. Higher

energy costs have spurred concerns that the Federal Reserve will need to keep raising interest rates well into next year—though other factors have also played a part, including recent signs of a strengthening economy.

“We’ve seen the market really start to try to wrap its arms around how much higher do rates need to go for the Fed to achieve its goal,” said Rebecca Venter, senior fixed income client portfolio manager at Vanguard.

TUESDAY'S
MARKETS

Index performance on Tuesday



Source: FactSet

Treasury yields, which rise when bond prices fall, were buffeted by conflicting forces on Tuesday. An expected \$32 billion bond sale from **Paramount Skydance** to help fund its acquisition of **Warner Bros. Discovery** put upward pressure on longer-term yields, as investors cleared room in their portfolios for

the new debt.

Short-term yields, meanwhile, were pushed lower by comments from New York Fed President John Williams suggesting that the central bank need not rush to continue raising interest rates after officials voted through the first rate increase in three years earlier this month.

The influential Fed official said in a speech that another rate increase “late this year” might be appropriate but that there “is no need for urgency” to raise rates.

The 30-year bond yield settled at 5.594%, according to Tradeweb, up from 5.561% Monday. Earlier, the yield had reached as high as 5.621%, surpassing a 2004 intraday peak to reach its highest level since June 2002.

The 10-year yield settled at 5.256%, also its highest 3 p.m. ET level since 2002—although the yield still hasn’t breached its 2007 intraday peak of 5.303%, a threshold more closely eyed on Wall Street.

Stock indexes fell slightly. The Dow Jones Industrial Average edged 0.3% lower. The S&P 500 slipped 0.2%, while the Nasdaq composite retreated 0.1%.

Higher interest rates weigh most heavily on sectors like housing and consumer products, said Ross Mayfield, investment strategist at Baird.

Investors also pull back on dividend stocks like utilities when they can collect fatter returns on short-term Treasuries. What’s left, he said, is a more volatile stock market dependent on artificial intelligence for growth.

“It makes it more fragile, it makes it more sensitive to any chink in the AI story,” Mayfield said.

Middle East crude exports rebounded this month to their highest level since the Iran conflict began. Brent crude futures fell 2.6% to \$102.59 a barrel. But Mayfield said investors are finding it hard to have faith in even optimistic seeming developments on the Iran conflict after so many false starts and shifting headlines.

Cboe Global Markets wrote in a research note last week that the correlation between U.S. benchmark oil prices and the 10-year Treasury yield has jumped to a 35-year high, only slightly below the record set at the beginning of the First Gulf War in 1990.

Robinhood
Bets on AI
Trading

Continued from page B1

then open a position in their stocks based on a series of follow-up questions.

In another use case, traders might deliver a more-specific command to their agents: “Run the wheel strategy,” a popular stock-options trade that aims to generate income by selling cash-secured puts and covered calls. The latter example will be possible with a coming feature called Loops, which will allow Robinhood agents to run a strategy on repeat, even when users aren’t logged on.

Robinhood’s launch is part of an industrywide push to embed AI tools in how everyday Americans research, plan and execute their investments. In decades past, mom-and-pop traders had to call their broker and pay a hefty commission on every trade.

Now, leaders say, agents will become the driverless cars of Wall Street: Enabling investors to trade stocks, options, bitcoin and prediction-market contracts even when they aren’t paying attention.

Financial firms are also grappling with other ways AI will transform their businesses. Last week, shares of companies like Charles Schwab, LPL Financial and JP Morgan slumped on the concern that agents—such as Meta’s Muse—could be used to automatically redirect customers’ cash toward accounts with higher yields. That could threaten a vital source of revenue for banks and brokerages that rely on that cash for cheap funding.

It remains to be seen how eagerly individual investors will hand over full control to the bots. Robinhood said that more than 150,000 customers have opened agentic trading accounts so far.

But agents can only access funds in those dedicated accounts, and users can opt to manually approve each trade.

Piper Sandler in Talks to Combine With Perella Weinberg

By Lauren Thomas
And AnnaMaria Andriotis

Investment bank **Piper Sandler** has been in talks to combine with advisory firm **Perella Weinberg Partners**, according to people familiar with the matter, in a deal that would join two Wall Street firms known for their deal-making.

Piper Sandler, which has a market value of around \$5 billion, could soon finalize a deal for Perella Weinberg, which has a market value of around \$1.4 billion, the people said. Nothing is finalized and the discussions could still fall apart, the people cautioned.

Piper Sandler was formed through the 2020 merger of Piper Jaffray and Sandler O’Neill + Partners, two investment banks known for advising

smaller and midsize companies on deals. The firm is led by Chief Executive Chad Abraham and reported roughly \$1.9 billion in revenue last year.

Perella Weinberg was founded in 2006 by Wall Street veterans Joseph Perella, Peter Weinberg and Terry Meguid. It went public in 2021 via a blank-check firm when such vehicles were all the rage. Weinberg stepped down as CEO in January 2023 and was succeeded by Andrew Bednar.

The firm landed key roles advising on deals including **BlackRock’s** acquisitions of Global Infrastructure Partners and HPS Investment Partners, deals valued at \$12.5 billion and \$12 billion, respectively. But its shares and shares in other boutique investment banks have been under pressure in recent months. Perella

Weinberg’s overall revenue dropped from a record \$878 million in 2024 to around \$750 million in 2025, while peers reported higher revenue. Piper Sandler shares closed down 9.7% on Tuesday, while Perella Weinberg was up 12%.

In its most recent quarter, Perella Weinberg’s revenue rose 1% from a year earlier. U.S. M&A volumes are up 33% so far in 2026 compared with 2025, according to Dealogic.

Perella Weinberg did a series of its own deals over the years.

Earlier this year, it struck a deal for U.K.-based advisory firm Gleacher Shacklock, and last year it agreed to acquire secondary advisory firm Devon Park Advisors. The bank previously bought energy-focused boutique bank Tudor Pickering Holt in 2016.



Peter Weinberg is one of Perella Weinberg’s co-founders.

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[SCAN TO GIVE]

HEARD ON THE STREET

FINANCIAL ANALYSIS & COMMENTARY

A Simple Way to Cash In on Higher Yields

2-year Treasury notes are attractively priced at the moment

Nobody likes to catch falling knives, as the old Wall Street saying goes. Except that with shorter-term bonds, at least you're wearing some protective gear.

Traders seem to be struggling to find the bottom for Treasurys. The past week saw yields on the 10-year note surge beyond previous high-water marks, first 5%, then 5.1% and even 5.2%. The move was also accompanied by a jump in bond volatility, which had still been subdued until the last few sessions. This is a sign that markets are becoming more jumpy.

However, unlike with stocks, bonds offer some cushion, even if investors get their market calls wrong. Investors get a coupon payment that helps offset the decline in value the bond might experience if market yields rise. In other words, even if a bond's price drops, it can still end up with a positive return.

Plus, if a bond is going to mature in less than a couple of years, that adds another layer of insulation. That is particularly the case for buyers who can be comfortable holding until maturity, rather than constantly checking on the price

to see if it has risen or fallen.

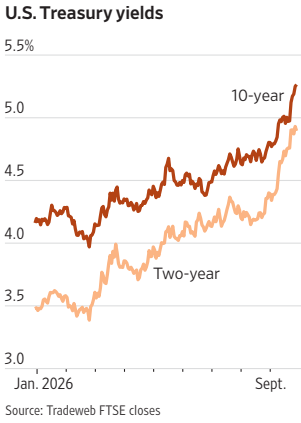
Currently, 2-year Treasurys are yielding over 4.9%. That isn't much less than what the 10-year Treasury is paying at over 5.2%. Longer-term bonds have some additional yield built in for less quantifiable risks like long-term inflation or a surge in future issuance. Whether that is sufficient compensation can be very tough to think through.

Longer-term debts are more exposed to bigger concerns, such as the Federal Reserve's credibility or the U.S. deficit.

Buying those bonds "requires investors to have more conviction given the more significant risk profile involved," says Gennadiy Goldberg, head of U.S. rates strategy at TD Securities.

For shorter-term bonds, though, it is a somewhat simpler equation. One way to think about a bond is whether it is a better buy over its lifespan versus just rolling over cash in very short-term bills, which is what a money-market fund would be doing.

That, in turn, is effectively asking what the Fed's rate target will



be during the bond's life. And right now, the 2-year Treasury is pricing in the risk of a more-aggressive series of interest-rate increases than what the Fed itself is currently contemplating.

Following the Fed's rate increase in September, the current target overnight rate is 3.75% to 4%. The Fed probably won't stop there, barring some surprisingly

negative economic or inflation data. Fed officials themselves are currently forecasting only one additional increase this year.

Meanwhile, the interest-rate derivatives market is pricing in even more hikes in this cycle, expecting a so-called terminal 4.85% fed-funds rate by September 2027, according to TD's Goldberg. That is a bit below what the 2-year will pay you in yield right now.

Of course it is possible that the Fed could turn out to be even more hawkish than that. Markets weren't fully anticipating how aggressive the Fed's 2022 hiking cycle turned out to be. The AI-fueled economy might also just need that much of a jolt to slow it down.

The flip side, though, is that it might not take too many increases to put the brakes on the non-artificial-intelligence sectors of the economy, such as the housing market, or the part of the corporate lending market that borrows at floating rates. And all of that is before considering the political dimensions for the Fed of sharply increasing rates under President Trump.

But investors don't have to be

macro analysts. Either way, the relatively high yield on two-year notes and their shorter lifespan mean that it would take something quite extreme to generate overall losses for investors.

If two-year yields rose by an additional 1 percentage point over a one-year horizon, and the bonds lost value, they would still generate a total return of almost 4% in that time, according to estimates by TD Securities.

Longer-term bonds would be more exposed in such a scenario. Ten-year Treasurys would have a return of roughly negative 2%, and 30-year bonds would lose about 8%, according to TD's estimates. Conversely, they can also gain more if yields started falling sharply.

Some investors might be willing to bet on the direction of rates. Others may want to let the market set their rate with a short-term instrument like a money-market fund. The Crane 100 Money Fund index is at a roughly 3.7% yield.

Just remember, the bigger the knives you are juggling, the more likely you are to hurt yourself.

—Telis Demos

How Nvidia's Buyback Created Phantom Value

Excitement about **Nvidia's** blockbuster buyback announcement on Monday can be explained by the law of deceptively large numbers. We just made it up.

The "law of large numbers," which lots of pundits get confused about, says that an increasingly large number of bets will eventually reflect the true odds. That's why casinos don't worry about going out of business after a few bad nights.

It's often falsely taken to mean that a very big business can't keep growing quickly, but there's a grain of truth to that, too. It might apply to Nvidia.

The chip maker's \$150 billion boost to its buyback authorization lighted a fire under its stock, tacking on \$150 billion in market value Monday morning on a lousy day for tech stocks overall. Why, though?

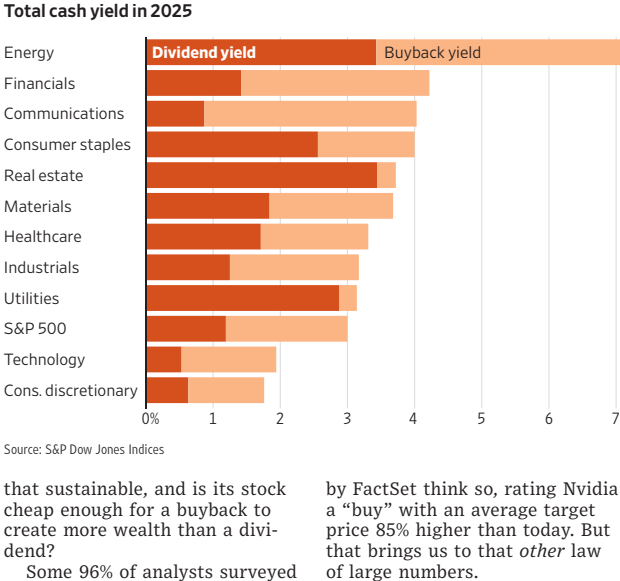
When companies announce buybacks or dividends, investors

often make the mental error of double counting. A dollar they own today as a shareholder is no more valuable when it moves to their bank account tomorrow.

Of course buybacks can be about more than money. They're a sign of confidence that a company has more than enough cash to keep growing its business. They also mean management won't be tempted to spend it on something dumb.

That's a particular concern for Nvidia, which has backstopped customers to the tune of hundreds of billions of dollars. Ultimately, though, shareholders need to decide if they're better off financially after a buyback. That isn't a simple question. Boosting earnings per share is easy, but it isn't enough.

Nvidia trades at a seemingly reasonable 25 times this fiscal year's forecast earnings. Its operating margin has doubled in four years while sales grew 15-fold. Is



It's hard to move the needle at a market value of \$5.5 trillion, both in terms of a company getting bigger and rewarding shareholders.

Even Nvidia's buyback, the largest in history, falls short of the percentage payout of many blue-chip companies.

That isn't just Nvidia's problem. Buybacks for the S&P 500 overall hit a record last year, topping \$1 trillion, but less oomph as stock prices rose even faster. The index had one of its lowest buyback yields in recent history. It was more than twice as high back in 2018.

Nvidia, **Apple**, **Meta** and **Alphabet** topped the buyback list last year measured in dollars. But tech stocks overall had below-average buyback yields and also the lowest dividend yield of any sector.

Sometimes the numbers really do get too large.

—Spencer Jakab

How Long Will the AI Boom Last? Memory Stocks Offer Clues

How durable do investors think the artificial-intelligence boom is? Memory stocks might provide the best clue available.

Computer-memory manufacturers like **Micron Technology**, **SK Hynix** and **Sandisk** are on a tear, reporting record revenue and profits amid soaring demand for their products in AI data centers.

Demand outstrips the industry's supply by so much that memory manufacturers are able to lock customers into long-term contracts, which now account for a huge chunk of their revenue. Micron, which reports quarterly results on Wednesday, in June said it expected half or more of sales to

come from long-term supply deals.

As a result, the companies' near-term growth trajectories are already largely baked into their stock prices. And that leaves movement in their shares more a function of how long investors think computing demand will last.

On that front, confidence in the boom's staying power seems to be waning.

Micron's shares are trading at about 7 times forward earnings—higher than their low of about 5 times in July but well below a peak of about 12 the previous month. SK Hynix is trading at only around 4 times forward earnings, about half its peak in June.

It isn't unusual for memory stocks to trade at low multiples at the top of a cycle as investors weigh growing profits against the likelihood of an imminent downturn.

This time, memory executives want investors to believe the industry has structurally changed and is no longer as cyclical as in the past. They often hold up their long-term contracts as evidence. But persistently low multiples, despite the proliferation of those contracts, show investors aren't convinced.

"The key question isn't whether contracts can smooth the cycle, but whether AI investment remains strong enough to sustain

it," Bank of America analyst Vivek Arya wrote in a recent note.

"Notably, memory stocks have continued to derate despite rising [long-term contract] adoption, suggesting investors are more concerned about the memory cycle peaking," he wrote.

Of course, there are still a few company-specific factors that could drive memory makers' stocks. One is that the companies are building new chip factories that will come online in coming years, which will increase supply. That could be a good thing if demand is strong enough to absorb more chips. Usually, though, more supply in this industry means

lower prices and weaker margins.

Another factor for Micron is the removal of restrictions on share buybacks imposed when it was awarded government grants two years ago to fund manufacturing growth. The company plans to eventually return all excess cash to shareholders after the curbs come off in December. That will likely come through buybacks that reduce its share count and support the stock.

Even so, memory stocks remain as good a proxy as there is for investors' belief in the boom's staying power. Right now, the conviction isn't especially strong.

—Asa Fitch

MONEY & INVESTING

Stock Spotlight

Shein

The fast-fashion retailer's stock tumbled 11% in Hong Kong after its first earnings since listing disappointed. Tariffs and logistics costs helped knock Shein's profit and stall its revenue growth.

Hapag-Lloyd

The German shipping company lifted its earnings forecast on strong market demand, boosting shares 9.7% in Frankfurt.

Shell

British energy major said it would double production capacity at its LNG Canada facility as part of a bet on growing gas demand in Asia. Shell shares edged down nearly 2%.

Lindt & Spruengli

Shares in the Swiss chocolate maker slid nearly 9% in Zurich after it cut its sales forecasts for the year, citing lower-than-expected orders in some European markets and blaming Europe's summer heat wave.

Carnival

The cruise ship operator said strong demand and operational improvements provided a lift to sales and profit during the latest quarter, more than offsetting higher fuel costs. Shares rose more than 13%.

Legrand

Shares climbed 6% after the French supplier of electrical equipment raised its 2030 targets as it laid out plans to capitalize on the rapid data-center build-out driven by artificial intelligence.

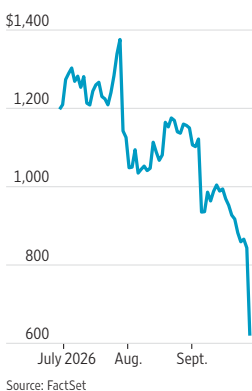
WEDNESDAY'S EVENTS:

- ◆ Fed speakers: Fed governor Lisa Cook, Minneapolis Fed President Neel Kashkari
- ◆ Meetings: G-20 trade ministers meet in Milwaukee through Thursday.
- ◆ Economic data: Personal consumption and expenditures, U.S. GDP figures, ADP national employment report, Chicago PMI business survey, wholesale inventories, advance U.S. trade balance in goods, revised corporate profits, weekly mortgage applications, EIA weekly petroleum status report

EARNINGS EXPECTED:

Micron Technology, Conagra Brands, Cal-Maine Foods, Bassett Furniture

Fair Isaac share price



Fair Isaac shares fell 27% after Federal Housing Finance Agency Director Bill Pulte said that federal housing agencies would begin to also rely on a different company—VantageScore—to evaluate borrowers' creditworthiness.

Bitcoin on Pace for Best Quarter in Nearly Two Years

Despite its recent retrace-ment, bitcoin is on pace for its best quarterly performance since the fourth quarter of 2024.

The largest cryptocurrency traded around \$83,560 Tuesday afternoon after climbing above \$87,000 in recent weeks. It is on track to lock in its first positive quarter in a year, having gained more than 40% from July to September. The digital currency has been buoyed by a strong streak of inflows into bitcoin exchange-traded funds, sparking hopes for a sustained bull market.

However, the rally has lost momentum in recent days as surging bond yields weighed on broader market sentiment. Analysts at research firm CryptoQuant warn that a crypto market correction*

could be looming. They point to profit-taking behaviors by traders and an uptick in tokens being transferred to exchanges—typically a precursor to selling. Furthermore, demand for spot bitcoin has slowed, while activity in speculative futures tied to bitcoin is cooling off.

One potential relief is seasonality. Historically, bitcoin has had its best monthly performance in October, boasting an average gain of 19% in the month.

—Vicky Ge Huang

In Market History

On this day in 1958, the Standard & Poor's 500-stock index closed above 50 for the first time.